

MEXICO SUPPLEMENTAL FIELD OFFICE MANUAL FOR PERSONNEL AND OPERATIONS

July 2022



PARTNERS *of the* AMERICAS
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1. Introduction

1.1 Welcome to Partners

Welcome to Partners of the Americas!

The field office manual has been prepared specifically for Partners of the Americas employees in Mexico. It will introduce the organization and information on the rights and obligations the employee has towards the Mexico Field Office and, at the same time, about the rights and obligations that the Mexico Field Office has towards the employee. This Manual is therefore a basic information tool for employees working in the Mexico Field Office.

In this book we try to explain the important topics related to financial, personnel and operational management. The Mexico Field Office expects that all employees understand and implement all the policies and procedures found within this manual. It is the responsibility of each employee to know the policies and procedures, or when necessary, request clarification. All employees will be required to sign a [certification form](#) confirming that they have reviewed all the policies and that they will adhere to the standards set forth within this document.

When the Mexico Field Office deems it appropriate to modify the policies and procedures, it will update the necessary parameters which will subsequently be disbursed to each employee in a timely manner. We ask you to contact your immediate superior or the Administrative and Financial Management if you have any doubt about your position or your working relationship with the Partners Mexico, as many times as necessary.

You are the lifeblood of Partners of the Americas and, as such, we want you to find an interesting and rewarding experience in your work environment. With all due respect, I wish you every success.

John McPhail, President & CEO

1.2 Objective and Scope

The purpose of this manual is to help its users to work in accordance with the rules and philosophy of Partners of the Americas, adapted to the Labor Code in Mexico, thus becoming a consultation tool with unified criteria and provide a general framework and standardized set of policies and procedures for financial and personnel management in Partners of the Americas' Mexico Field Office, herein after referred to as **“Partners Mexico”**. The supplemental manual addresses country specific laws, regulations, and policies in accordance with Mexican law.

The information presented here contains the main standards of conduct Partners Mexico and the most common legal regulations in the workplace.

Partners Mexico is expected to comply with all the policies and procedures set forth in this manual and are encouraged to seek clarifications if questions arise. Partners Mexico, (including sub-offices), must maintain a printed copy of the manual for reference.

1.3 Management Control – Roles and Responsibilities in Headquarters

The Chief Financial Officer (CFO) is the authority on the Partners Mexico supplemental manual, or in absence of the CFO, an individual designated by the President and CEO. Partners Mexico is encouraged to provide input, suggestions, and corrections, but may not alter or change any part of this manual.

This manual will be reviewed and updated annually (if applicable) to reflect current circumstances as well as new policies and procedures. Partners Mexico will be notified of updates by e-mail.

1.4 Implementation Control – Roles and Responsibilities in Mexico

This manual is for the use and knowledge of all employees without exception. The contents of this manual as well as its updates will be notified to each employee for its understanding and its application. It is the responsibility of all employees to know, understand and apply the contents of this manual in its entirety.

It is not permitted to reproduce the manual for reasons as its consultation is exclusively reserved for the employees of Partners Mexico. In the event that the employee has suggestions and

recommendations related to the manual, these remarks must be communicated in writing to the immediate supervisor so that they can forward it to the management.

Enforcement of this supplemental field office manual will be the responsibility of the positions below.

- Field Office (FO) Director (Project Director or Chief of Party, etc.) – This individual is the lead field office operations director in country. They are responsible for overall project/program management and the operations of the field on a day-to-day basis. This individual is also responsible for approval of all the finance operations including payment authorizations and internal controls for the in-country field office.
- Field Office (FO) Finance Manager (Admin Manager, Admin & Finance Assistant/Manager, Finance & Admin Director) – This individual is the person responsible for all the finance operations and internal controls for the in-country field office.
- Field Office (FO) Accountant – This individual is responsible for basic data entry, overseeing and reconciling accounts.

2. Internal Controls

2.1 Purpose and Scope

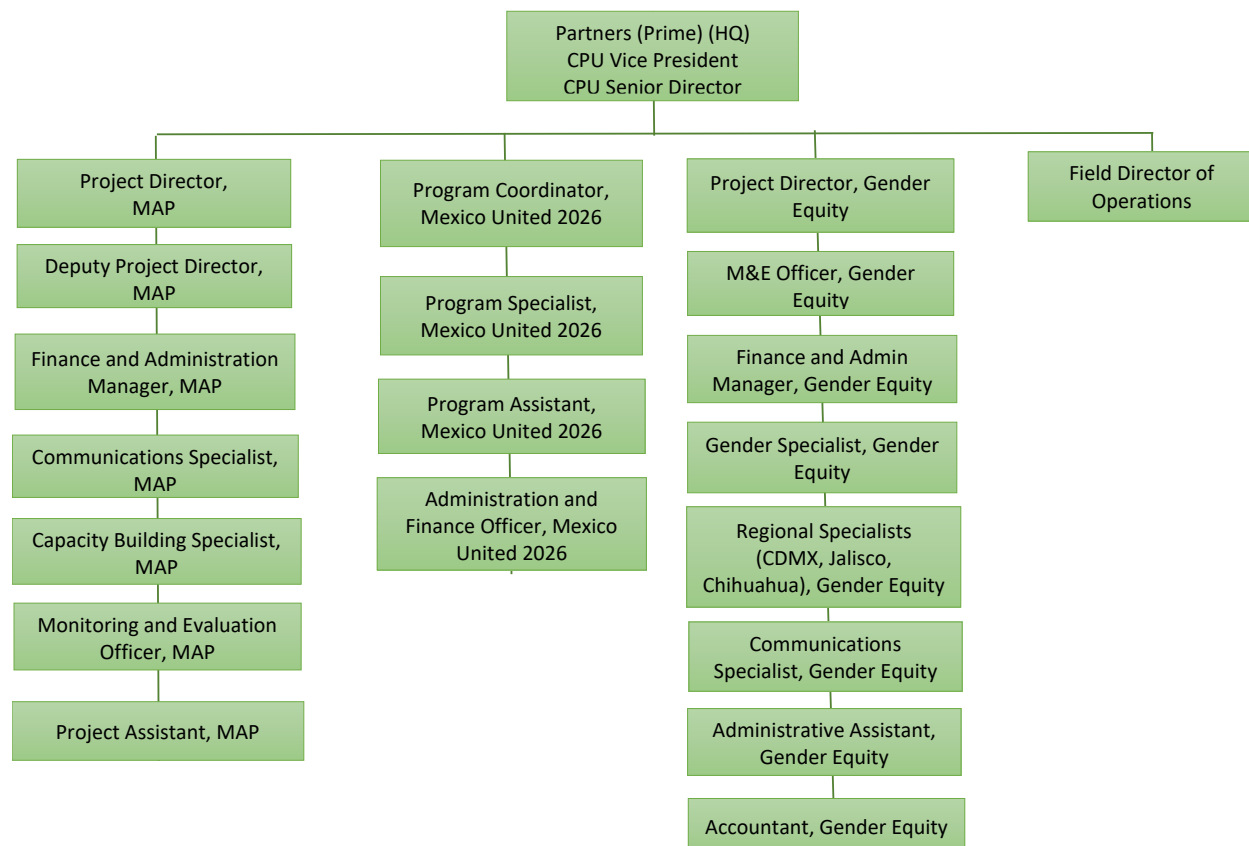
The purpose of Internal Controls is to provide reasonable assurance that the following objectives are being accomplished:

- Reliability and integrity of information
- Compliance with policies, plans, procedures, laws, and regulations
- Safeguarding of assets in Partners Mexico
- Economical and efficient use of resources
- Accomplishment of established objectives and goals for operations and programs

2.2 Approval Authority

The flowchart below outlines the approval authority matrix at Partners Mexico.* The FO Finance Manager, supported by the FO Director, has responsibility for enforcing approval

authority. Partners HQ has approval over the FO Director and must approve his/her payments, etc. In accordance with the procurement policy, all transactions and contracts valued at USD \$10,000 (or the local MXN equivalent) or more will automatically need to be approved by Partners HQ. If there is a Deputy Chief of Party or Deputy Project Director, they are authorized to approval all transactions and contracts valued up to \$5,000 USD or the local MXN equivalent. One exception to the limit is that the FO Director is authorized to sign all consultant contracts, all employment contracts and approve all payroll transactions, regardless of the amount.



*Please note the organizational chart is subject to change based upon current positions.

2.2.1 Responsibilities of Approval and Review Authorities

It is critical that approval authority holders not only understand what their authority levels are, but also what their responsibilities are in using their authority. The responsibilities for both approval authority holders and financial review are outlined below.

By approving an expenditure, commitment or payment, the signer is confirming that:

1. The expenditure is necessary and appropriate;
2. The item is not currently in stock or available;
3. The technical specifications are correct and adequately detailed;
4. The required forms are complete;
5. Funds are available within the budget;
6. The expenditure is in compliance with Partners HQ's policies and procedures.

Financial review is a compliance check and not an approval authority. The primary purpose of financial review is to ensure that all financial and compliance aspects of the commitment are considered. The FO Finance Manager, when signing off, is confirming that:

1. The expense has been authorized by the appropriate authorizer;
2. The expenditure is within budget guidelines;
3. The expenditure is in compliance with Partners HQ and donor policies;
4. The expense has been coded correctly;
5. The calculations are correct;
6. The required supporting documentation is in order and adequately explains the transaction; and
7. All payments, whether by check, wire transfer, etc. are being paid to the party which appears on the procurement records and/or other approval documentation. Checks or transfers may not be made out to third parties or any Partners' employees (either Partners HQ or Partners Mexico) to be cashed on behalf of the vendor. Any exceptions must be approved in writing by the Chief Financial Officer (CFO) or President & CEO.
8. All expenses are recorded at full cost and not net of taxes, etc.

An original signature on an original document is the required method of documenting an approval or review. Upward approval is required for all transactions. Under no circumstances may an originator approve their own expenses, including the FO Director.

When the authority holder is not located at Partners Mexico or where an approval is required due to a temporary absence (travel, vacation, sick, etc.), the next level of authority in that office should be sought for approvals that the absent party would have normally made.

When the authority holder is permanently located outside of the office where an approval is required or is the only one authorized for a particular approval and they are out of office, the document to be signed should be submitted via PandaDoc e-signature platform for approval. The scanned or electronic copy should be sent back to the office requiring the approval.

3. Monthly Reconciliation of Accounts

3.1 Reconciliation of Assets, Liabilities & Cash Accounts

All assets and liabilities accounts (i.e. cash, accounts receivable, accounts payable and other balance sheet accounts) must be properly reconciled on a monthly basis. Evidence of the reconciliation should be maintained in Partners Mexico and be sent monthly to Partners HQ. This evidence should include all supporting schedules prepared by the FO Finance Manager and approved by the FO Director prior to the submission of the reports to Partners HQ, or presentation to the auditors during the audit process.

All financial reports for both Partners Mexico and all sub-awardees must be submitted to Partners HQ by the 7th of the following month. If the 7th of the month falls on a holiday or weekend, the submission deadline is the last business day prior to the 7th. Compliance with this timeline is critical to ensure expenditures are recorded in the correct month. If there are any delays or issues with meeting the deadline, field staff must immediately notify Partners HQ of the delay and provide an explanation for the nature of the delay. Partners will provide a template for monthly financial reporting. A financial report must be received each month for all bank accounts held by Partners Mexico which includes all of the following:

- A) Signed bank reconciliation (template provided by Partners HQ, see [Annex C](#))
- B) Copy of the bank statement(s)

- C) Expense report indicating all expenditures in the month (on the template provided by Partners, see [Annex C](#))
- D) Copies of all documentation to support the expenditures listed on the expense report
- E) If reporting is done in local currency, then a copy of the monthly average exchange rates must be submitted from [OANDA](#) or the Bank of Mexico.

Partners may withhold a cash flow advance request if Partners Mexico fails to provide timely reporting of expenditures in accordance with the above guidelines.

3.2 System of Award Management (SAM) Check Via Visual Compliance

The U.S. Government requires the following compliance checks prior to the expenditure of funds: [SAM.gov](#), the [UN's Specially Designated Nationals And Blocked Persons List \(SDN\)](#), and [Office of Foreign Assets Control \(OFAC\) Sanctions Lists](#). To satisfy this requirement, Partners HQ, in accordance with Federal Regulation, requires that Partners Mexico run a Visual Compliance check on all recipients (individuals and entities) who are receiving any funds. The website for Visual Compliance is: <https://www.visualcompliance.com/> and the necessary login information will be provided by Partners HQ. Proof that the Visual Compliance check was done must be retained and kept along with proof of the payment, **prior to disbursing funds to the recipient.** The Visual Compliance check must be run at a minimum, once per calendar year (January – December) prior to the first payment of the year in order to be compliant.

Each month, Partners HQ will request copies of selected Visual Compliance checks for inspection and to ensure compliance. The transactions will be selected at random.

4. Financial Records, Audits & Record Retention

4.1 Record Retention and Accounting

Partners Mexico must maintain financial records, supporting documents, statistical records, and all other records, to support performance of, and charges to, the project. Such records must comply with accounting principles generally accepted in the U.S and Mexico. Partners Mexico's

Representative Office will keep records and request invoices and receipts issued by third parties in accordance with Mexican Tax Legislation for all expenses.

Partners Mexico records and any subrecipient records that pertain to the project must be retained in country during the timeframe that Partners has an office in country, for a minimum period of five years in the case of fiscal matters, and 10 years regarding financial institutions requirements. After Partners Mexico closes operations in country and completes the fiscal closing process in accordance with the entity type, there is no further obligation to keep fiscal or financial files in country. Partners Mexico will collaborate with Partners HQ to transport the necessary documents to the international office.

4.2 Filing & Records

The FO Director is responsible for establishing guidelines and procedures for filing and tracking. In addition, they are responsible for maintaining the general filing system or appointing another member of the management team to assist in this process. At a minimum all financial records, supporting documents, statistical records, and all other records, to support performance of, and charges to, the project must be uploaded to SharePoint in accordance with the project filing system. If hard copies of documents are retained, they must be stored in a fire-proof filing cabinet with a lock. Access to the files should be restricted to the FO Director and FO Finance Manager.

4.3 Audits

Partners Mexico must have an annual audit conducted in accordance with the "Guidelines for Financial Audits Contracted by Foreign Recipients" https://www.usaid.gov/sites/default/files/documents/1868/591maa_new.pdf, for any fiscal year (January – December) in which Partners Mexico expends a combined total of USD \$750,000 or more in all Federal awards. Any donor can make a request and has the right to conduct an audit any time during the life of a project/program that the donor funds. Any annual audit must be conducted in coordination with Partners HQ. The terms of reference and the selection of the audit firm must be approved by the CFO at Partners HQ.

Partners HQ retains the right to conduct a financial review, require an audit, or otherwise ensure adequate accountability of organizations expending federal funds, regardless of the audit requirements above.

4.4 Financial Reporting

The FO Finance Manager will provide the FO Director with the below reports monthly:

1. Balance Sheet
2. Income Statement
3. Report on Budget versus Actuals

The FO Director is responsible for the review and approval of the above financial statements. Copies of the approved financial statements must be submitted to Partners HQ quarterly.

5. Inventory Control

5.1 Equipment vs. Supplies

- **Equipment** means tangible personal property (including information technology systems) having a useful life of more than one year and a per-unit acquisition cost which equals or exceeds USD \$5,000.
- **Supplies** means all tangible personal property other than those described in equipment (above). A computing device (e.g. computers, etc.) is a supply if the acquisition cost is less than USD \$5,000, regardless of the length of its useful life.

5.2 Inventory Control Requirements

A physical inventory of Partners Mexico must be taken, and the results reconciled with Partners Mexico's records at least once every year in January. The monetary value threshold for accounting of inventory items (e.g. furniture, equipment, and fixtures) in Mexico is USD \$500 per item and a useful life of 1 year or more.

The document "Master Equipment & Supply Listing", found in [Annex A](#) must be submitted to Partners HQ annually no later than January 31st. The FO Finance Manager must certify and

reconcile to the books the “Master Equipment & Supply Listing” and the pdf must review and approve.

5.3 Use of Equipment

Partners Mexico strives to ensure that its employees have modern and adequate equipment to make their work easier and more efficient.

Responsibilities for the proper use of equipment:

- Handle the assigned equipment with care
- Monitor the optimal operation of assigned equipment
- If for any reason equipment from another source is to be used, the employee must ensure that it contains no viruses in order to preserve information on the organization's computer network.
- Report any fault or loss of equipment immediately
- Facilitate equipment access to technical and maintenance services.
- Use of recommended security settings on all work devices, as outlined under [Section 5.4 IT Controls](#).

Partners Mexico does not authorize the following activities:

- Installation of programs that do not have their corresponding license
- Use of copied programs that are not for the exclusive use of Partners Mexico
- Installation and use of games, movies, etc.
- Use of programs that may affect the operation of Partners Mexico network
- Introduction of elements that damage the equipment
- Block operating systems without notice
- Create passwords without sharing them with the FO Director and/or the FO Finance Manager, preventing access to working documents.
- Delete, without warning the information necessary for the execution of programs
- Any conduct with bad faith or destructive intent that interferes with the good work of other employees.

Use of Printing and Copying Equipment

The use of printers and photocopying machines (including equipment the belong to the office space) is exclusively reserved for work related to Partners Mexico projects.

Use of the Internet and Chat Software

Use of the internet should be for work purposes only. Software programs for chatting within the organization such as Teams, Skype, WhatsApp, etc. are permitted for office use.

It is strictly forbidden to use chat software such as Facebook, Instagram, or other social media sites, unless for explicit Partners Mexico work. Access to adult and similar web sites is strictly prohibited. Note that Partners Mexico reserves the right to monitor all company equipment, emails, etc. to ensure its proper use.

Internet access is provided to Partners Mexico's staff to conduct work-related tasks. All content that resides on or passes through Partners Mexico's information technology resources, including computers, networks, and software, must conform to the guidelines described below. Participation in news groups, chat sessions, e-mail communications, and online discussion groups is permitted only if those communications are part of the user's job responsibilities. Employees may not create, view, download, or transmit any communications or information using company technology resources that may violate Partners Mexico's harassment, equal employment, or any other policies. This prohibition includes sexually explicit or offensive messages, cartoons, or jokes, ethnic or religious slurs, racial epithets or any other statement or image that might be construed as harassment or disparagement on the basis of race, color, religion, sex, sexual orientation, gender or gender identity, national origin, age, disability, or any other status protected by law. Occasional personal use is acceptable as long as it does not impede normal job performance, incur direct costs, or compromise proprietary information and security.

Because employees who use Partners Mexico's information technology resources may be perceived by others to represent Partners Mexico, employees may not use the Internet for any purpose that could reflect negatively on Partners Mexico or its employees. Employees or other authorized users may not post or download data protected by copyright or patent law without prior approval from the content owner. This may include, but is not limited to, e-mail, files, documents,

graphic files, news group messages, bulletin board messages, Web pages, applications software, and operating system software. All software used to access the Internet must be part of the Partners Mexico standard software suite or approved by information technology management.

Partners Mexico's e-mail, telephone, mobile devices, voice mail, fax, Internet, and other technology resources are company property, and Partners Mexico reserves the right to monitor and examine all communications over these resources at its discretion. Accordingly, employees should not have any expectation of privacy as to their Internet or technology resource usage and should not use these resources for information that they wish to keep private. These resources should be used primarily for Partners Mexico -related business. Personal use of e-mail, voice mail, fax, and the Internet is acceptable, but should be done with good judgment and the recognition that these systems are provided to conduct business. Federal and state law and Partners Mexico's policies on intellectual property, misuse of Partners Mexico property, discrimination, harassment, sexual harassment, information and data security, and confidentiality apply to the use of all the company's technology resources. If a Partners Mexico employee needs to access the e-mail account, electronic files, or other technology resources of another Partners Mexico employee, a request and explanation for access needs should be submitted to the s Human Resources department, except in cases where documentation is needed for audits.

E-mail Policy

Partners Mexico e-mail is provided to accomplish day-to-day business-related activities. Users with Partners Mexico e-mail accounts are not authorized to use the e-mail system to send proprietary information via the Internet where information might be accessed by unintended recipients. Employees' e-mail accounts may not be used to conduct personal business; for political lobbying; or to send intimidating or harassing e-mails, chain letters, viruses, or spam. They also may not be used to improperly distribute copyright-protected work, unsolicited messages, or personal messages to a large group. E-mail users must not state or give the impression that the user is representing or making statements on behalf of Partners Mexico unless the user is authorized to do so. Partners Mexico employees may make incidental personal use of e-mail, provided that it

does not interfere with their work duties, has no more than a minimal effect on the e-mail system, and is consistent with Partners Mexico' policies.

Use of Audio Equipment

The use of radio, tape recorder or CDs is not prohibited. However, employees must refrain from doing so in places where their use may interfere with the normal development of their employees' work. In any case, we ask that all employees use headphones.

USB Drives

USB drives present one of the most well-known, but least mitigated security threats in the everyday digital landscape. USB can be infected with malware which can be uploaded on computers directly and they can be vehicles of data theft. USB drives also tend to get lost easily, potentially letting sensitive information out.

Partners Mexico staff should **never** use USBs or external drives that were not purchased by Partners to save work related files or on devices used for work purposes. USBs can be infected with malware which could grant external actors' access to internal computer hardware and files. This includes borrowed, gifted, or found USBs.

For Partners Mexico staff, usage of an encrypted USB drive is a requirement. Using encrypted USBs largely mitigates the risk of data loss through theft or misplacement of the drive. Encrypted drives will be password protected to prevent forced entry. Whenever possible, American-made USBs should be used. Partners Mexico staff should avoid using the same USBs for work and personal reasons and avoid using it across work and personal devices.

Network Data Privacy Policy

Partners Mexico owns and operates its network for business, administrative, and research purposes. To maintain the integrity and availability of network operations, Partners Mexico may intentionally or inadvertently expose information resources stored on networked machines or transmitted through the network in the following situations:

- Network performance monitoring or troubleshooting
- Moving data through the network via automated store-and-forward systems
- Copying, archiving, or otherwise preserving portions of messages transmitted over the network in the course of routine network maintenance activities

In the event of recognized network security threats, Partners Mexico reserves the right to investigate and remediate possible network security threats, including by means of capture, logging, and examination of files, communications, and other traffic and transmissions over or on the network. All data entered, created, received, stored, or transmitted through Partners Mexico's systems belongs to the firm and may not be used for purposes unrelated to company business.

5.4 IT Controls

Password protocols

To ensure accounts are secure and protected against hackers and breaches, a strong password creation protocol must be followed.

- Never use sequential numbers or letters or include any personal information such as names or dates of birth.
- Passwords should not be shorter than 14 characters.
- Use a combination of upper-case and lower-case letters, numbers, and symbols.
- Avoid common substitutions of numbers or symbols for letters. For example, avoiding using D00R8377 in place for DOORBELL with no additional words, symbols, or numbers, makes these combinations easy to hack.
- Random character placement (P*g6Hdk@28cD&q!) and random word combinations (Carmine*Flor9Jupiter&6) are effective. Use proper nouns, names of local businesses, historical figures, any words you know in another language, etc. Adding capitalization, numbers, and symbols can strengthen password security.

- Don't use predictable combinations of sequential letters (abcde), numbers (56789), or keyboard paths (qwerty).
- Never reuse passwords.

The best practice for storing secure passwords is using password management applications like LastPass. It creates strong passwords that are difficult to hack and keeps track of those passwords, so you don't have to remember them. The easiest way to use LastPass is to just use the internet as you normally do and save your passwords as you log onto each new site.

When a site is visited with a login page, a LastPass icon will appear after the username and password is entered. Click the LastPass icon inside the password field, then click "Save credentials for this site." The LastPass account will gradually fill with all the saved passwords and login information. When the sites are revisited, LastPass can automatically enter the username and password for you.

Under the LastPass Security Dashboard, LastPass can score the security level of your passwords and suggest new passwords for you using the password generator. LastPass can give you an overall security rating and alert you if your email accounts have been breached through their Dark Web Monitoring option.

DuckDuckGo

DuckDuckGo is known as a "private" search engine because it doesn't track or record any personal Internet-related data about its users. This means that DuckDuckGo doesn't collect information on a computer's IP address, web browser specifications, or search history. DuckDuckGo also has features that block websites from knowing how you found them, so they can't use this information to profile you and show you privacy-invasive targeted advertising. DuckDuckGo also will automatically pull up the encrypted (HTTPS) version of a site rather than the unencrypted version.

DuckDuckGo can be used directly as a search engine like Google or added as an extension into web browsers. The extension adds additional features including blocking hidden trackers detected on visited sites and take you to encrypted versions of sites when possible. These private browsing

features require extra permissions, though work solely on your local device. DuckDuckGo does not collect or share any personal browsing information as per our privacy policy.

You can use a secure version of the website that makes your activities difficult to track and interpret. You can also redirect your search request so that other websites can't see your search terms, or even modify your search request so that your search terms aren't visible to any websites at all.

Disk Encryption

Full disk encryption is a data protection method, which transforms information stored on disk drives into encrypted files that can be only opened by people or systems who have the necessary access keys. Full disk encryption protects the entire computer hardware and all files on the drive against unauthorized access, in contrast to file-level encryption which protects individual archives.

If a laptop is ever lost, stolen, or decommissioned inappropriately, the odds are that the data will remain safe even then, because encrypted drives are extremely difficult to access without knowing the decryption key. This is not the case with unprotected drives, to which the attacker may gain access, simply by attaching them to another computer.

Windows 10 has a built-in disk encryption application called Bitlocker. All data on the protected drives is stored in an encrypted form while the computer is locked or turned off, but when the user unlocks the system with their Windows login credentials, everything works like in an unencrypted system. Any new files will be encrypted automatically.

General Phone Settings

Proper cellphone security will ensure documents are as protected as possible.

The following security preferences will help secure phone data. These preferences are not required, but strongly recommended.

- Don't automatically join wi-fi networks, you risk joining an unsecure network through which hackers can access your phone.
- Enable a complex PIN (see password protocol section for guidance) or fingerprint password on lock screen. Enabling FaceID is not recommended, due to concerns with

tracking facial recognition data. If staff member prefers to use FaceID and enables it on the device, be advised that in security situations where a person tries to enter a phone by force, the phone will not unlock if the user avoids looking directly into the camera. FaceID will only unlock if the face is in a neutral expression and looking directly ahead.

- Disable GPS location tracking from photos and avoid enabling it on as many application as possible. This will ensure that if an application is compromised, there is less likelihood your sensitive information will be leaked.
- Enable “Find my Phone” on iPhone or Android. Find my Phone includes a remote phone wipe setting that will allow users to clear the contents of their phones if the phone is lost or stolen. This will return the phone to factory mode, clearing all the data or contents of the phone.
- Keep phone software and applications regularly updated to ensure devices have the latest security patches installed.
- Disable load remote images on emails. Hackers can hide malware within photos in emails, which are downloaded automatically if this setting is not disabled.
- Enable USB restriction mode to ensure malware cannot be installed through USB ports.
- Download LastPass application to manage passwords.
- Enable multi-factor authentication on as many applications as possible.

6. Cash Management

6.1 Petty Cash

This is an imprest system of cash control which is used for day-to-day expenditure of items less than USD \$25.00 or its Mexican peso equivalent. The fixed float amount of petty cash is USD \$300.00 or its Mexican peso equivalent. Unless otherwise delegated, the FO Finance Manager is responsible for the petty cash system, including disbursement and reconciliation.

A petty cash log is to be maintained by the FO Finance Manager. The date and amount of petty cash taken must be recorded on the petty cash log. The FO Finance Manager will complete the

details of the expenditure and track all receipts associated with petty cash. At the end of each month, a petty cash count should be completed to confirm the balance; a template is provided in [Annex B](#).

When the balance of the petty cash reaches USD \$50.00, the FO Finance Manager will reconcile the petty cash, ensuring that all receipts and vouchers are accounted for, and replace funds by a wire transfer or drawing a check made out to petty cash. When petty cash is reimbursed, the transaction is recorded in the accounting software allocating each item to the appropriate line item. The FO Director is responsible for review and approval of the petty cash reconciliation. The FO Director is also responsible for surprise cash count to be done no less than quarterly and at the end of fiscal year closure.

6.2 Exchange Rates

To report all revenues and expenditures, Partners Mexico uses a monthly average exchange rate rounded two decimal places. The Bank of Mexico or [OANDA](#) proof of exchange rate must be submitted monthly to Partners HQ with the monthly field expenditure reports.

6.3 Bank Accounts

Partners Mexico is authorized to set up one bank accounts per project plus one shared office account for administrative purposes. If any additional bank accounts are required, the FO Director must request permission and approval in writing form to the Chief Financial Officer. The goal is to keep Partners Mexico's bank accounts to the minimum number needed.

The bank accounts should only be used for the purpose of the project and in the name of Partners Mexico. Transactions related to other projects will not be permitted. The bank account should have a HQ staff member and a minimum of two signatories, the FO Finance Manager, and the FO Director. The FO Director will approve all the payments and sign all checks and wire transfers. For payments by wire transfers and checks in any amount, the FO Finance Manager must sign as a second signatory.

Information on any new bank account must be sent to Partners HQ and provide the following information: the name on the account, account number, bank name, type of account, list of

signatories on the account and current balance. Changes to the signatories on the account must be approved by the FO Director and notification should be provided to Partners HQ. Upon hiring or termination of employee with signatory power, the bank account signatories must be updated accordingly.

The FO Director must authorize any registration or edit of bank accounts from supplier, vendors, grantees, subcontractors, and or employees in the bank platform.

6.3.1 Monthly Bank Account Reconciliations

The monthly bank statements will be used to reconcile the accounts each month. Each bank account (the Mexican pesos and USD) should have a separate general ledger account, differentiated by sub-code.

At the end of each month Partners Mexico will receive the monthly bank statement from the bank for each account. Note an official statement must be obtained from the bank for each account, regardless of whether any transactions took place during the month. If the reconciliation is done in Mexican Pesos, then a proof of exchange rate to USD from the Bank of Mexico must be provided.

The purpose of the monthly bank reconciliation is to reconcile the balance shown on the bank statement with the ending balance on the general ledger journal. Each transaction (check, wire, advance, etc.) must be recorded separately. A lump sum total will not be permissible. All bank reconciliations must be done on the field report expenditure template and reconciliation, found in [Annex C](#).

The reconciliation tab should not be used to restate the monthly bank activity but should be used to show any outstanding transactions that occurred during the month but have not yet been reflected on the bank statement. The prior month's bank reconciliation must be checked for any items that remain outstanding. Transactions that remain uncleared from previous months should be promptly researched with the bank or the payee. The tab for financial field report of general ledger activities should show all financial transaction occurring in the month.

Once the full bank reconciliation is completed, the FO Finance Manager will be responsible for submitting to Partners HQ the following: bank reconciliation, copy of the bank statement, full

financial field report (general ledger report), and copies of all receipts by the 7th of each month for the prior month's expenditures as indicated in [3.1 Reconciliation of Assets, Liabilities & Cash Accounts](#).

6.4 Cash Flow Advances

The Partners Mexico may request up to 30 days of cash needs based on the monthly cash flow projection. Cash may be drawn once a month on the first of the month. A cash flow request must be used for all cash requests to Partners HQ, the template is provided in [Annex D](#). Funding requests should be sent to Partners HQ by the 7th of the month to be processed on mid-month wire and check release cycle. Partners Mexico should plan enough lead time when requesting cash to take into account the wire processing time by the bank and Partners HQ. Cash flow advances must be cleared monthly through submission of a financial report that is submitted to Partners HQ in accordance with [3.1 Reconciliation of Assets, Liabilities & Cash Accounts](#). Often times the cash flow advances will not clear entirely each month, and therefore any leftover funds should be taken into consideration as cash on hand when determining the next month's cash flow request. If financial reports are not submitted on time, additional advances to Partners Mexico may be held at the discretion of the CFO.

6.4.1 Excess Cash on Hand

Excess funds are defined as cash in excess of 60 days for Mexico operations. As having an excess of funds in the Mexico can pose a risk, Partners Mexico should consult with Partners HQ to determine the best course of action to rectify the situation.

6.5 General Cash Handling Policies

Below are the general guidelines that Partners Mexico is required to meet in order to ensure compliance and safeguarding of cash.

6.5.1 Use of Safes

Partners Mexico is required to use a fireproof safe for the storage of office cash. Access to the safe should be strictly controlled. A set of keys should be kept by the FO Director only.

6.5.2 Minimizing Cash Transactions

Given the inherent risks associated with cash handling, Partners Mexico must always use other means of payment whenever possible, such as a bank debit card, checks or wire transfers and avoid use of petty cash and advances. The maximum cash payment that is permissible is USD \$25. Transactions over this threshold must be made with another payment method such as a bank debit card, check, or wire transfer.

6.5.3 Evidence of Receipt by Payee

To prevent duplicate payments or claims of discrepancies, all cash payments must be documented by evidence of receipt by the payee. This means that the recipient of the payment must sign that the cash was received in total at the time of payment. A numbered receipt should be prepared in duplicate indicating the amount and date and should be signed by the recipient. One copy should be given to the payee and one copy should be retained and included with the voucher documentation.

6.5.4 Periodic Cash Counts – Petty Cash Certification

Cash balances should be physically counted periodically to ensure that cash journal/receipts balances match the actual cash on hand. These cash counts should be done in accordance with [Section 6.1 Petty Cash](#). Petty cash certifications should conform to the following general guidelines:

- Cash counts should be done discreetly, out of general view and should be undisturbed.
- Counts should be performed by a minimum of two people. One should serve as the counter and the other as a witness of the count. A template of the Petty Cash Certification can be found in [Annex E](#) which must be completed each time.
- Cash counts should be performed each month and at random. Note that Partners HQ reserves the right to request a Petty Cash Certification at any time.
- Any overages or underages must be recorded in the cash journal at month end in order to reconcile with the final count. Discrepancies may not be held over to future periods. The cause for any overages or underages must be further researched and appropriate action taken to ensure that it does not happen in the future. Partners HQ must be notified of any discrepancies.

7. Partners Mexico General Policies

7.1 Anti-Corruption Policy

Partners Mexico and its affiliates must have a zero-tolerance against bribery and corruption. The objective of the anti-corruption policy is to ensure that appropriate anti-corruption and bribery procedures are in place to avoid any violations of relevant laws and regulations. This policy applies to all officers, directors, shareholders, employees and appointed third party representatives. For a copy of the full policy, please reference the Partners General Field Office Manual.

7.2 Anti-Discrimination

Under the Convention 111 of the International Labour Organization, discrimination includes any distinction, exclusion or preference based on race, color, sex, gender, religion, political opinion/affiliation, national ancestry, social origin, nationality, age, disability, migratory condition, health, sexual preferences, and social rank, that results in destroying or altering the equality of chances or treatment in employments or occupation. The Mexican Labor Code provides that all workers are equal before the law and benefit from the same protection and guarantees. All employees should be treated equally with due consideration and avoid mistreatment either through word or conduct. The Labor Code specifically states that if the work is equal (job conditions, workday, positions) that the wage must also be equal (Article 86).

Partners Mexico promotes diversity and equal opportunity in the workplace in accordance with all applicable local laws. If you believe that you have been the victim of any type of discrimination or are aware of such conduct, you must promptly notify your supervisor, FO Director, or Partners HQ. An employee who has made a report of questionable conduct and who subsequently believes he or she has been subjected to retaliation of any kind by any Partners Mexico or Partners HQ employee is directed to immediately report it to the FO Director or the appropriate party at Partners HQ. Anyone found to be engaging in any type of unlawful discrimination will be subject to disciplinary action, up to and including termination of employment.

All Partners Mexico employees have the responsibility to maintain honesty, integrity, and efficiency, and to reassure their conduct and commitment to the highest ethical standards. It is important to emphasize that all employees are important. The development and success of Partners

Mexico depends on the interest and creativity of its employees in the work. They must maintain good relationships and treat others kindly, creating a harmonious work environment and excellent employee relationships including equality of opportunity without discrimination or harassment.

An employee who has made a report of questionable conduct and who subsequently believes he or she has been subjected to retaliation of any kind by any Partners HQ employee is directed to immediately report it to the FO Director and, if applicable, Partners HQ.

7.3 Anti-Sexual Harassment

The Partners Mexico prohibits all forms of sexual harassment. Sexual harassment refers to any physical behavior, verbal or not, of sexual nature, affecting women and men's dignity, and deemed inappropriate, unreasonable, and offensive for the worker. In accordance with Article 3o. the following definitions apply:

- a) Harassment, the exercise of power in a relationship of real subordination of the victim to the aggressor in the workplace, expressed in verbal or physical conduct, or both; and
- b) Sexual harassment, a form of violence in which, although there is no subordination, there is an abusive exercise of power that leads to a state of defenselessness and risk for the victim, regardless of whether it takes place in one or several events.

The evidence of sexual harassment in the workplace is established as long as the workers perceive that their reaction to such behavior:

- 1. Is a condition to keep the job and/or;
- 2. Will have an impact on decisions concerning their job and/or;
- 3. Will have an impact on their performance.

Sexual harassment can also come from a behavior that creates a hostile, threatening and humiliating environment. It is forbidden for the employer to take actions against the worker that may be considered sexual harassment, or to support or not intervene in the event that it is carried out by its representatives. Partners Mexico is committed to providing a work environment free of any form of verbal or physical discrimination and abuse on the basis of race, age, sex, religion, place of origin, physical disability, sexual orientation, or for any other purpose. It is Partners

Mexico policy to prohibit harassment between employees. The purpose of this philosophy is not to regulate the moral behavior of employees, but rather to ensure professional behavior at work. Employee harassment refers to the use of epithets, nicknames, threats, derogatory comments, offensive jokes, sexual insinuations, requests for sexual favors, and any other type of verbal or similar physical contact. Any employee who considers that he is subject to discrimination and harassment will have to report this situation to his immediate supervisor or to Partners HQ so that the corresponding investigation can be carried out and that the measures that the case deserves to be taken.

7.4 Anti-Workplace Violence and Bullying

To protect the welfare of our staff from instances of violence in the workplace, Partners Mexico has implemented a violence prevention policy. Partners Mexico strongly believes that all employees should be treated with dignity and respect and that each employee is responsible for her or his actions and consequences. Thus, acts of violence and threats of violence will not be tolerated. The carrying of weapons including, but not limited to, firearms and knives on company or client premises is strictly prohibited. Additionally, Partners Mexico does not allow workplace bullying. Partners Mexico defines bullying as “repeated inappropriate behavior, either direct or indirect, whether verbal, physical or otherwise, conducted by one or more persons against another or others, at the place of work and/or in the course of employment.” Such behavior violates the company Code of Ethics, which clearly states that all employees will be treated with dignity and respect. Bullying may be intentional or unintentional. However, it must be noted that where an allegation of bullying is made, the intention of the alleged bully is irrelevant and will not be given consideration when meting out discipline. As in sexual harassment, it is the effect of the behavior upon the individual that is important. Partners Mexico considers the following types of behavior examples of bullying:

- Verbal bullying: Slandering, ridiculing, or maligning a person or his/her family; persistent name calling that is hurtful, insulting or humiliating; using a person as the butt of jokes; abusive and offensive remarks.
- Physical bullying: Pushing, shoving, kicking, poking, tripping, assault, or threat of physical assault; damage to a person’s work area or property.

- Gesture bullying: Nonverbal threatening gestures or glances that convey threatening messages.
- Exclusion: Socially or physically excluding or disregarding a person in work-related activities.

Any violation of this policy may lead to disciplinary action, up to, and including termination. Additionally, employees have a “duty to warn” their supervisors, FO Director or Partners HQ of any suspicious workplace activity, situations or incidents that appear problematic. This includes, but is not limited to, threats, or acts of violence, aggressive behavior, and threatening comments or remarks. While Partners Mexico cannot guarantee the safety of employees, all reports will be promptly and thoroughly investigated.

7.4.1 Harassment/Bullying Complaint Procedure

If you believe you have been subjected to prohibited harassment or you are aware of any such conduct, the incident must be reported immediately. We ask that any person who has witnessed or been the subject of harassment contact our independent Human Resource (HR) Consultant, Foster Thomas. A confidential hotline at +1 (443)-951-4951 has been set up for you to report your concern via voicemail message. The voicemail is monitored by an HR Consultant from Foster Thomas who will review all messages and promptly contact you to discuss your concern and to gain a full understanding of the situation. The HR Consultant will then provide an overview of the situation to the Ethics Committee of the Board. The Ethics Committee will then review the case and make a determination of whether the case should be referred to the President (or, in appropriate circumstances, to another member of Senior Management or the FO Director) for further action. If the complainant provides no identifying information in the message, Foster Thomas will relay the complaint directly to the Ethics Committee for review.

Alternatively, or in addition to the confidential hotline, you may report harassment to your supervisor, FO Director, or Partners HQ, as you feel comfortable. Such complaints must be recorded in writing, either by the complainant or by the supervisor/FO Director to whom it is reported. A Harassment Complaint Form is available in [Annex F](#). Any supervisor or FO Director

who becomes aware of possible harassment or retaliation must immediately advise a member of Partners HQ so it can be investigated in a timely and confidential manner.

All harassment complaints will be promptly and thoroughly investigated, and each complaint will be handled as confidentially as possible under the circumstances. Complaints will be investigated impartially and if found to be truthful, Partners Mexico will take immediate corrective action. Anyone found to have engaged in harassment will be subject to appropriate disciplinary action up to, and including, termination of employment.

7.4.2 Protection from Retaliation for Harassment/Bullying Complaint

Partners Mexico prohibits any retaliation against employees who legitimately exercise their rights under this policy or who participate in an investigation. There is to be no interference, coercion, discrimination, reprisal, or retaliation against any employee for making a truthful, good-faith complaint or report of a violation. Employees who believe they are being discriminated against as a result of having legitimately filed a complaint or having truthfully participated in an investigation should immediately notify their supervisor, FO Director, or Partners HQ.

7.5 Freedom of Association

Mexican law recognizes and protects freedom of association. Workers, without any distinction of any kind, have the right, without prior authorization, to form organizations of their choice, and affiliate to such organizations, under the only condition of compliance to their statutes, (Federal Labor Law, Article 2, Arts 354-358).

7.6 Anti-Forced Labor

The Partners Mexico prohibits all forced labor. Forced labor shall mean any work or service exacted from an individual under the threat of any penalty and for which the individual has not voluntarily offered himself. No citizen can be forced into forced labor except in the case of a legal conviction.

7.7 Conflict of Interest

Partners Mexico requires that all potential conflicts of interest be reported immediately to the FO Director and Partners HQ. A personal conflict of interest is a situation in which an employee, or entity representative has a financial interest, personal activity or relationship that could impair the

employee's ability to act impartially when performing activities on behalf of Partners Mexico. To avoid a conflict of interest, Partners Mexico does not allow any employee, entity representative or any member of an employee's immediate family to receive a sub-award or have any financial or other interest in the entity selected for a sub-award without disclosing the conflict. Additionally, all employees, and representatives of Partners Mexico must neither solicit nor accept gratuities, favors, or anything of monetary value from sub-recipients or prospective sub-recipients. Any outside business dealings of Partners Mexico's employees must be legal and not conflict in any manner with Partners Mexico's operations. Outside business dealings include, but are not limited to, any investments, loans, employment, or business ownership by Partners Mexico's employees.

Furthermore, contracts or transactions (i) between Partners and one or more of its board members, officers, or employees, or (ii) between Partners and any corporation, partnership, association or other organization in which one or more of its board members, officers or employees are directors or officers, or have a financial interest, shall not be void or voidable solely for this reason, or solely because the board member, officer or employee is present at or participates in any meeting which authorizes the contract or transaction, or solely because his, her, or their votes are counted for such purpose, if:

1. The material facts regarding the relationship or interest are disclosed or are known to the Board of Directors, and the Board of Directors in good faith authorized the contract or transaction by the affirmative votes of a majority of the disinterested board members or officers, even though the disinterested board members or officers may then become less than a quorum; or
2. The material facts regarding the relationship or interest are disclosed or are known to the Board of Directors and officers voting thereon and the contract or transaction is specifically approved in good faith by a vote of the Board of Directors; or
3. The contract or transaction is fair to Partners as of the time it is authorized, approved, or ratified by the Board of Directors.

Common or interested Board members or officers may be counted in determining a quorum at any meeting of the Board of Directors which authorizes the contract or transaction, provided, however,

that the interested person or persons shall be excluded from the room during the discussion of the contract or transaction in question and during the vote thereon.

7.8 Confidentiality

Partners Mexico's work makes it essential that employees and consultants do not divulge proprietary company information unless expressly authorized by an officer of the company. Partners Mexico's employees and independent contractors may have access to and become acquainted with proprietary and confidential information such as client lists, rates, financial records, internal structure, internal policies, publications, inventories, computer software and related documentation and similar information, which is owned by Partners Mexico and which is regularly used in the operation of the business of the company. All employee and consultant agree to not use such proprietary or confidential information obtained during employment or contractual relationship with Partners Mexico as a means of making private profit.

Additionally, certain information concerning Partners Mexico's business is a valuable, special, and unique asset of the company. Employees and consultants agree not to disclose Partners Mexico's proprietary or confidential information to any person or entity for any reason, except as required in the course of employment or contractual relationship, or required by law or court order; and further agree not to make use of such information his/her own benefit or the private benefit of others.

All files, records, documents, drawings, specifications, equipment, and similar items relating to the business of Partners Mexico, including computer software or software documentation, shall remain the exclusive property of Partners Mexico and shall not be reproduced, removed, or transmitted from the premises of the company under any circumstances without the prior written consent of the Partners Mexico. Upon termination of employment with Partners Mexico, employees and consultants are required to return all company property to the FO Director.

Employees and consultants also agree that if any trade secret, formula, device, technology, technical information, process, etc. ("invention") is made during the course of employment or contractual relationship, alone or jointly with others which is made with Partners Mexico's equipment, supplies, facilities, trade secrets or time, or which relates to the business of Partners

Mexico, or which results from any work performed by me for Partners Mexico, such invention will belong to Partners Mexico and Partners HQ, whom will have full authority to use, transfer or license it. Partners Mexico and Partners HQ will have the right to keep such invention as a trade secret, if it so chooses. It is further agreed that Partners Mexico is not required to designate the employee or consultant as the inventor or author of any such invention if it is distributed publicly or otherwise. Any violation of this policy may lead to disciplinary action, up to, and including termination.

7.9 Drug Free Workplace

It is the policy of Partners Mexico to provide staff members with a working environment that is free from the problems associated with the use of illegal drugs. The use of illegal drugs is inconsistent with the behavior expected of staff members and subjects Partners Mexico to unacceptable risks of workplace accidents or other failures that would undermine Partners Mexico's ability to operate effectively and efficiently.

In addition, the use of illegal drugs is contrary to the mission of Partners Mexico, which includes providing drug prevention education to communities in Latin America, the Caribbean, and the United States. In order to carry out this mission, Partners employees must set an example in their behavior inside and outside the workplace. Therefore, employees found to be engaged in the use of illegal drugs or the unlawful manufacture, distribution, or dispensing of a controlled substance, either in or outside the Partners Mexico's workplace, are in violation of Partners Mexico's policies and are subject to disciplinary action, which may include termination. Each staff member must agree to notify Partners Mexico of any criminal drug statute conviction for a violation occurring in the workplace no later than five (5) days after such conviction. Non-compliance with this policy will result in disciplinary action.

7.10 Smoke Free Workplace

It is the policy of Partners Mexico to prohibit smoking on all Partners Mexico's premises in order to provide and maintain a safe and healthy work environment for all employees. Smoking is defined as the "act of lighting, smoking or carrying a lighted or smoldering cigar, cigarette or pipe of any kind."

The smoke-free workplace policy applies to:

- All areas of Partners Mexico building
- All visitors to the Partners Mexico
- All staff and consultants working on Partners Mexico's premises

Smoking is permitted outside the building where designated. Employees who violate the smoking policy will be subject to disciplinary action.

7.11 Alcohol Policy

An employee whose use of alcohol adversely affects job performance is subject to disciplinary action, which may include discharge. Partners Mexico may also require that an employee seek assistance and/or counseling services as a condition of employment in appropriate circumstances.

7.12 Code of Ethics

Partners Mexico has established the below Code of Conduct. It has consequently incorporated these standards, not only in relation with its employees, but also with its consultants, and where the non-respect of all or one of them is a justifying cause of termination of an employee contract or the end of a specific job. Each employee, volunteer, consultant and representative and member of the Partners Network is expected to adhere to a high standard of ethical conduct. The good name of Partners Mexico depends on the way its network and representatives conduct business and the way the public perceives that conduct. Unethical actions, or the appearance of unethical actions, are not acceptable.

Below is Partners Mexico standard code of conduct principals:

1. Sexual exploitation and abuse by employees is a serious misconduct that may result in termination of the employee's contract.
2. Sexual activity with children (persons under 18 years of age) is prohibited without involving the age established in the country. It is not accepted as a defense that there is a misleading assessment of the age of the child.

3. The exchange of money, employment of goods or services for sex, including sexual favors or other forms of behavior used to humiliate, degrade, or exploit, is prohibited. This includes the exchange of assistance that must be addressed to the beneficiaries.
4. Sexual relations between humanitarian workers and beneficiaries are strongly censored because they are based on inherent inequalities. This type of relationship transgresses and violates the credibility and integrity of the work of humanitarian assistance.
5. In the event that an employee of the Humanitarian Section is aware of or makes reference to suspicious behavior related to sexual abuse by a co-worker, whether working in the same office or not, he or she should report it to your supervisor or Partners HQ.
6. Humanitarian staff is required to create and maintain an environment that prevents sexual exploitation and abuse and can promote the implementation of a code of conduct. Managers at all levels have special responsibilities to support and develop systems that maintain this environment.
7. All persons interacting with or representing the Partners Network should maintain the confidentiality of information entrusted to them by Partners Mexico and any other confidential information about the organization, its activities, partners, funders, stakeholders, or suppliers, that comes to them, from whatever source, except when disclosure is authorized or legally mandated.
8. Persons interacting with or representing Partners Mexico in a foreign country are responsible for knowing and complying with these laws. Furthermore, anyone interacting with or representing the Partners Network must also take care to understand and respect the cultures and customs of the countries where Partners operates. Anyone working in the international arena should be aware of the US Foreign Corrupt Practices Act. The Act prohibits giving anything of value to officials of foreign governments in order to obtain or retain business. It is prohibited for any representative of Partners Mexico or its network to engage in bribery, kickbacks, payoffs, or other corrupt business practices. It is also Partners Mexico's policy to fully comply with all applicable US export, customs and trade control and regulations, licensing/trademarking/copyright requirements and other relevant US and international laws.

9. Partners Mexico intends to provide a pleasant, healthful, comfortable, and professional atmosphere that is free from intimidation, hostility or other offenses which might interfere with the pursuit of our mission. Moreover, Partners Mexico does not tolerate discrimination based on race, color, sex, religion, political opinion, disability, sexual orientation, economic situation, national ancestry, social origin, or any other legally prohibited characteristic. Harassment or discrimination based on sex or any other legally prohibited basis is illegal and is contrary to the policy of Partners Mexico.

If you know of or suspect a violation of applicable laws, rules or regulations or this Code, you must immediately report that information to the FO Director and Partners HQ. Individuals can also contact Partners confidential hotline at +1 (443)-951-4951. Partners HQ will determine, or shall designate appropriate persons to determine, appropriate action in response to violations of this Code.

Partners Mexico prohibits any retaliation against anyone who makes a good faith report of a suspected violation or who participates in an investigation. There is to be no interference, coercion, discrimination, reprisal, or retaliation against any person for making a valid and truthful complaint or good faith report of a violation. Nothing in this policy is meant to, nor should it be interpreted to, in any way limit your rights under any applicable federal, state, or local laws.

7.13 Grievance Policy

Partners Mexico provides employees with the opportunity to bring work-related problems and concerns to the attention of management and to resolve such problems fairly and promptly. Any employee who feels that s/he has been treated unfairly or inequitably regarding a condition or action affecting employment should bring the matter to the attention the FO Director, Partners HQ or to the confidential hotline at +1 (443)-951-4951.

7.14 Whistleblower Policy

Employees have the duty to comply with all applicable laws and to assist Partners Mexico to ensure legal compliance. Partners Mexico encourages its employees to report improper activities in the workplace and will protect employees from retaliation for making any such report in good faith.

Employees have the right to report, without suffering retaliation, any activity by the organization or its employees that the employee reasonably believes:

- Violates any local, state, or federal law;
- Violates or amounts to noncompliance with any local, state, or federal rule or regulation;
- Violates fiduciary responsibilities by a corporation to its stakeholders or employees.

In addition, employees can refuse to participate in an activity that would result in a violation of, or noncompliance with, any local, state, or federal statutes, rules, or regulations. Employees are also protected from retaliation for having exercised any of these rights in any former employment. The whistleblower protection laws do not entitle employees to violate a confidential privilege of the organization (such as attorney-client privilege) or improperly disclose trade-secret information.

7.14.1 Whistleblower Complaint Procedure

Any employee who suspects a violation of ethics or legal compliance is required to report the situation(s) to the FO Director, Partners HQ, or the confidential hotline at +1 (443)-951-4951.

7.14.2 Protection from Retaliation for Whistleblower Complaint

Partners Mexico is prohibited from discharging an employee or taking other adverse employment action against an employee in retaliation for the employee's good faith complaint about safety and health hazards or other violations of law in the workplace and the environment.

7.15 Labor Disputes

In the event of labor dispute, the employee and Partners Mexico will work to rectify the dispute immediately. In the case that the labor dispute cannot be resolved between the two parties, the issue will be brought to the Conciliation Center before going to the courts. This will start the conciliation procedure in accordance with Article 684 of the Mexican Federal Labor Law. The Conciliation Center will handle all disputes concerning wages, working conditions, etc. which are not determined by provisions of laws or regulations. The preliminary conciliation provisions processing, before the Court, will be followed in accordance with the Title Thirteen Bis, Chapter 1, of the Federal Labor Law, which establishes the form and terms in which it will be carried out.

The conciliation procedure is mandatory, however, according to the Federal Labor Law, the cases that are exempt from exhausting this instance are the disputes inherent to:

- Discrimination in employment and occupation due to pregnancy, as well as reasons of sex, sexual orientation, race, religion, ethnic origin, social status or harassment or sexual harassment.
- Designation of beneficiaries by death.
- Social security benefits for work risks, maternity, illness, disability, life, nurseries and benefits in kind and work accidents.
- Protection of fundamental rights and public freedoms of a labor nature related to: Freedom of association, trade union freedom and collective bargaining, Labor trafficking, forced and compulsory labor child labor
- Dispute over the ownership of collective contracts or law contracts.
- Challenge or modification of union statutes.

7.16 Hygiene, Health & Workplace Security

Partners Mexico will take all necessary precautions to effectively protect the life, safety, and health of employees. The office will comply with all requirements in the Federal Occupational Safety and Health Regulations. In order to ensure this, Partners Mexico will take the necessary measures that are aimed at:

- Informing employees of risks in the workplace;
- Preventing accidents in the workplace;
- Ensuring that all machinery, equipment, and other operations have security measures in place and are kept in good condition and will be subject to periodic inspection and maintenance;
- Preventing occupational diseases;
- Preventing fires;
- Providing a healthy and clean work environment;
- Providing the necessary clothing and equipment to ensure appropriate protection;
- Providing security guards for the office as necessary;

- Warning employees of any workplace dangers that could impact their health;
- Carrying out training activities on hygiene and safety at work as needed;
- Ensuring proper hygiene in sanitary facilities;
- Ensuring that appropriate hygiene is maintained in facilities where food or drinks are prepared;
- Maintaining a first aid kit, medications, and medical supplies in the office; and
- Comply the requirements of NOM-035-STPS-2018 related to Psychosocial Risk Factors at Workplace, Identification, Analysis and Prevention:

https://www.dof.gob.mx/nota_detalle.php?codigo=5541828&fecha=23/10/2018.

All employees share the responsibility for workplace safety. The FO Director is responsible for developing safety awareness and ensuring that all operations are performed with regard for the safety and health of all employees involved. Employees are responsible for continuously practicing safety while performing their job duties. Employees are encouraged to be alert to unsafe conditions and report them promptly to the FO Director. All reports can be made without fear of reprisal.

Partners Mexico will follow and comply with an Occupational Health and Safety Program, based on the Occupational Health and Safety Diagnosis, according to the Federal Occupational Health and Safety Regulations.

7.16.1 Housekeeping

Safety is directly related to neatness and cleanliness. Items that are out of place can cause accidents and injuries, and lack of cleanliness can quickly become a health risk. Furthermore, our office reflects our staff and organization to outside guests, so it is everyone's shared responsibility to project the best impression possible.

Employees are expected to keep their work areas neat, organized, and free of clutter or objects that could interfere with the work process or cause accidents. Employees should assist with keeping public areas presentable by:

- Returning tools and supplies to their proper place and condition after use.
- Properly disposing of trash and cleaning spills or other messes.

- Storing limited food items in the refrigerator, and promptly consuming or removing them.
- Making sure hallways, walkways and other publicly visible areas are free and clear of dangerous obstacles or unsightly objects.
- Reporting safety and maintenance issues immediately.

7.16.2 Job Related Injury Reporting

Employees should immediately report all work-related illnesses, injuries, or occupational disease exposures to the FO Director or Partners HQ. Employee should complete the Employee Incident Report Form, found in [Annex G](#). Once reported, the FO Director in conjunction with Partners HQ will determine the next steps according to Article 504, numeral V, of the Federal Labor Law.

Partners does not discriminate or retaliate against employees who have filed legitimate job-related injury report. Supervisors will not take or threaten any action to compel or persuade employees not a job-related injury report.

Employees in any case, or just in sick leave above 3 (three) days, has to report to the corresponding Mexican Social Security Institute's clinic, the illness, injuries, or occupational disease exposure, in order to obtain the sick leave license or a disability verdict accordingly.

8. Recruitment and Labor Contracts

8.1 Equal Employment Statement

Partners HQ and Partners Mexico affirms it is an equal opportunity employer. Every team member has the right to work in surroundings that are free from all forms of unlawful discrimination. Partners Mexico will not engage in or tolerate discrimination on the basis of race, color, gender, religion, age, sexual orientation, national or ethnic origin, disability including HIV/AIDS status, marital status, veteran status, gender reassignment status or any other protected group status under Mexican and U.S. federal, state, or local law.

Our policy provides equal opportunity to qualified individuals in all aspects of recruitment, hiring, training, promotion, layoff, termination, compensation, and other terms of employment.

Employment is contingent upon the individual's ability to meet the essential tasks as defined in the position description, with or without reasonable accommodation or adjustment. Individuals with physical or mental disabilities will be provided reasonable accommodations/adjustments, as prescribed by relevant law. Any team member who believes s/he needs reasonable accommodation to fulfill the essential functions of their work should notify his/her supervisor and the FO Director (or designee).

8.2 Application Process for Personnel

After a position is posted and available, the applicant must complete the Application Form for Personnel, template is provided in [Annex H](#). The applicant will then send the complete application to the FO Director (or designee). Only the final list of applicants who meet the qualifications will be sent to the supervisor of the position and Partners HQ (if required), whom will proceed with the recruitment process, with support from the FO Director. Note that all recruitment of staff will be internal and/or external. Partners Mexico is an equal opportunity employer.

8.2.1 Internal Recruitment

In order to promote within Partners Mexico as much as possible, the vacant position may be filled by any employee who would be interested and who, after evaluation, meets the requirements for fill the vacancy. If there is more than one employee interest in a vacant position, a competitive process will be conducted. If a promotion is made internally, the employee may be eligible for a salary increase and other changes as determined by the new position.

8.2.2 External Recruitment

When external recruitment for a vacancy is needed, the job offer should be actively advertised and promoted locally and internationally. Advertising notices will be brief, clear, precise and at a minimum provide:

1. Reference terms;
2. Information on the necessary training and experience of the candidate; and
3. How to apply and deadline for submission of applications

The FO Director (or designee) will send the job description to publish on Partners of Americas website and any job boards approved by the recruitment lead.

The FO Director (or designee) will review all CVs received and the selection criteria will be forwarded to the supervisor of the position and Partners HQ.

8.2.3 Transfer within the Partners Mexico

An employee's transfer means moving from one department to another, to a similar position. The salary remains unchanged. This is not a disciplinary measure. The transfer of an employee is carried out:

1. By decision of the FO Director, when in the interests of Partners Mexico and Partners HQ;
2. At the request of the employee, the case will be considered according to the possibilities within Partners Mexico;
3. At the request of his immediate supervisor

Any transfer of position requires the decision of the managers of the two (2) departments concerned, FO Director and Partners HQ.

8.2.4 Promotion within the Partners Mexico

Promotion is not automatic. However, following the annual performance evaluation, an exceptional employee may benefit from promotion if there is availability within the organizational structure at Partners Mexico. If there is more than one employee interest in a vacant position, a competitive process will be carried out. The promoted employee receives the basic salary corresponding to the new position held, in accordance with the pay grade and category.

8.3 Selection Process for Personnel

Both internal and/or external candidates should be reviewed and interviewed. A selection committee will be organized and must include at a minimum the position's supervisor, FO Director, and Partners HQ. It will have two potential phases:

1. An interview of the successful candidates by a selection committee to assess:
 - a. The qualifications of the candidate in relation to the profile of the position to be filled;
 - b. His/her past experience;
 - c. His/her sense of responsibility;
 - d. His/her ability to perform the duties of the position; and

- e. His/her ability to communicate.
2. The interview has to be prepared and input questions in a matrix for evaluating candidates through a scoring system and record comments. See procurement process for additional information on competitive proposals.
3. A written or practical test (if required) to judge the technical qualifications of the candidate. This must be include in the matrix. This will support the procurement and recruitment process for selecting the final candidate to fill the position.
4. All the documentation of the recruitment process must be filed as support for the process, this includes (CV of the interviewed candidates, technical tests (if applicable), matrix with qualifications and comments. See procurement process for additional information on competitive proposals.

Note: some projects will require specific qualification/requirements before hiring any Key Personnel. Any specific donor requirements should be followed when hiring any personnel. Final candidate's information will be sent to the FO Director and Partners HQ for final approval.

Meanwhile, the FO Director must perform reference checks in [Annex I](#) on 1st choice candidate approved, and complete required vetting, including verifying the candidate's employment, checking references, and Visual Compliance check. Once the reference check has been completed, the FO Director will extend email offer letter [Annex J](#) to be signed electronically with email signature by FO Director.

Once approved, the candidate will sign his/her contract and be provided with his/her orientation. All offer letters/agreements should, at a minimum, be signed by both the employee and FO Director.

8.4 Employee Definition

Under Mexican law Article 8, any person who provides services under the direction and dependence of another in Mexico is considered to be an employee and is therefore subject to the labor laws. The category of employee in a position of trust depends on the nature of the functions performed and not on the designation given to the position. Functions of trust are those of

management, inspection, supervision, and oversight, when they are of a general nature, and those related to the employer's personal work within the company.

An independent contractor does not provide services under the direction and dependence of another and is not subject to specific working hours. According to Article 14, individuals or legal entities that provide subcontracting services must be registered with the Ministry of Labor and Social Welfare. In order to obtain the registration, they must prove that they are up to date with their tax and social security obligations.

8.5 Labor Contract Definition

A labor contract is any agreement by which a person commits himself to hire out his/her subordinate personal services to another person, under the control or the dependence of the latter, for remuneration.

Per Partners Mexico, individual contracts of employment must be written, and all salary quoted in gross MXN. The contract of employment should include all basic terms and conditions of employment such as wages/salaries, hours of work, overtime, and leave. If agreed upon, other benefits, which may include sickness benefits, promotion, redundancy, likely duration of the employment.

Labor contracts shall be drafted in Spanish in two originals, one of which shall be given to each of the contracting parties. This includes all new contracts, modifications and/or novation.

All the legally established employee benefits are deemed to be automatically included in any employment contract. The minimum legal terms and conditions apply by default, unless custom or practice in the workplace, or an applicable collective agreement, includes any other term which improves the employment conditions for the employee.

8.6 Types of Contracts

In accordance with Article 35 labor relations can be for a specific job, time, by season or for an indefinite period of time and, where applicable, may be subject to trial or initial training. Below are the options for contracts at Partners Mexico:

- **Fixed-term/Temporary contract** -The fixed-term contract is the one which term is fixed in advance by the will of the parties. Fixed term contract cannot exceed one year of service in accordance with Article 40 of the Mexican Federal Labor Law. Fixed term contracts can only be required in the following cases (Article 37):
 - When required by the nature of the work to be performed;
 - When it is intended to temporarily substitute another worker, and
 - In the other cases provided by the Mexican Federal Labor Law.
- **Open-ended/Indefinite period contract** - The open-ended contract is one whose term is not provided for in advance, and if terminated will follow the mandatory severance in accordance with the Federal Mexican Labor Law, unless termination is for cause. A contract of a temporary nature which is tacitly renewed shall be regarded as having been transformed into a contract of indefinite duration, granting the worker all the benefits and legal advantages attached to it. In general an employment relationship is subject to the principle of ‘job stability’, which states it’s the employee’s right to keep their job as long as the employment relationship so requires.

In the absence of express stipulations, the relationship will be for an indefinite period. As a general principle, the Mexican Federal Labor Law states that an employment agreement has been executed for an indefinite term, unless the nature or the particular type of service to be provided calls for an employment agreement for a specific job or term.

8.6.1 Payment Structure for Contracts

Upon the creation of an opportunity, the FO Director must determine what type of payment structure for the contract will be needed, based on the work performed. The following types of payments options are available:

- **Fixed Price** – Fixed Price agreements are used mainly for assignments in which the content and length of the services and the required output of the consultant are precisely specific and for these reasons the consultant can generally control the scope of work and duration of services. Under a fixed price agreement Partners Mexico agrees to pay the consultant a predetermined set amount of money for certain products of specified technical natures,

such as reports, project designs, etc. that is to be delivered within a specified deadline, the quality of which can usually be readily assessed. Fixed-price agreements provides for a price that is not subject to any adjustment on the basis of the consultant's cost experience in performing the contract. It provides maximum incentive for the consultant to control costs and perform effectively.

- Time- Based (Hourly, Weekly, Monthly, etc.) – In a time, based agreement, the consultant provides services at a pre-determined time-based unit rate and records all hours worked under the scope of work. Time based labor agreements are recommended when the nature and scope of the services provided are such that a scope of work is general guidelines for the activities to be performed and when it becomes difficult to determine the exact time with sufficient precision, which is common in complex scope of works.

8.6.2 Pay Structure

All permanent staff members of the organization, with the exception of consultants, are paid according to the salary schedule of Partners Mexico.

Each position in a particular category is based on a combination of:

- a) Level of responsibility
- b) Qualifications required for this position

8.7 Content of Labor Contracts

Each labor contract must include the following elements in accordance with Article 25 of the Mexican Federal Labor Law:

- Full name;
- Nationality;
- Age;
- Sex;
- Civil/marital status;
- Clave Unica de Registro Poblacional (CURP);
- Registro Federal de Contrinuyentes (RFC);

- Domicile of the worker and the employer;
- Definition of the employment relationship - is for a specific job or term, initial training, permanent, and if it is subject to a probationary period;
- Service or services to be provided as specifically as possible (job description);
- Place or places where the work is to be performed;
- Duration of the day;
- Form and amount of the salary including any fringe benefits (Holidays, annual leave, sick leave, maternity/paternity leave, bereavement leave, etc.);
- Day and place of payment of the salary;
- Indication that the worker will be trained or trained in the terms of the plans and programs established or established by the employer;
- Other working conditions, such as days of rest, vacations and others agreed by the worker and the employer;
- The designation of beneficiaries (referenced in Article 501 of the Federal Labor Law) for the payment of wages and benefits accrued and not collected upon the death of workers or those generated by their death or disappearance derived from a criminal act; and
- Signatures of the contracting parties.

Every employment agreement contains an implied relationship of mutual trust and confidence. Furthermore, employment agreements cannot contain an employee's acceptance to waive the necessary legal grounds for justified dismissal on the part of the employer and the minimum mandatory benefits provided by the Mexican Federal Labor Law.

8.8 Rights and Obligations of Workers and Employers

Per a legal labor contract, below are the obligations of each contracting party.

In accordance with Article 132 Partners Mexico obligations are:

- Comply with the provisions of the labor standards applicable to the company;
- Pay the workers' wages and compensation, in accordance with the regulations in force in the company or establishment;

- Provide the workers in a timely manner with the tools, instruments, and materials necessary for the execution of the work, having to give them of good quality, in good condition and replace them as soon as they cease to be efficient, provided that they have not committed to using tools. own. The employer may not demand any compensation for the natural wear and tear suffered by tools, instruments, and work materials;
- Provide a safe place to keep the instruments and work tools belonging to the worker, provided that they must remain in the place where the services are rendered, without it being lawful for the employer to retain them as compensation, guarantee or any other. The registration of instruments or work tools must be made whenever the worker requests it;
- Maintain a sufficient number of seats or chairs available to workers;
- Keep the workers in consideration, refraining from spoken or action of mistreatment;
- Issue every fifteen days, at the request of the workers, a written record of the number of days worked and the salary received;
- Issue to the worker who requests it or separates from the company, within a term of three days, a written record regarding their services;
- Grant workers the necessary time to vote in popular elections and to fulfill the jury, electoral and census services, referred to in article 5 of the Constitution, when these activities should be accomplished within your business hours;
- Allowing workers to miss their work to carry out an accidental or permanent commission from their union or the State, provided that they give timely notice and that the number of commissioned workers is not such as to impair the smooth running of the establishment.
- Establish and sustain the schools, Article 123 of the Constitution, in accordance with the provisions of the laws and the Secretariat of Public Education;
- Collaborate with the Labor and Education Authorities, in accordance with the laws and regulations, in order to achieve the literacy of the workers;
- Provide training and education to its workers in accordance with the Law;
- Install and operate factories, workshops, offices, premises, and other places where the work must be carried out, in accordance with the provisions established in the regulations and official Mexican standards on safety, health and work environment, for the purpose of

prevent accidents and occupational diseases. Likewise, they must adopt the preventive and corrective measures determined by the labor authority;

- Comply with the regulations and official Mexican standards in matters of safety, health, and work environment, as well as having the necessary medicines and healing materials at all times to provide timely and effective first aid;
- Visibly fix and disseminate in the places where the work is provided, the provisions leading to the regulations and official Mexican standards in matters of safety, health, and work environment, as well as the full text of the collective labor agreement or contracts that govern in the company; Likewise, information about the risks and dangers to which they are exposed must be disseminated to workers;
- Provide its workers with prophylactic drugs determined by the health authority in places where there are tropical or endemic diseases, or when there is danger of an epidemic;
- Comply with the provisions set forth by the competent authority in case of a health emergency, as well as provide its workers with the elements indicated by said authority, to prevent illnesses in the event of a health contingency declaration;
- Make deductions from the fees for the constitution and promotion of cooperative societies and savings banks, in accordance with the provisions of article 110, section IV;
- Make the deductions and payments corresponding to the alimony provided for in section V of article 110 and collaborate to that effect with the competent jurisdictional authority;
- Allow the inspection and surveillance that the labor authorities practice in their establishment to ensure compliance with the labor standards and give them the reports that are essential for that purpose, when they request it. Employers may require inspectors or commissioners to show them their credentials and inform them of the instructions they have;
- Contribute to the promotion of cultural and sports activities among its workers and provide them with the necessary equipment and supplies.
- Make the deductions provided for in sections IV of article 97 and VII of article 110, report the discounts in order of priority, first to the Institute of the National Fund for the Consumption of Workers and later to the other institutions;

- Affiliate the workplace to the Institute of the National Fund for the Consumption of Workers, so that workers can be subject to the credit provided by said entity. Membership will be free for the employer;
- Provide pregnant women with the protection established by the regulations;
- Grant paternity leave of five working days with pay, to working men, for the birth of their children and in the same way in the case of the adoption of an infant;
- Participate in the integration and operation of the Commissions that must be formed in each work center, in accordance with the provisions of this Law;
- Grant leave without pay to the workers declared disappeared who have a Special Declaration of Absence, in the terms of what is established in the special legislation on the matter;
- Grant the facilities conducive to workers with respect to the licenses issued by the Institute as established in article 140 Bis of the Social Security Law;
- Implement, in agreement with the workers, a protocol to prevent discrimination based on gender and care for cases of violence and sexual harassment or harassment, as well as eradicate forced and child labor; and
- Establish and disseminate in the places with the greatest influx of the work center the faithful text of the call and other documents requested by the Federal Center for Conciliation and Labor Registration for the development of the consultation procedure.

In accordance with Article 133 Partners Mexico's prohibitions are:

- Refusing to accept workers for reasons of ethnic or national origin, gender, age, disability, social condition, health conditions, religion, opinions, sexual preferences, marital status, or any other criteria that may give rise to a discriminatory act;
- Demand that workers buy their consumer items in a store or a specific place;
- Demand or accept money from workers as a bonus because they are admitted to work or for any other reason that refers to its conditions;

- Force workers, by coercion or by any other means, to join or withdraw from the union or group to which they belong, or to vote for a certain candidacy, as well as any act or omission that violates their right to decide who should represent them in the negotiation collective;
- Intervene in any way in the internal regime of the union, prevent its formation or the development of union activity, through implicit or explicit reprisals against the workers;
- Make or authorize collections or subscriptions in establishments and workplaces;
- Execute any act that restricts workers the rights granted by law;
- Make political or religious propaganda within the establishment;
- Employ the system of indexing workers who separate or are separated from work so that they are not given employment again;
- Carry weapons inside the establishments located within the towns;
- Appear at the establishments in a drunken state or under the influence of a narcotic or an enervating drug;
- Perform acts of harassment and / or sexual harassment against any person in the workplace;
- Allow or tolerate acts of harassment and / or sexual harassment in the workplace;
- Require the presentation of medical certificates of non-pregnancy for entry, permanence, or promotion in employment;
- Dismissing a worker or coercing her directly or indirectly to resign because she is pregnant, changes in marital status or takes care of minor children;
- Dismiss or terminate the employment relationship of a worker who has the status of a disappeared person and has a Special Declaration of Absence, in the terms of what is established in the special legislation on the matter.
- Carry out any act aimed at exercising control over the union to which its workers belong; and
- Other provisions as established by the Mexican Federal Labor Law.

In accordance with Article 133 the workers obligations are:

- Comply with the provisions of the labor standards that are applicable to them;
- Observe the provisions contained in the regulations and official Mexican standards in matters of safety, health, and work environment, as well as those indicated by the employers for their safety and personal protection;
- Carry out the service under the direction of the employer or his representative, to whose authority they will be subordinate in everything concerning the job;
- Carry out the work with the appropriate intensity, care, and dedication and in the agreed manner, time, and place;
- Give immediate notice to the employer, except unforeseen circumstances or force majeure, of the justified causes that prevent him from attending his work;
- Restore unused materials to the employer and keep the instruments and tools that he has given them for the job in good condition, not being responsible for the deterioration caused by the use of these objects, nor for that caused by unforeseeable circumstances, force majeure, or due to poor quality or faulty construction;
- Observe good manners during the service;
- Providing aid at any time it is needed, when an accident or imminent risk endangers the people or interests of the employer or his co-workers;
- Integrate the organizations established by this Law;
- Undergo the medical examinations provided for in the internal regulations and other regulations in force in the company or establishment, to verify that they do not suffer from any contagious or incurable work-related disability or disease;
- Inform the employer of the contagious diseases they suffer, as soon as they have knowledge of them;
- Communicate to the employer or his representative the deficiencies that they notice, in order to avoid damages or losses to the interests and lives of their co-workers or employers; and
- Keep the technical, commercial, and manufacturing secrets of the products to which they directly or indirectly produce, or of which they have knowledge due to the work they

perform, as well as reserved administrative matters, the disclosure of which may cause damage to the company.

In accordance with Article 135 workers' prohibitions are:

- Carry out any act that could endanger their own safety, that of their co-workers or that of third parties, as well as that of the establishments or places where the work is carried out;
- Missing work without just cause or without permission from the employer;
- Subtract from the company or establishment useful work or raw or elaborated material;
- Reporting to work in a drunken state;
- Reporting to work under the influence of any narcotic or unnerving drug, unless there is a medical prescription. Before starting his service, the worker must inform the employer of the fact and present the prescription signed by the doctor;
- Carrying weapons of any kind during working hours, unless the nature of the work requires it. Sharps and sharps that are part of the tools or tools of the job are excepted from this provision;
- Suspend work without authorization from the employer;
- Make collections in the establishment or workplace;
- Use the tools and supplies provided by the employer, for a purpose other than the one for which they are intended;
- Make any kind of propaganda during working hours, inside the establishment; and
- Sexually harass any person or perform immoral acts in the workplace.

8.9 Termination & Suspension of Labor Contract

Labor contracts may be terminated entirely or suspended for a period in certain circumstances.

8.9.1 Temporary Suspension of Labor Contract without Liability for the Parties

- I. The contagious disease of the worker;
- II. Temporary disability caused by an accident or illness that does not constitute a work risk;

- III. The detention of the worker followed by acquittal. If the worker acted in defense of the person or the interests of the employer, the latter shall have the obligation to pay the wages that the former had ceased to receive;
- IV. The arrest of the worker;
- V. The fulfillment of the services and the performance of the positions mentioned in article 5 of the Constitution, and of the obligations set forth in article 31, section III of the same Constitution;
- VI. The designation of the workers as representatives before the state organisms, the National Commission of Minimum Wages, the National Commission for the Participation of the Workers in the Profits of the Companies, and others similar;
- VII. Lack the documents required by Laws and regulations, necessary for the provision of the service, when it is attributable to the worker;
- VIII. The conclusion of the season in the case of workers hired under this modality, and
- IX. The license referred to in article 140 Bis of the Social Security Law.

The suspension referred to in article 42 shall take effect:

- In the cases of sections I and II of the above, from the date on which the employer has knowledge of the contagious disease or of the incapacity for work, until the end of the period set by the Institute Mexican Social Security or earlier if the incapacity for work disappears, without the suspension being able to exceed the term established in the Social Security Law for the treatment of illnesses that are not the consequence of a work risk;
- In the case of sections III and IV, from the moment the worker proves to be detained at the disposal of the judicial or administrative authority, until the date on which the sentence that acquits him or ends the arrest becomes enforceable. If you obtain your provisional release, you must report to work within a period of fifteen days after your release, unless you are prosecuted for intentional crimes against the employer or his co-workers;
- In the cases of sections V and VI, from the date on which the services must be rendered or the positions are held, up to a period of six years;
- In the case of section VII, from the date the employer has knowledge of the fact, up to a period of two months; and

- In the case of section VIII, from the end of the season until the beginning of the next.

The worker must return to work:

In the cases of sections I, II, IV and VII. the day after the date on which the cause of suspension ends. In the cases of sections III, V and VI, within fifteen days following the termination of the cause of suspension

8.9.2 Termination of Labor Contract

Termination of employment is the final, permanent, and irrevocable severance of the employment relationship between employer and employee. This may occur for a variety of reasons and may be initiated by either employer or employee. The nature of development assistance donor contracts like those implemented by Partners Mexico dictates the eventual termination of the employment of all local-hire employees as they are hired for Specific Scope of Work. Different types of termination of employment require different policies, although the procedures tend to be routine and more or less similar, except for a few added procedures in cases of involuntary termination for cause, as discussed below.

There are 3 (three) ways in which a labor contract can be terminated.

- 1) *As a matter of law*; without the need for legal proceedings or a court decision.
 - Expiry of the period laid down in the contract
 - Completion of work in the case of contracts concluded for a specific work
 - Grounds for termination expressly stipulated in the contract
 - Death of the employee or duly proven case of force majeure
 - Complete and final closure as a result of the death of the employer
 - Early close-down of the project due to local political or economic conditions.
In the case of early close-down, it is Partners Mexico's policy is to give its employees 60 days' notice, when circumstances permit.
- 2) *By mutual consent of the parties* - The cancellation must be confirmed in writing. Partners Mexico will follow the Federal Labor Law in regard to final payment of time worked and benefits.

3) *By the will of one of the parties*

Resignation with Cause: The employee if wishing to terminate the labor contract without liability, must notify the employer on one of the following:

- The employer or, as the case may be, the employer's group, when proposing the work, deceived him/her with respect to the conditions. This cause of termination shall cease to have effect after thirty days of rendering services to the employee;
- The employer, his family members or any of his representatives, within the service acts dishonestly or acts on violence, threats, insults, harassment and/or sexual harassment, bad treatment or other similar acts against the employee, spouse, parents, children, or siblings;
- Incurring the employer, his relatives, or workers, outside the service, in the acts referred to in the preceding section, if they are so serious as to make it impossible to comply with the employment relationship;
- Reduce the employer's salary of the worker;
- Failure to receive the corresponding salary on the agreed or customary date or at the agreed or customary place;
- Suffer damages caused maliciously by the employer;
- The existence of a serious danger to the safety or health of the worker or his family, either because the establishment lacks hygienic conditions or because the preventive and safety measures established by law are not in compliance;
- The employer, by his inexcusable imprudence or carelessness, compromises the safety of the establishment or of staff; and
- To demand the performance of acts, conducts or behaviors that undermine or violate the worker's dignity; and
- Other items similar to above that are equally serious and of similar consequences, as far as work is concerned.

The employee may separate from his job within thirty days following the date on which any of the causes mentioned in the preceding article occurs, and shall be entitled to indemnification by the employer in accordance with Article 50.

Resignation: Partners Mexico's policy is to discourage terminations as much as possible by trying to make the work and the employment relationship satisfying and rewarding, and by trying to resolve problems as quickly as possible. However, Partners Mexico will not alter its policies to retain employees. If an employee decides to voluntarily terminate the work relationship; Partners Mexico requires that the employee notify the Partners Mexico beforehand in writing. It is expected that the employee will give the FO Director a minimum of 10 (ten) days written notice. The FO Director or his/her designee shall meet with the departing employee in order to determine the cause of resignation. Employees terminating their employment on a holiday will be treated as having terminated the day before the holiday.

For voluntary resignations Partners Mexico will pay the necessary severance in accordance with the Mexican Federal Labor Law.

Termination with Cause: Partners Mexico if wishing to terminate the labor contract of an employee without liability, Partners Mexico will inform the employee or the Conciliation and Arbitration Labour Board on one of the following grounds:

- Lack of integrity by the worker,
- Use of false documentation to gain employment;
- Dishonest or violent behavior against the employer or the employer's family;
- Dishonest or violent behavior against co-workers that disrupts work;
- Acts of harassment or sexual harassment directed toward any person in the workplace;
- Sabotage of the workplace;
- Negligence;
- Carelessness that threatens the safety of the workplace and of other workers;
- Immoral acts in the workplace;

- Disclosure of trade secrets;
- More than three unexcused absences in a 30-day period;
- Insubordination;
- Failure to adopt preventive measures or to follow procedures to avoid accidents or illnesses;
- Reporting to work under the influence of alcohol or narcotic drugs; and
- Incarceration

Termination without Cause: If Partners Mexico terminates the for any reason that differs from what is established by law or agreement, the Employer must pay the Employee payments established by the Mexican Federal Labor Law that is in force, such as severance for time served and proportional labor benefits (i.e. Annual leave).

8.10 Probation Period 30/180 Days

Probation is a specified period of time at the beginning of employment during which Partners Mexico and employee test each other. At the end of the probationary period if Partners Mexico considers at its sole discretion that the employee does not have the required knowledge or abilities to perform the position duties, may terminate employment agreement.

In accordance with Article 39, if an employment agreement is indefinite or fixed term exceeding 180 days, the new employee is subject to a probationary period of 30 days. For executive positions, which is defined as an individual in positions of leadership, management, or others that exercise functions related to direction and administration of the business, the probationary period will be extended 180 days. The probation period is to occur only once during the period of an individual's employment with Partners Mexico.

Near the conclusion of probationary period, the supervisor shall meet with the employee in question to discuss the adequacy of the employee's performance. Should the supervisor determine that the employee is not performing adequately but that the problems can be corrected, and if the employee is willing to do so, a correctional program can be agreed upon. The supervisor can recommend either continued employment (executing a definitive contract) or termination of the employee in question to the FO Director, who shall consult with the Partners HQ prior to any such

termination. At the end of the probationary period, if the candidate does not meet the requirements of the position, he/she may be terminated at the end of his/her probation, without notice, but he/she will be entitled to the Bonus and leave proportional to the number months of service and will be compensated for all time worked.

8.11 Mandatory Notices for Termination of Labor Contract

There is no notice period under the Mexican Federal Labor Law. However, the employer must notify the worker in writing of the cause or causes for dismissal. Notice may be delivered directly by the employer at the moment of dismissal or stated to the Conciliation and Arbitration Labour Board within five (5) workdays. If the second option is chosen, the employer must provide the employee's last domicile registered in the employee file, so the Board can notify the employee in person.

If neither is done, the dismissal will be considered unjustified. Failure to execute a dismissal within one (1) month after the employer knew about the event that gave rise to the cause for dismissal will invalidate the action.

8.12 Statutory Benefits – Indemnity – Severance Pay

Dismissal with just cause: Employees terminated with cause do not receive indemnity payment.

Dismissal without just cause: Indemnity is required by Mexican law and the calculation must be equal to the most recent salary earned and include accrued benefits. Severance pay for a full-time employee equals three months' worth of wages, in addition to 20 days' worth of wages for each year the employee worked. The time between termination and the date severance is paid counts toward days worked and must be included as part of the severance payout.

Resignation: Indemnity payments do not apply if the employee terminates the contract voluntarily.

8.13 Statutory Benefits – Seniority Premium

Upon termination if an employee works 15 years or longer, they are entitled to bonus of seniority premiums. The bonus premium equates to 12 days' wages for every year worked.

8.14 Record Keeping for Personnel

Partners Mexico requires that all documentation related to the solicitation, hiring, review and termination of employees be retained in secure personnel folders. These folders should all reprimands, warnings, and suspensions of each for each employee with dates and reasons. Any required documents/provisions from the donor should also be included in the personnel record. Individual personnel folders/files should be maintained for all employees. All information provided by the employee is, and remains, confidential, and the documents in his/her file may not in any way be accessed by unauthorized personnel.

For each Partners Mexico staff member there will be an individual file which will include:

- 1) The Vitae curriculum;
- 2) A copy of the certificates and diplomas mentioned in the CV;
- 3) The job application form;
- 4) The employment contract;
- 5) The job description;
- 6) Any documentation indicating a salary increase;
- 7) The Employee Evaluation Forms;
- 8) Any document relating to a change in position, transfer, or promotion;
- 9) Any offer letters or warning letters; and
- 10) Record of paid leave or any other special leave requested and obtained
- 11) All documents related to:
 - a) Resignation
 - b) Revocation
 - c) Lay-off
 - d) Other causes of separation.

The Partners Mexico reserves the right to verify the authenticity of any document submitted by the Employee.

8.14.1 Access to Personnel Records

The only individuals at Partners Mexico, who have access to the personnel files, are FO Director, the Administrative and Financial Director. Employees will not be allowed to access or review their personnel files, however, upon special authorization and approval from FO Director, the employee may review their file. This review must be done in the presence of FO Director. Partners Mexico will also comply with the law on “Ley general de Protección de Datos Personales en Posesión de Particulares.” Reference Partners Mexico’s full policy on [Privacy & Personally Identifying Information](#).

9. Worktime, Workdays and Holidays

9.1 Normal Work Hours

Work hours are time when the worker is available to the employer. Rest periods are time when the worker is not available for the employer’s work.

Partners Mexico observes the following working days and hours, in compliance with Mexican law:

Normal (day) worktime is 8 hours per day and 40 hours per week.

- Option A: Monday to Friday from 8 am to 5 pm, or 40 hours of work per week.
- Option B: Monday to Friday from 9 am to 6 pm, or 40 hours of work per week.

Other options will be analyzed as needed and appropriate with the PD and prior approval from Partners HQ.

The PD, or his/her delegate, will inform Partners HQ on Partners Mexico staff schedule in a semi-annual basis, unless any changes happen in between the reporting periods.

All staff are required to account for all workdays Monday through Friday (unless there is a federal holiday) by working a regular day or taking the appropriate type of paid leave. There is no exception to this rule, regardless of the number of days within the month, all workdays Monday through Friday must be accounted.

9.2 Overtime and Limitations

Overtime refers to any hours worked beyond normal working hours listed above. These hours are compensated with an additional 100% surcharge according to Article 67. These hours are compensated at 2 times the hourly salary. If overtime hours exceeds 9 hours in a week, in accordance with Article 68 of the Mexican Federal Labor Law, these hours will be compensated with an additional 200% surcharge. Therefore, these hours are compensated at 3 times the hourly salary. Under no circumstances will overtime be approved for pregnant or nursing mothers, if it endangers the worker or the child's life.

Partners Mexico policy is not to expect, require, or encourage any of its local-hire employees to work overtime. Partners Mexico believes that the daily work assigned to its employees can be done as part of her/her regular schedule. Therefore, except in case of emergency or force majeure, all overtime must be approved by the supervisor. An employee requesting overtime must obtain the approval of his/her supervisor prior to overtime hours being worked. Any overtime worked without supervisor approval, will be paid, however disciplinary action will be taken including up to termination. Overtime is not considered as necessary because of the slowness of an employee in the performance of his/her duties, whether it is the improper performance of duties and / or the obligation to seek or correct errors.

9.3 Rest and Break Time

Below is the list of rest and break times allotted to all employees at Partners Mexico, in accordance with Mexican law:

- One-Hour Break - The worker shall be granted a one hour of rest for lunch. This rest shall not be counted within the normal hours of work.
- Break for Pregnant Women - During the period of apparent pregnancy, the woman shall be entitled to two rest periods per day of at least half an hour each, in addition to the part-time rest for the meal.
- Breastfeeding Break - Any mother breastfeeding her child may, for this purpose, have at her place of work, and twice a day, half an hour from her working day or, if she prefers, an

interval of fifteen minutes every three hours or a late arrival or early departure by one hour. These moments of rest are paid.

9.4 Weekly Rest Day

After a period of five consecutive working days (regardless of the number of hours worked during this period) or 40 hours per week (including overtime), all workers are entitled to a paid rest. This day of rest includes at least twenty-four (24) consecutive hours. If an employee is required to work on a day of rest, those hours are compensated with an additional 25% surcharge. All weekly rest hours therefore are compensated at 1.25 times the hourly salary.

9.5 Holidays

All employees at the Partners Mexico will be granted the following non-working holidays in accordance with local Mexican law. Additional paid holidays may be granted at the discretion of Partners HQ.

Holidays are generally official, state sponsored days of leave designated to commemorate national and religious occasions of significance to a society. Partners Mexico will follow the Mexico Government leave schedule. The Partners Mexico recognizes the following holidays:

- January 1, New Year's Day
- First Monday of February in commemoration of February 5;
- The third Monday of March in commemoration of March 21;
- Holy Thursday
- Holy Friday
- May 1st;
- September 16;
- Dia de los Muertos
- The third Monday of November in commemoration of November 20;
- On December 1 of every six years, when it corresponds to the transfer of the Federal Executive Power;
- December 25, and

- The one determined by the federal and local electoral laws, in the case of ordinary elections, to carry out the Election Day.

The field administrator will distribute the appropriate holiday schedule at the beginning of each calendar year. “Banking” or creating ad hoc floating holidays for overseas billable project employees is not permitted.

When an employee is requested to work on a holiday, he/she will be entitled to receive his/her regular salary in addition to 200% of the regular salary, that is to say, he/she will receive the payment of 3 (three) days of salary. When a holiday falls during the period of an employee’s paid annual, sick, maternity, paternity, and/or bereavement leave, the day is charged to holiday and does not reduce the number of leave days due to the employee. Timesheets shall accurately reflect days charged to holidays versus days charged to leave, and the leave request form shall be adjusted accordingly.

9.6 Compensatory Time

Partners Mexico is a flexible and humane organization. Our human resources are our most valuable asset, and we want to build them, not use them up. In this regard, time is available to exempt employees after periods of unusually excessive work with the intention they use this time to catch up on personal matters and to rest. Compensatory time is not related to hours or days worked and does not accumulate or accrue. Employees are eligible for one day (8 hours) of compensatory time within thirty (30) days of the following circumstance:

- Employees who travel for six or more consecutive days
- Administrative staff following the completion of an audit
- Employees included in proposal preparation, following submission
- Employee who is required to work on a Saturday*

*Any work on a Saturday must be pre-approved in writing by PD. If approved, the PD will indicate if the employee is entitled to a half or full day of compensatory time.

This time must be coordinated in advance with your supervisor in order to meet work-related demands. All compensatory time requests must be tracked and recorded properly on the

employee's timesheets in Replicon. Employees should enter compensatory time as regular hours, with a comment indicating the approved reason for the compensatory time.

10. Wages and Social Benefits

10.1 Wages

All employees will be remunerated for work provided to Partners Mexico. This wage or salary can be paid per unit of time, per piece work or it can be fixed.

In order to receive remuneration for time worked, all employees will need to complete timesheets. Time records are legal documents and the basic source of information for payroll purposes; therefore, time worked must be reflected accurately and in accordance with the Section

[Section 10.3 Timekeeping](#). All staff is responsible for approving their timesheet to certify the accuracy of all time recorded. Each supervisor will review for accuracy and approve the time sheets after the employee submits. Remuneration to all employees will be based on the approved timesheets only. All tax and other required deductions as mandated by local law will be withheld from each paycheck. Salaries will be paid on a bi-monthly basis, no later than the 15 and last day of each month, or the last working day prior of those days, by bank transfer.

10.2 Wage & Leave Advances

No wage or salary advances are allowed. Payroll is issued after the hours worked are completed and done. Furthermore, no advance leave for vacation, sick, or other leave may be taken.

10.3 Timekeeping

In order to ensure accurate timekeeping in the field, Partners HQ will require use of the electronic timekeeping and accrual platform called Replicon. Each employee will be responsible for utilizing his/her account to accurately record hours worked and request all types of leave. At the end of each week, employee will be responsible for reviewing and certifying their hours worked by clicking "submit" timesheet in Replicon. Subsequently, the respective employee's supervisor will need to log in and review and approve of the hours worked and click "submit." All timesheets will not be

considered completed until both the employee and the supervisor have certified the timesheet. Monthly, all timesheets should be printed and filed in accordance with [4.2 Filing and Records](#).

Any leave that is not requested and recorded in Replicon correctly will be disallowed and not approved. Failure to accurately report time and/or leave requests can result in disciplinary action, up to and including termination.

10.4 Pay Slips (Paystubs)

All employees should receive a pay slip with their salary payment (regardless of method of payment) that documents the details of the payment. Pay slips should include the following information:

1. Name of employee
2. Period to which the payment applies
3. Units, rate, and extended amount of gross salary or wage payments
4. Units, rate, extended amount, and description for each additional category of pay
5. Units, rate, extended amount, and description for each deduction
6. Taxes withheld on behalf of the government or other taxation authority (as applicable)
7. Subtotaled net pay amount

The pay slips are completed using information from the reviewed and approved bi-monthly payroll timesheets.

10.5 Bonuses & Benefits

10.5.1 13th Month Bonus

In accordance with Article 87, Partners Mexico must pay their employees a 13th Month or Christmas Bonus between December 1st and 20th of each year, regardless of the length of employment. The bonus is equivalent to 15 days of salary or proportional to time worked. The Bonus will not be less than one-twelfth of the wages received by the employee during the year (whether remuneration is in cash or in kind, accommodation, or commission). If the employee did not work for the entire period, the bonus must be paid proportionately to the time worked.

10.5.2 Vacation Premium

Employees are paid an extra 25% of the salary to which they are entitled during their vacation period.

10.5.3 Health Insurance

Private health insurance is provided to all Partners Mexico staff and 100% paid by Partners Mexico. Dependents may be eligible for coverage but are 100% the responsibility of the employee.

10.6 Wage Deductions

A deduction is any withholding from an employee's salary payment made by Partners Mexico.

Health insurance premiums for employee's dependents will be withheld from the employee (as applicable).

10.6.1 Statutory Deductions

The following deduction is mandated by Mexican law to be withheld from all remuneration payments: Mexican Institute of Social Security (IMSS).

Note that except for the social security contributions payable by the employees, Partners Mexico will not make withholding on the salaries paid to its employees in Mexico. It will be the responsibility of each employee to calculate his/her income tax, to file the monthly tax returns and to pay the same to the Mexican tax authorities. Since Partners Mexico tax regime is a non-obligated entity, it does not allow Partners Mexico to make any tax withholding, pursuant last paragraph of article 96 of the Income Tax Law applicable in Mexico.

10.6.2 Other Deductions

The following deduction may only be made when there is a prior written agreement between the employee and Partners Mexico:

- Deduction to reduce a salary advance
- Garnishment for alimony payments to a spouse or other family members
- Reimbursement for damages to office, products, etc.

The amount payable may in no case exceed the amount of one month's wages and the discount will be as agreed upon by the worker and the employer, but may not exceed thirty percent of the

excess of the minimum wage; except in the case of termination of the employment contract when the reimbursement guarantees given by the worker are insufficient.

10.7 Paid Leave

All employees will be entitled to the following paid leave, in addition to all the holidays mentioned above.

10.7.1 Annual Leave

All employees are entitled to a paid leave of at least 10 working days. Employees accrue paid annual leave at 0.833 day of paid leave per month of work. For an employee with less than one year of service, the number of annual vacation days = the number of months of service x 0.833. After the three year of service, an employee's vacation entitlement will increase to 15 working days. Every five years after the first three years of service, the employee will earn two additional days.

Partners Mexico strongly encourages its employees to use their annual leave during the year in which it is accrued. However, in the event that an employee does not use accrued annual leave for any reason, up to 5 (five) days may be carried over from one year to the next. If an employee has accumulated more than 5 (five) days of unused annual leave, the employee retains access to only 5 days of annual leave. On January 1st of each year, the annual leave accrual balance will reset. As the maximum carry over value is up to five (5) days of annual leave, any days above five (5) days will be forfeited.

Non-working holidays and interruptions of work due to sickness or maternity benefiting the worker shall not be deducted from the 10 working days of annual leave. All annual leave requests must be tracked and recorded properly on the employee's timesheets.

Any agreement to relinquish the right to an annual paid leave with pay or to forgo such a leave shall be void. An employee who, at the end of his/her annual leave does not show up for his position without just cause, is considered to have resigned.

10.7.1.1 Annual Leave Payout upon Termination

In case of suspension, dismissal, or resignation of the employee for any reason before the expiration of his year of service, and whatever the duration of employment, the worker is entitled

to payment of his/her portion of annual leave based on the accruals indicated in Replicon. Employees are entitled to the number of days of regular annual leave accumulated up to the date of termination. The payment is based on the salary earned at the time of termination.

The payout of vacation must match the days accrued in Replicon. Partners Mexico's policy is to provide the full monthly accrual on the 1st of each month, therefore, if the employee terminates employment any date after the 1st of the month, they would be entitled to the full month's accrual. Similarly, upon hired, the employee will receive the full month's accrual regardless of the entry date in the current month. Vacation is prorated on a monthly basis for the purposes of the termination payout.

10.7.2 Sick Leave

All employees are entitled to a total of 10 (ten) working days of sick leave per year without a reduction in salary, paid by Partners Mexico. This is accrued at the rate of 0.83 days per month. If the employee does not have one year of service, sick leave will be calculated in proportion to the length of service already provided. Sick leave is not cumulative nor paid out upon termination or resignation of the employee for any reason before the expiration of his year of service. On January 1st of each year, the sick leave accrual balance will reset. The maximum carry over value is up to three (3) days of sick leave. Any days above three (3) days will be forfeited.

Sick leave will only be granted upon presentation of a medical certificate issued by the attending physician. This certificate is mandatory for any sick leave exceeding two (2) days. All sick leave requests must be tracked and recorded properly on the employee's timesheets.

Employees in any case, or just in sick leave above 3 (three) days, has to report to the corresponding Mexican Social Security Institute's clinic, the illness, injuries, or occupational disease exposure, in order to obtain the sick leave license or a disability verdict accordingly.

Employees in Mexico who are unable to work because of an injury or illness not related to work are eligible for paid sick leave, providing they have paid into the social security system for four weeks before the condition developed. This additional sick leave is paid at 60% of an employee's

regular wage from the fourth day of the illness, up to 52 weeks (and may be extended for another 52 weeks) and is paid directly by the Mexican Social Security Institute.

10.7.3 Maternity Leave

In accordance with Article 169, every pregnant woman shall, on production of a medical certificate indicating the expected date, be entitled to a maternity leave during which she shall be paid as if she were continuing to work. Maternity leave is a paid leave of absence.

Employees are granted 6 (six) weeks pre-birth and 6 (six) weeks post-partum per pregnancy if they carry the child to birth. An employee may request from Mexican Social Security Institute (IMSS) in writing that up to 4 (four) pre-birth weeks be transferred to post-birth leave. In this situation, the employee would receive 2 (two) weeks pre-birth and 10 (ten) week post-partum. If the baby has a disability or requires hospitalization, the post-partum leave can be extended by 2 (two) weeks. If additional leave is required, due to health reasons, IMSS may authorize additional leave but will only pay 50% of salary.

Employees whose pregnancies end in miscarriage (abortion, premature birth of a non-viable child) are granted 5 (five) working days of paid maternity leave.

Employees who adopt children will receive 6 (six) weeks of paid leave.

To schedule maternity leave, the employee must request the dates for leave in Replicon to obtain his/her supervisor's approval at least one month prior to the anticipated commencement of such leave. All maternity leave must be tracked and recorded properly on the employee's timesheets.

Maternity leave may be supplemented with accrued sick and/or annual and/or leave without pay to ensure the employee recovers 100% of salary. Partners Mexico also guarantee all employees on maternity leave their jobs, provided they return to work within one year of the beginning of maternity-related leave. Maternity leave without pay may be interspersed with paid leave to preserve salary payments and benefits.

10.7.4 Paternity Leave

Paternity Leave is the time off that Partners Mexico extends to new fathers upon the birth of their child. Male employees are entitled to 5 (five) working days of paternity leave for the birth of each child. New fathers of adopted children may also receive 5 (five) working days of paternity leave.

10.7.5 Bereavement Leave

Employees are entitled to paid leave for bereavement. Three (3) working days paid leave is provided to employees for the death of a grandparent, parent, sister, brother, child, spouse, or partner.

10.7.6 Voting/Jury Leave

Employees shall be granted necessary time off to exercise their vote in popular elections, the processes of “revocation of mandate” and to carry out the jury, electoral and census services, when these activities must be done within the employee’s working hours. Any employee who exercise these rights may take off time as needed for a maximum of 1 (one) working day paid rest. This leave may be taken in ¼ day increments.

10.7.7 Care Leave for Parents with Child with Cancer

In accordance with the decree enter into force on June 5, 2019 under the Social Security Law, employees shall be granted necessary time off to allow parents to care for kids under the age of 16 diagnosed with cancer.

The care leave certificate awarded by the IMSS is applicable for up to 28 days to the insured the mother and father. IMSS may issue as many certificates as necessary within three years, but the employee’s leave cannot exceed a total of 364 days. Care leaves granted to the working parent shall cease when the minor no longer requires hospitalization or medical rest during the critical periods of treatment ending as a result of:

- the death of the minor;
- the child turns 16 years old; or
- the parent who receives the leave is hired by a new employer.

10.7.8 Temporary Office Closure/Emergency Leave

As the political and environmental climate in Mexico changes daily, special paid leave may be granted to the employee in the case of temporary office closure, force majeure, or another emergency. Temporary office closure, force majeure and/or emergency leave will be announced in writing (via email) by the FO Director, and available to all employees for the time period indicated by the FO Director. This type of leave will be paid for a period not to exceed 30 consecutive days. This leave will be available for political/civil unrest, natural disasters, infectious disease, or other emergency situation which would not permit employees to safely return to Partners Mexico's office. The FO Director will notify Partners HQ in the event that this leave will be used, along with the expected timeline for the return to the office.

10.8 Benefits Accruals

Some types of benefits may be paid out directly when they are earned, such as health benefits and therefore these types of benefits should be recorded as an expense directly in the period in which they are earned and paid.

Other benefits, such as annual leave, bonuses, severance pay, etc. are earned over time and will only be paid out at a later date as defined by the policy above. In order to reflect the future commitment to pay as well as the proper allocation of the expense to projects, these types of benefits should be accrued monthly on the books. The amount that is earned each month should be calculated and recorded as an expense and, since no funds will actually be disbursed until the benefit is paid out in the future, an offsetting liability should be set up on the balance sheet. When the benefit is eventually paid, the payment will clear the liability account.

It is the responsibility of the FO Finance Manager to analyze Partners Mexico's staff benefits package to determine if a benefit should be accrued. The FO Finance Manager must ensure that benefits accruals are well documented, as these accruals can carry over for an extended period of time. Accrual accounts should be reconciled monthly and proof of the reconciliation sent to Partners HQ each month. The leave accruals should match the Replicon timekeeping system totals for each employee.

10.9 Social Benefits

The following social benefits will be provided to all employees of Partners Mexico.

10.9.1 Mexican Institute of Social Security (IMSS)

All employees will be enrolled in IMSS to benefit from the services provided by the Institute. The social security system protects workers in the following matters: 1) occupational accidents and illnesses (old-age, retirement, and survivor pensions; disability; sickness; medical benefits; maternity; and day care for children of insured workers) and 2) social services. The social security system is financed from contributions by workers, employers, and the government. The contributions are based on salary levels. Please refer to the [IMSS website](#) for additional information. Partners Mexico will pay all employer related taxes to IMSS for social security.

11. Employees

11.1 Job Descriptions

All permanent field staff positions should have job descriptions that are established, accurate and up to date. Job descriptions should reflect the actual work undertaken and should clearly outline the expectations of the worker employed in that position. A copy of the job description should be provided to each staff member when they commence work.

At times the employee supervisor should give feedback to their staff member based on a comparison of their work performance and the expectations in the job description. Partners recommends that this be in correlation with midterm or yearly performance reviews. Job descriptions should be used in the performance appraisal process to assess the employee's achievements and performance in accordance with the process established by the FO Director.

Should Partners Mexico choose to alter the duties and responsibilities for a particular position, the job description should be subsequently altered. The decision to alter a job description must be made by the FO Director and employee's supervisor. If the resulting decision has budget implications, approval is also required from Partners HQ.

11.2 Performance Evaluations

The employee's supervisor will conduct a written performance evaluation on an annual basis. Initial performance evaluations will generally be performed after three months of employment upon the end of the probationary period. This evaluation will not be used as basis for salary increases. The evaluation will be written and will be based on available job descriptions, standards of performance, and such other factors which Partners Mexico determines to be appropriate. Employees will have the opportunity to review, evaluate and discuss their performance as well as obtain feedback from Partners Mexico. Standards for evaluation templates will be provided by Partners HQ and also found in [Annex K](#).

11.3 Salary Adjustments

Salaries for all employees are reviewed no less than 12 months after the last salary review. Adjustments to salaries are merit-based changes deriving from the performance of an individual. In all instances, increases are dependent on the overall financial health of the organization, **all merit-based salary adjustment recommendations must be approved by Partners HQ**. The template for all salary increases is provided by Partners HQ and found in [Annex K](#).

11.4 Salary Advances

Salary advance are not provided under any circumstances.

11.5 Dress Code for Personnel

The image of Partners Mexico is reflected in the presentation of each of its employees. Partners Mexico dress code is business professional clothes from Monday to Thursday. Friday is informal and casual clothes may be worn. In the event that the employees have a field visit, it is recommended that they take into account the location and to dress accordingly. All visits to the US Embassy or USAID require formal dress.

Each employee is expected to dress and groom appropriately for the job, presenting a clean and neat appearance. Attire should promote a businesslike, professional attitude and image in keeping with the employee's job and overall work environment. Any employee unsure about appropriate attire or grooming should consult with his or her supervisor. In setting standards for dress and

grooming, supervisors will consider exceptions for any religious or similar considerations that are requested.

If an employee's dress or grooming does not comply with established standards, it will be discussed with the employee and the employee may be sent home for the remainder of the day (without pay) or to change clothes and return to work. If discussions fail to bring the desired result, the supervisor may initiate disciplinary action.

11.6 Communicating Absences or Delays

If an employee is delayed arriving to work or absent, he/she must notify his/her supervisor with as much advanced notice as possible. In the case of an unforeseen delay or absence, the employee will be required to call and notify his/her superior. If the delays or absences become too frequent or occur without notification, the supervisor must address a memo to the FO Director documenting such incidents. If the cumulative absences or delays in work are consecutive or unjustified Partners Mexico reserves the right to take disciplinary action, up to and including termination. If an employee is absent due to illness beyond two (2) consecutive days, he/she must provide a doctor's note or medical certificate, otherwise the employee may be considered as resigning after the third consecutive day.

The FO Director of Partners Mexico may terminate the employment agreement of any employee who is absent from his/her workstation five (5) consecutive days without authorization and without just cause. In accordance with Article 42 of the Mexican Labor Code, any employee who is absent from work for five (5) consecutive days without notice or justification is automatically considered as resigning from his/her position.

An employee who wishes to be delayed or absent for a valid personal or professional reason during working hours, must first seek and obtain the authorization of his/her immediate supervisor.

11.7 Conflict Workplace Resolution Procedure

Partners Mexico makes a good faith effort in providing a pleasant and a satisfying work environment. Partners Mexico supports an "open door policy" which encourages open, two-way communication, feedback, and discussion about any matter of importance to an employee and resolving the matter promptly and responsibly.

The initial step is for the employee to discuss any concerns or challenges with his/her immediate supervisor. The matter should be brought to the supervisor within five (5) business days of the incident, and employee should give the supervisor reasonable enough time to get back with them. After considering the supervisor's response, should the employee not feel that the problem is satisfactorily resolved, or if the nature of the problem has precluded a discussion with the supervisor, the employee may refer the problem to the FO Director or his/her designee. The FO Director will meet with the employee promptly. Except in cases requiring further inquiry, the FO Director will reply to the staff member within two weeks of the meeting. The FO Director will save a copy of the reply in the personnel file. An employee who deems the FO Director's response unsatisfactory may refer the matter to the Partner HQ staff as a final resort. In the interests of amicable working relations, however, Partners Mexico prefers that employees keep problems internal to the project and suppress under any circumstance, the possibility to express personal or professional concerns to the project's donor.

The employee should request a meeting with the Vice President or designee in writing and clearly state the reason for the meeting. Unless the employee specifically requests confidentiality, his/her supervisor/FO Director is expected to attend any meeting with higher management. The employee may choose to communicate verbally, especially if access to a computer is not available. The Vice President or designee will clearly describe the action taken to address the employee's concerns.

11.8 Dispute Resolution

Regrettably, conflict can occur in any work environment. In an effort to resolve the conflict in an expedient, yet fair manner, Partners Mexico recommends the following process for conflict or dispute resolution.

1. Speak directly to the person you are having the dispute with. Many times, disputes arise due to misunderstandings and miscommunications.
2. If speaking to the individual does not work, please speak to your supervisor, FO Director, or any other member of Senior Management. Then the supervisor, FO Director, or

member of Senior Management will arrange a meeting between those involved in the dispute, to determine a resolution.

3. If the above options are unable to resolve a workplace dispute, the parties must attend to the corresponding Conciliation Center to initiate a Conciliation procedure to rectify the dispute. The dispute has to be solved upon the next 45 calendar days after the conciliation procedures was initiated. In the case that the labor dispute cannot be resolved between the two parties, the employee has the right to file a Legal Dispute in a Labor Court.

11.9 Disciplinary Action

Violations of this policy may result in discipline up to and including termination of employment.

Note: Nothing in this policy is meant to, nor should it be interpreted to, in any way limit your rights under any applicable federal, state, or local laws.

Partners Mexico may decide in its sole and complete discretion to warn, discipline, suspend or discharge employees with or without progressive disciplinary actions. The appropriate action will depend on the severity of the problem, the employee's past performance or the needs of the business.

Unacceptable behavior, which does not lead to immediate dismissal, may be addressed with a verbal or written warning. Written warnings will include the reasons for the supervisor's dissatisfaction and any supporting evidence. You will have an opportunity to defend your actions and rebut the opinion of your supervisor at the time the warning is issued. Disciplinary actions may also include suspensions or other measures deemed appropriate to the circumstances.

All pertinent facts will be carefully reviewed, and the employee will be given a full opportunity to explain his or her conduct before any decision is reached. The FO Director will give a second opinion concerning the unacceptable behavior before dismissal occurs.

11.10 Reasons for Disciplinary Action

In establishing rules of conduct, Partners Mexico has no intention of restricting the personal rights of any individual. Rather, we wish to define the guidelines that protect the rights of all employees and to ensure maximum understanding and cooperation. The following list of work rules is an illustration of the type of behavior that will not be tolerated by Partners Mexico. This

list is not all-inclusive. Any employee who violates any of the work rules listed below may be subject to disciplinary action, up to and including termination of employment. The level of disciplinary action taken will be determined at management's discretion and judged by the severity of the violation:

- Failure to comply with Partners' Mexico procedures, policies, or practices.
- Submission of false, misleading, or incomplete information to obtain employment.
- Failure to comply with Partners' Mexico Proprietary Information and Confidentiality Policy.
- Theft or inappropriate removal or possession of Partners' Mexico property.
- Falsification of timekeeping records.
- Negligence or improper conduct leading to damage of employer-owned or client-owned property.
- The use, influence, purchase, or sale of illicit drugs, controlled dangerous substances (excluding lawful use of prescribed medication) or alcohol on Partners property or at a work site during working hours.
- Possession of weapons, explosives, or firearms on company property.
- Committing violent acts or threats of violence.
- Committing acts of illegal discrimination or harassment.
- Insubordination, including refusal to perform assigned tasks or the performance of assigned tasks in an inappropriate manner.
- Violation of safety or health rules.
- Excessive absenteeism and/or tardiness without a proper excuse.
- Failure to meet performance standards.
- Failure to communicate and work well with others.
- All the reasons described at Article 47 of the Mexican Federal Labor Law.

12. Risk Assessments & Sub-recipient Monitoring

12.1 Risk Assessment Guidelines & Process

Partners Mexico risk assessment validates that potential sub-recipients are viable, legitimate businesses and confirms that they have the financial capability and organizational resources to provide the required services. At the same time, it makes sure that contractor/ sub-recipients are not engaged in questionable ethical or legal activities. Please refer to the [risk assessment folder](#) for complete detailed policy and procedure, along with the appropriate tools and templates.

Each time a new contract/agreement valued at USD \$5,000 or more is signed for a sub-recipient, Partners Mexico will be required to send Partners HQ a completed Risk Assessment. The Risk Assessment template is found in [Annex L](#).

12.2 Frequency of Risk Assessment

For ongoing sub-recipient monitoring activities, a follow up Risk Assessment should be completed annually upon renewal of the contract. The completed and updated annual Risk Assessments for all contract/agreements for sub-recipients over USD \$5,000 must be sent to Partners HQ.

13. Procurement

13.1 Procurement Overview

The purpose of this policy is to ensure the highest level of procurement integrity is consistently observed throughout the field office while acquiring goods, supplies and services. Please refer to the [procurement folder](#) for the complete detailed policy and procedure, along with the appropriate procurement tools and templates. The overall procurement policy is to prevent conflict of interest, facilitate open and free competition, ensure that cost analysis is conducted and that all contracts include clauses that protect the organization contractually, and provide for legal remedies where it is applicable.

All procurements must comply with the Procurement Standards in 2 CFR 200 Uniform Guidance Section 200.318, which can be summarized generally as follows: (1) the purchase complies with

Partners' documented procedures, (2) purchases are necessary, (3) open competition (to the extent required by each method), (4) conflict of interest policy applies and (5) proper documentation for the purchases. Consideration should be given to consolidating or breaking out procurements to obtain a more economical purchase. Where appropriate, an analysis must be made of lease versus purchase alternatives, and any other appropriate analysis to determine the most economical approach. When possible, Partners Mexico should use federal excess and surplus property in lieu of purchasing new equipment and property to reduce project costs. Additionally, to the extent possible, Partners Mexico will engage in affirmative efforts to utilize small businesses, minority owned firms, and women's business enterprises.

All procurements made by Partners Mexico must:

1. Be necessary, at a reasonable cost, documented, not prohibited by law or the applicable funding source, and made in accordance with this Policy.
2. Avoid acquiring unnecessary or duplicative items.
3. Engage responsible vendors who possess the ability to perform successfully under the terms and conditions of a proposed procurement. Partners Mexico shall consider vendor integrity, policy compliance, past performance record and financial and technical resources.

13.2 Ethical Conduct for Procurement

Care must be taken to avoid the intent and appearance of unethical practice in relationships, actions, and communications. All procurement activities conducted on behalf of Partners Mexico must be in compliance with the standards outlined in federal, state, local laws, and Partners' policies. When conducting procurement including but not limited to purchasing goods and services, awarding contracts and grants, or the administration and supervision of contracts, Partners Mexico must adhere to the following:

1. Checks and Balances

Separation of duties throughout the procurement process must be strictly enforced. At the minimum, for any one procurement action, the person initiating the procurement request

and managing the invitation for quotation, bids, or tenders, must be different from the person approving the procurement and signing the contract. It is advisable to have people from outside of the team on the Evaluation Committee.

2. Confidentiality

Partners Mexico staff participating in a procurement process must not disclose information related to provider quotes, bids/proposals, or other sensitive information to any co-worker without a specific and articulable need to know. Disclosing any non-public information related to procurement to any third party is strictly prohibited.

3. Conflicts of Interest

Partners Mexico defines a procurement conflict of interest as any situation where a provider may be perceived to be shown unfair favoritism due to a relationship or other connection to an employee, representative or affiliate. Partners Mexico takes a rigorous, transparent, and forceful approach to identifying and preventing such conflicts. It is the individual and non-delegable responsibility of every employee, representative and affiliate to disclose potential conflicts of interest to their supervisor or another appropriate member of management. Where possible, potential, and actual conflicts of interest will be mitigated with an appropriate and effective mechanism without disqualifying any bidders, but where the integrity of the process demands otherwise, the Partners Mexico will not hesitate to disqualify problematic bidders or re-compete procurements.

There are three types of conflict of interest that could occur in the procurement environment.

- ***Actual conflict of interest*** - when an individual member is in a position to be influenced by their private interests when doing their job.
- ***Perceived conflict of interest*** - when an individual member is in a position to appear to be influenced by their interests when doing their job.

- **Potential conflict of interest** - when an individual member is in a position where they may be influenced in the future by their private interest when doing their job.

In the context of procurement, a procurement member should:

- Declare potential conflict of interest.
- Not use information obtained during their professional duty for personal profit.
- Disclose and dispose the financial interest involved.
- Withdraw from any procurement process where he/she may have a conflicting interest.

POA takes a rigorous, transparent, and forceful approach to identifying and preventing such conflicts. It is the individual and non-delegable responsibility of every employee, representative and affiliate to disclose potential conflicts of interest to their supervisor or another appropriate member of management. Where possible, potential, and actual conflicts of interest will be mitigated with an appropriate and effective mechanism without disqualifying any bidders, but where the integrity of the process demands otherwise, the POA will not hesitate to disqualify problematic bidders or re-compete procurements.

Examples of conflicts of interest may include, but are not limited to:

- a. **Financial conflicts:** A conflict where a Partners Mexico employee, representative or affiliate involved in a procurement has a financial interest in a potential provider/bidder.
- b. **Personal conflicts:** A conflict where a Partners Mexico employee, representative or affiliate involved in a procurement has a friend or family member who works for, or otherwise has an interest in, a potential provider. Family member includes spouse, children, parents, grandparents, grandchildren, siblings, and siblings' immediate families including their spouses and children.
- c. **Employment offers:** A conflict where a Partners Mexico employee, representative or affiliate involved in a procurement has a job offer, or was a former employee of a potential provider.

- d. Any other fact or situation where there is a division of loyalty on the part of the employee, representative or affiliate between Partners Mexico and a potential provider.

Employees, representatives, and affiliates are responsible for disclosing known or suspected conflicts of interest. If an actual or perceived conflict of interest is identified, the provider is not necessarily or automatically excluded from competing for the procurement. But appropriate mitigating actions need to be in place before the potential bidder can be considered as qualified. The conflict must be clearly documented in writing and the employees, representatives, and affiliates with the actual or perceived conflict must recuse himself/herself from any process related to the procurement, including source selection, contract execution or payment approval/process. Perceived or actual conflicts must be disclosed to the FO Director or his designee, who will make the final decision on appropriate mitigating actions, required which could include exclusion of the potential bidder.

4. Gratuities from Suppliers

Partners Mexico employees, representatives and affiliates are prohibited from soliciting or accepting money, loans, credits, entertainment, favors, services, or gifts from current or prospective suppliers. Such gratuities, even if of seemingly low value, can give rise to a conflict of interest or the appearance of a conflict of interest. In particular, employees, representatives and affiliates should never accept gratuities from a current or prospective supplier that has submitted or may submit a bid for a Partners Mexico contract for which a bid solicitation is being contemplated, developed, or is actively accepting bids.

5. Free and Open Competition

In all procurement processes Partners Mexico encourages free and open competition to maximum extent possible. To ensure procurements are free and open, Partners requires the following:

- Reduce unfair competitive advantage – which means vendors who help develop statements of work are barred from bidding on that work.
- Create clear evaluation criteria – which means solicitations should clarify the criteria Partners Mexico will use to evaluate bids.

As permitted by law, policy, or regulation, Partners Mexico may pursue appropriate legal, administrative, or disciplinary action against an employee, officer, director, volunteer, vendor, or vendor's agent who is alleged to have committed, has been convicted of or pled no contest to a procurement related offenses. If said person has been convicted, disciplined, or pled no contest to a procurement violation, said person shall be removed from any further responsibility or involvement with grants management, procurement actions or bids.

13.3 Procurement Process

In Mexico, the following matrix must be used to determine the method of procurement required.

Field Office Threshold					
<i>Procurement Type</i>	<i>Amount in USD</i>	<i>Procurement Method</i>	<i>Contract Required</i>	<i>Source Selection Method</i>	<i>Solicitation Type</i>
<i>Micro-Purchases</i>	\$0 - \$2,500.00	No formal procurement needed	No	Lowest Price	None
<i>Small Purchases</i>	\$2,500.01 - \$9,999.99	Purchase Requisition Form, 3 quotes, matrix/evaluation of quotes, & source selection memo	Yes	Simplified (means most important factor is price) <u>or</u> Lowest Price Technically Acceptable <u>or</u> Trade Off (Best Value)	Request for Quotation (RFQ) <u>or</u> Request for Proposal (RFP)
<i>Proposals</i>	\$10,000.00 +	Full and open procurement reference guidelines	Yes	Lowest Price Technically Acceptable <u>or</u> Trade Off (Best Value)	Request for Quotation (RFQ) <u>or</u> Request

					for Proposal (RFP)
<i>Noncompetitive Proposals</i>	No Limit	Memo justification on the reason for sole source	Only if USD \$2,500+	Sole Source	None

1. Micro-Purchase Threshold: Less than \$2,500.00 USD or MXN equivalent

In accordance with [2 CFR 200.67](#), micro-purchase means a purchase of supplies or services using simplified acquisition procedures, for an aggregate amount which does not exceed the micro-purchase threshold. The micro-purchase procedure is used in order to expedite the completion of lowest-dollar small purchase transactions and minimize the associated administrative burden and cost. For Partners Mexico items procured at or below \$2,500 USD or the MXN equivalent, the organization will allow a simplified procurement process. Micro-purchases may be awarded without soliciting competitive quotations if Partners Mexico considers the price to be "fair and reasonable" and is documented. Splitting procurements to keep within the micro-purchase threshold to avoid competition requirements is not allowed. Micro-purchases should be distributed equitably among qualified vendors to the extent practicable. Micro-purchases should follow normal review process in FO finance department (i.e. FO accountant or designed FO officer prepares and FO Finance Manager reviews and approves). For all micro-purchases there must be proof of clear due diligence conducted on the contractor to ensure that they are not suspended or debarred from doing business with the US Government or on a blocked persons list. ([Reference 3.2 System of Award Management \(SAM\) Check Via Visual Compliance](#)). Micro-purchase do not require a formal contract or agreement.

2. Small Purchases Threshold: \$2,500.01 to \$9,999.99 USD or MXN equivalent

Small purchases are those valued above the micro-purchase threshold but below Partners competition proposals threshold. Procurement by small purchase procedures are those

relatively simple and informal procurement methods for securing services, supplies, or other property. For a small purchase procurement, a purchase requisition form (PRF), a minimum of three (3) price/rate quotes, an [evaluation matrix comparison](#), and a [source selection memo](#) which includes overview of vendors reviewed, provides the reasons for selecting the vendor, and lists final price is required documentation. If the Procurement Team attempts to obtain three quotations, but less than three quotations are received, the Procurement Team must document the efforts made to obtain three quotations and reason why others were not received.

Documentation needs to be in writing from the suppliers and can include written quotes, quotes via email, screen shots from websites, copies of published price lists, advertised pricing in established magazines or journals, etc. Partners Mexico must select the provider that offers the product or service for the lowest price and meets the required specifications (as opposed to desired specifications). Splitting procurements to keep within the small purchase threshold to avoid further competition requirements is not allowed. Small purchases should follow normal review process in FO finance department (i.e. FO accountant or designed FO officer prepares and FO Finance Manager reviews and approves). For all small purchases there must be proof of clear due diligence conducted on the contractor to ensure that they are not suspended or debarred from doing business with the US Government or on a blocked persons list. ([Reference 3.2 System of Award Management \(SAM\) Check Via Visual Compliance](#)). Small purchases require a formal contract or agreement with the provider.

3. Competition Proposals Threshold: \$10,000.00+ USD or MXN equivalent

All competitive proposals must be conducted in a manner providing full and open competition consistent with the standards of [2 CFR 200.319](#). This method is conducted with more than one source submitting an offer, and either a fixed price or cost reimbursement type contract is awarded. Please see [full procurement policy](#) for additional details on competitive proposal requirements. A summary is as follows:

Solicitation:

1. Complete a purchase requisition form
2. Market research - Review the approved requisition and determine whether sufficient market research has been conducted, or needs to be conducted, to determine how the solicitation will be competed. Market research is only required for FO procurements valued at \$50,000 USD or more. Market research is required for all HO procurements above the simplified acquisition threshold.
3. Determine how the solicitation will be distributed. There are effectively only three options as follows:
 - a. **Public Advertising**
 - b. **Vendor Distribution List (minimum of 6)**
 - c. **Sole Source**
4. Determine the type of solicitation ([request for quotation](#) or [request for proposal](#)) that is most appropriate for the procurement.
5. Determine the type of award that is most appropriate for the procurement. This is best done by defining objectives and how the technical teams expect to manage the vendor's delivery post-award.
6. Issue a formal written solicitation: [request for quotation \(RFQ\)](#), [request for proposal \(RFP\)](#). This includes the following (as applicable):
7. Requests for proposals or quotes must be publicized and identify all evaluation factors and their relative importance.
 - a. Any response to publicized requests for proposals must be considered to the maximum extent practical. The required timeline for publicization is as follows:

Field Office	
Estimated Contract Value	Posting Period Required
\$10,000.00 - \$50,000.00	Minimum five (5) Business Days
\$50,000+	Minimum fifteen (15) Business Days

Receiving Bids:

8. Provide question and answer period. All questions posed to POA, and the answers must be distributed to **all** bidders.

9. Proposals must be solicited from a minimum three (3) qualified providers, verbal solicitations and proposals /quotes are not acceptable.
 - a. In the absence of three submitted quotes or proposals, then a clearly documented in the source selection memo for justification demonstrating that efforts were taken to obtain three quotes or proposals.

Proposal Review/Selection:

10. For all procurements, including contract modifications, in excess of the Simplified Acquisition Threshold (currently \$250,000 USD), POA must perform a cost or price analysis and document budget negotiations in a [Negotiation Memo](#).
11. Determine if a full evaluation committee is needed, or just technical reviewers.
12. After the bid opening has been completed, then Bid Committee shall convene and review the submissions.
13. There must be a [written matrix](#) or method for conducting technical evaluations in accordance with the source selection method of the proposals received and for selecting recipients. **Additional evaluation factors introduced during the evaluation must not be considered. All evaluation criteria must be clearly indicated on the RFP/RFQ.**
14. Final [evaluation matrix](#) must be prepared and signed by all committee members and approved by the VP/HO Director/COP/PD.
15. Prepare a [source selection memo](#) which includes overview of vendors reviewed, provides the reasons for selecting the vendor, and lists final price. If less than three quotes were obtained, reasons why should also be included in this memo.
16. Clear due diligence conducted to ensure vendor is not suspended or debarred from US Government or on a blocked persons list. ([Reference 3.2 System of Award Management \(SAM\) Check Via Visual Compliance](#)).
17. Procurement lead will contact winning bidder and negotiate a contract.
18. Competitive proposals require a formal contract or agreement with the provider.
19. Once the agreement is concluded with the winning bidder, the other bidders should be contacted and told that their submission met RFQ/RFP terms but was not the best offer per the procurement ranking process.

Partners Mexico staff should not put undue restrictions on the competitive process including but not limited to:

- a. Placing unreasonable qualification requirements on firms;
- b. Requiring unnecessary experience and excessive bonding;
- c. Noncompetitive pricing practices between firms or affiliated companies;
- d. Noncompetitive contracts to consultants on retainer contracts;
- e. Organizational conflicts of interest;
- f. Specifying only a “brand name” product instead of allowing “an equal” product to be offered and describing the performance or other relevant requirements of the procurement;
- g. Any arbitrary action in the procurement process; and
- h. Use of statutorily or administratively imposed state or local geographical preferences in the evaluation of bids or proposals (except in those cases where the federal awarding agency expressly mandates or encourages geographic restriction or preference).

All competitive proposals must be prepared/documented by the procurement lead or designed staff member and reviewed by the F&A Director, and then approved by VP/HO Director/COP/PD. It is required that an appropriate competitive process be utilized and fully documented. At minimum, a proper procurement process requires:

4. Noncompetitive Proposals - Sole Source Procurements

In rare circumstances a sole source transaction may be permitted. A sole source procurement can be defined as any contract entered without a competitive process, based on a justification that only one known source exists or that only one supplier can fulfill the requirements. Failing to anticipate needs resulting from poor planning is not an exception to competitive requirements. A faster procurement process is not justification.

All sole source procurements must **be approved in writing by HO Compliance Team, regardless of the amount.** All sole source procurement must comply with the circumstances listed

in [2 CFR 200.320\(c\)\(1\)](#). When an employee, representative or affiliate proposes sole source procurement, he/she must provide clear written justification documenting the process and efforts used for determining that there are no other qualified providers. For an exception to be valid, a clear statement of justification for waiving the competitive bidding process must be submitted in writing. The justification must include:

1. Reason to justify exemption from open competition in accordance with [2 CFR 200.320\(c\)\(1\)](#).
2. Explanation/justification about why only one known source that can provide the commodity or service, or unique source (commodity/service is unique/special in nature); or compatibility (e.g., a public safety agency requiring a specific piece of equipment to be compatible with an existing equipment system).
3. Nature and/or description of good or service being approved, and which are required to meet program needs (including the estimated value).
4. A determination that the anticipated cost to the government will be fair and reasonable.
5. Brief statement about how the project determined that the vendor is responsible.

The following are possible scenarios of when sole source procurement may be justified:

1. When the acquisition of property or services, the aggregate dollar amount of which does not exceed the micro-purchase threshold.
2. When only the proposed provider can furnish the services because of its previous experience with Partners Mexico and having an alternative source duplicating these capabilities would result in excess cost.
3. When only one supplier can satisfy the technical requirements because of unique technical competence or expertise, or the work “so specialized” in nature that there is only one entity that could complete it.
4. When the item does not satisfy the requirements for sole source, but the use of any other manufacturer would result in excessive costs.
5. When there is a security concern or other security risk that would allow for only one provider.

6. When only one source possesses the patent(s) or exclusive right(s) to manufacture or to furnish the item or service.
7. When the item is available only from a single source, such as:
 - a. Artwork
 - b. Unusual and generally unavailable used equipment,
 - c. Specialized scientific equipment and instruments
 - d. A specialized service (e.g. consultant) where the supplier has a one-of-a-kind ability to provide the required service due to demonstrably unique circumstances (knowledge, contacts, experience)
8. Continuation of a current service where changing suppliers could result in excessive cost
9. When the federal awarding agency or pass-through entity expressly authorizes noncompetitive proposals in response to a written request from Partners Mexico.
10. When after solicitation of a number of sources, competition is determined inadequate.
11. The public urgency or emergency for the requirement will not permit a delay resulting from competitive solicitation such as:
 - a. Human life, health or Partners' property is in jeopardy
 - b. Repairs are immediately needed for equipment where delay would lead to higher expense.
12. Subcontracts or subaward where the agreement to work with another individual or institution was written into the grant award and subsequently approved by the federal awarding entity.

All noncompetitive proposals must be prepared/documented by the FO accountant or designed FO officer, reviewed by the FO Finance Manager, and then approved by Partners HQ Compliance Team at compliance@partners.net. For all noncompetitive proposals there must be proof of clear due diligence conducted on the contractor to ensure that they are not suspended or debarred from doing business with the US Government or on a blocked persons list. ([Reference 3.2 System of Award Management \(SAM\) Check Via Visual Compliance](#)). Formal contract or agreement is required for procurements over \$2,500 USD or the local MXN equivalent.

14. Mexico Field Office Travel Policies and Procedures

14.1 Policy Overview and Applicability

The objective of this policy is to manage a travel process fully compliant with the 2 CFR 200 and Partners Mexico's rules and regulations with guidance from U.S. Government procedures and Mexican Law.

The financial goal of this policy is to increase accountability and efficiency of travel expenditures and to ensure compliance throughout the full process of USG regulations, 2 CFR 200, and other applicable laws, including timely clearance of all travel reports (expense reports and per diem payments).

This policy applies to all Partners Mexico travelers unless otherwise indicated below. Specific guidance at a country and project level may be prepared on a case-by-case basis and approved by the CFO or CEO. In no event, shall these country or project-specific policies be out of compliance with the procedures and cost/time values identified herein.

14.2 Requesting Travel Authorization

Staff and consultants considering a trip must discuss with their supervisor the need for the trip, activities to be conducted, funding for related costs, expectations, etc. For all travelers including staff, consultants, volunteers, and others traveling under Partners Mexico funding, a travel authorization (TA) must be prepared and approved prior to travel and booking of flights, hotels, etc.

All field staff and local consultants are required to complete a travel authorization for all travel with a duration of four (4) hours or longer, regardless of the destination or transportation mode.

Effective January 1st, 2022, all staff will complete travel authorizations using the standard template for Replicon. Prior to travel all staff will complete the "[Travel Authorization Form](#)" found on SharePoint. This form will collect the following information:

- Traveler's Full Name on official government ID (e.g., Cedula, Passport)
- Date Requested

- Purpose of the Trip/ Scope of Work to be Performed
- Dates of Travel
- Proposed Itinerary
- Once the form is completed, it will be uploaded into the Replicon platform at: <https://login.replicon.com/>. Employees will create a new expense report in Replicon to request approval for the travel authorization. The form will be uploaded into the Replicon database as supporting documentation for the travel. The employee will electronically submit the request for approval. The respective supervisor will then review the proposed travel itinerary, and either approve or reject for modification electronically. Once a fully approved travel itinerary is in Replicon, the employee can proceed with remaining travel plans and bookings.

14.2.1 Itinerary Changes

The appropriate supervisor should approve the traveler's itinerary changes. After receiving approval from the supervisor, travelers can contact the appropriate agency to make the necessary changes. Most importantly, it is critical that the supervisor notifies the FO Finance Department, to ensure that the per diem amount or other changes can be made, as necessary. In emergency circumstances, when a supervisor is not available or after hour changes must be made immediately, it is left to the discretion of the travelers. However, they are required to notify their supervisor once the change(s) have been made. Note that the supervisor reserves the right to not approve the change. In such instance, the traveler will be responsible for any difference in cost associated with the change. Disagreements will be resolved by the CFO at Partners HQ.

14.3 Traveler Definitions

Partners' travel policy is broken out based on three traveler types. All travelers are expected to comply with and follow the provisions in their respective categories as follows:

- US based/HQ
 - US based/HQ are all individuals with their principal desk location at HQ.
 - This includes but is not limited to:
 - HQ Staff

- Consultants
 - Interns
 - Telecommuting employees, etc.
- Local Field Office staff
 - Local field staff are those on payroll at Partners field offices, including the Country Director
 - Local consultant based abroad are consultants paid directly by the field office
 - All other local travelers
- US based/Other
 - Including but not limited to volunteers, board members, etc.

14.4 Travel Advances

Partners Mexico's policy is to only make payments after goods and services have been supplied and conditions for payment met, therefore NO advances will be made for staff going on work related travel, unless a request is made by the employee and approved by the Supervisor and Partners HQ.

14.5 Allowable and Unallowable Expenses (Applicable to All)

The following allowable and unallowable expenses apply to all Partners Mexico travelers regardless of their relationship or the location of their base.

Partners Mexico has a travel policy that provides a per diem for all Meals & Incidental Expenses (M&IE), while all other miscellaneous travel expenses, lodging, rental cars, personal vehicles, airfare, and train costs are reimbursed based upon actual expenses incurred. Allowable expenses are also limited to the conditions established on grants and agreements with funding agencies sponsoring the trip.

Furthermore, only allowable expenses are reimbursable under the category other miscellaneous travel expenses, lodging, rental cars, personal vehicles, airfare, and trains. No later than 30 days following the final day of a trip, an Expense Reimbursement Report should be prepared and submitted to the traveler's FO Finance Department. Partners Mexico will not accept

reimbursement requests made after 60 days unless approved by Senior Management at HQ. All travelers requesting an exception must make their requests in writing with a valid reason for the delay.

14.5.1 Lodging – Reimbursable Based

Lodging is defined as room charges and taxes. For reimbursement purposes, a receipt must be provided. These charges cannot include room service fees, upgrade fees, mini bar tabs, entertainment fees, etc. All of these other expenditures must be paid by the traveler using their personal or per diem funds and excluded from their lodging bill.

Partners Mexico will recognize and reimburse lodging costs based on actual expenses, but the USG ceiling rates shall be a guide to appropriate expenditures per country and must not be exceeded. Exceptions above the maximum rate can be approved by the CFO or CEO. A list of USG guidance is provided below:

- [General Services Administration](#) (GSA) establishes per diem rates for destinations within the lower 48 Continental United States (CONUS).
- The [Department of Defense](#) (DOD) establishes non-foreign rates which includes Alaska, Hawaii, and all U.S. Territories (Non-CONUS).
- The [State Department](#) establishes all foreign rates which are specific to major cities.

14.5.2 Rental Cars – Reimbursable Based

The cost of rental cars including rental car insurance is allowed only if the nature of the trip or the location of business to be visited is such, that use of field transport or local transportation is unavailable, impractical, or unsafe, as determined by the traveler's supervisor. If deemed necessary and approved as part of the TA process, Partners Mexico will recognize and reimburse rental car costs based on actual expenses. Prior to reimbursement, the FO Finance Department will need to check that the TA includes an explanation (specific uses) as to why a car rental was necessary.

Note, Partners Mexico does not carry a blanket collision damage waiver policy nor is the traveler covered with liability insurance if collision with the rental vehicle were to occur. Partners Mexico recommends the purchase of collision and liability insurance each time a car is rented.

14.5.3 Use of Personal Vehicle – Reimbursable Based

Due to the liability and risk, the use of personal vehicles for project use should be used only under very rare circumstances and require prior approval of Partners HQ. The traveler will be reimbursed for gas mileage in accordance with the IRS standard mileage rate. The current mileage reimbursement for business purposes can be found at: <https://www.irs.gov/newsroom/irs-issues-standard-mileage-rates-for-2022>. A map from origin to destination must be included as documentation to receive mileage reimbursement.

14.5.4 Tolls, Parking, Etc. – Reimbursable Based

For business travel, if renting a car, using a personal vehicle, or using a Partners Mexico's program vehicle, Partners Mexico will reimburse based on actual costs for all tolls, parking and other costs associated to the use of the vehicle. These types of expenditures are reimbursed based on actual charges incurred and a receipt must be provided for expenses over USD \$25.

14.5.5 Airfare and Trains – Reimbursable Based

Partners Mexico will reimburse or purchase on behalf of all approved travelers all necessary airfare and train tickets. For reimbursement purposes, a receipt and boarding pass must be provided for all airfare and train tickets. Please note below the additional restrictions related to airfare purchases.

14.5.5.1 Seat Upgrades

Only coach class or promotional fares will be paid by Partners Mexico. Business and first class are considered seat upgrades and must follow the below protocol; otherwise, this will not be covered by Partners Mexico. While seat upgrades are not to be expected, there are some circumstances when the traveler could be authorized to travel Business class:

- When no space is available in coach-class accommodation and the flight must be taken;
- When use of business class is necessary to accommodate traveler disability or a special need; or
- When the cost is the same or the traveler pays for the difference in cost between coach and the upgrade.

With the exception of no-cost upgrades, or the traveler pays for the difference in cost without Partners Mexico's funding, all seat upgrades will need to be approved in advance with the FO Director and must include a written justification as to why the upgrade is necessary.

14.5.5.2 Fly America Act

All U.S. government-funded travel will comply with [the Fly America Act](#), which requires that all travel and shipments must be made on U.S. flag carriers to the extent services by such carriers is available. Use of a Fly America compliant carrier is required regardless of whether a foreign carrier can provide the service at a comparable or lower cost, or whether a foreign carrier is preferred due to convenience. The rules generally provide for a limited number of exceptions; however, a U.S. carrier must be used for any travel: 1) within the U.S., or 2) between the U.S. and the last destination point that is served by a U.S. carrier for that particular routing. Exceptions to the Fly America Act can only be approved by Partners CFO at HQ. The exceptions are as listed below:

1. If a U.S. flag air carrier offers nonstop or direct service (no aircraft change) from your origin to your destination, you must use the U.S. flag air carrier service unless such use would extend your travel time, including delay at origin, by 24 hours or more.
2. If a U.S. flag air carrier does not offer nonstop or direct service (no aircraft change) between your origin and your destination, you must use a U.S. flag air carrier on every portion of the route where it provides service unless, when compared to using a foreign air carrier, such use would:
 - Increase the number of aircraft changes you must make outside of the U.S. by 2 or more; or
 - Extend your travel time by at least 6 hours or more; or
 - Require a connecting time of 4 hours or more at an overseas interchange point.

For a flight to be in compliance with the Fly America Act, the code of a U.S. flag air carrier must be noted as part of the flight number on the airline ticket, flight coupon (boarding pass), or passenger receipt. Each airline has a two-letter alpha code. From this list, you will be able to compare airline codes on the ticket with those on the list and thereby be able to ascertain whether

or not the flight is on a U.S. Flag air carrier. In order to ensure that the flight is Fly America Act compliant all travel should be booked through the designated travel agent/agency.

Many of the U.S. flag air carriers are listed below:	
• AirTran Airways (FL) • Alaska Airlines (AS) • American Airlines (AA) • Continental Airlines (CO) • Delta Airlines (DL) • Frontier Airlines (F9) • Hawaiian Airlines (HA)	• JetBlue Airways (B6) • Midwest Express (YX) • Southwest Airlines (WN) • Spirit Airlines (NK) • United Airlines (UA) • US Airways (US)

14.5.6 Meals & Incidentals (M&IE) – Per Diem Based

Per diem means the amount of money that Partners Mexico gives to the employee for an official trip out of his / her office to cover food and other expenses in accordance with current rates. Partners Mexico includes the cost of all meals and incidentals under a flat rate per diem provided to the traveler and will NOT reimburse based on actual expenditures. Partial per diem will be provided when one or more of the meals is provided by someone other than the traveler.

For the appropriate amount of the per diem and exceptions, please reference [Section 14.6 Per Diem for M&IE](#) to determine correct per diem based on the traveler type.

14.5.7 All Other Miscellaneous Travel Expenses (MTE) – Reimbursable Based

All other miscellaneous travel expenses (MTE) are additional expenses and paid as necessary and charged to the POA credit card or reimbursed based on the actual costs incurred. All MTE expenses over USD \$25 must be supported by receipts/stubs/invoices as part of the expense report in order to be reimbursed. MTE includes but is not limited to the following:

- All ground transportation fees (buses, taxis, etc.) between place of lodging or business and places off site to obtain meals, meetings, site visits, etc. (documentation must include origin and destination and the purpose of the trip).
- Visas

- Room cleaning cost: Where an apartment is taken in lieu of hotel accommodations, the traveler may contract, however this must come from the incidental travel expense part of the per diem
- Immunizations and medications on travel
- Reproduction of materials
- Telephone calls and other communication costs that are reasonable and necessary for work-related communications
- Bank fees on exchanges currencies
- Purchase of clothing (in the event that baggage is lost, and clothing must be purchased in order to keep with meeting schedules)

14.5.8 Unallowable Expenses and Reimbursement Limitations

Partners Mexico will not reimburse or cover charges for the below prohibited items. Please note these lists are not inclusive and Partners Mexico reserves the right to refuse payment of any authorized or expense deemed unallowable.

14.5.8.1 Alcohol Purchases

Alcohol purchases may not be made with Partners Mexico's funds while on Partners Mexico travel.

14.5.8.2 Other Unallowable Expenses

Partners Mexico's unallowable expenses include but are not limited to:

- Additional travel insurance, travel accident insurance or trip cancelation premiums
- Non-essential upgrades or packages
- Additional expenses associated with the cost of first or business class airfare, unless it falls into the exception categories listed above
- Childcare and babysitting expenses
- Costs incurred by your failure to cancel transportation or hotel reservations
- Costs incurred by your spouse or other dependents traveling with you, unless spouse or dependents is also on a Partners assignment
- Gasoline expenses when the automobile mileage reimbursement rate is claimed

- Hair styling and haircut expenses
- Spa, nails, or other treatments
- Entertainment or tour expenses, unless activity is required by Partners Mexico trip
- Kennel/boarding expenses for pets
- Costs incurred for speeding tickets, etc. when renting or driving any vehicle for Partners Mexico use
- Other expenses not directly related to the business purpose of the travel assignment

For a complete list of unallowable expenses for USG funds, please reference [2 CFR Part 200](#): Unallowable Costs ([Annex M](#)) or [OMB Circular A-133](#), which includes any potential exceptions to the above unallowable expenses.

14.6 Per Diem for M&IE

Partners Mexico has a travel policy that provides a per diem for all expenses related to meals and incidental expenses (M&IE). For the appropriate amount of per diem, please determine the traveler type. All travelers will fall into one of the three categories, as defined in [Section 14.3 Traveler Definitions](#).

14.6.1 M&IE Rates

All Partners Mexico's M&IE per diem rates are based on a percentage of the government per diems allowed per city and/or country, as defined herein and below. Depending on the destination, travelers should utilize the General Service Administration rates for travel within the continental US, the Department of Defense rates for travel to Alaska, Hawaii, and other US territories, and the State Department for all foreign travel. The websites to obtain the rates are listed below:

- [General Services Administration](#) (GSA) establishes per diem rates for destinations within the lower 48 Continental United States (CONUS).
- The [Department of Defense](#) (DOD) establishes non-foreign rates which includes Alaska, Hawaii, and all U.S. Territories (Non-CONUS).
- The [State Department](#) establishes all foreign rates which are specific to major cities.

Per diems are driven based on the approved TA and include any travel outside of HQ or the respective Country Field Office with travel duration of four (4) hours or longer, regardless of the destination or transportation mode. Exceptions to this must be approved by the CEO or CFO.

14.6.2 M&IE Meal Breakdown

M&IE is intended to cover the costs of meals and incidentals during each day of work-related travel. For first and last days of travel (travel days), if the itinerary requires the traveler to start their travel day from their home-of-record (or work-related destination) before breakfast and return to their work-related destination (or home-of-record) after dinner, then the full per diem can be recorded and documented in the expense report. Specifically, if departure from home on first day of travel is before 6AM or arrival to home on last day of travel is after 7PM, then full per diem may be applied for a travel day. Otherwise, travel day rates will be determined as defined in [Section 14.6.4 Per Diem M&IE – Local Field Office Staff](#).

The travel day rate utilized should be as follows: On first day of travel, utilize the destination city; on the last day of travel, utilize the departure city. For example, if the traveler leaves home-of-record and travels to San Diego on day one, and returns back home from San Diego on day three, during both travel days, the per diem should be calculated based on the San Diego rate.

If the daily M&IE rate excludes one or more of the meals, these are to be reduced at the following rates:

- Breakfast: 16% of daily calculated M&IE rate
- Lunch: 24% of daily calculated M&IE rate
- Dinner: 40% of daily calculated M&IE rate

Note that incidentals are calculated at 20% of the total daily rate and excluded from these meal rates; i.e., the sum of incidentals and the three meals is equal to 100% of the daily M&IE.

See examples in [Annex N](#).

14.6.3 M&IE Allowable Costs

The M&IE portion is intended to substantially cover the costs as described below.

1. The meals allowance portion is intended to include the cost of breakfast, lunch, and dinner while on travel, and is incorporated as part of the per diem.

2. Incidental travel expense portion is intended to include but are not limited to:
 - a. Fees and tips to waiters, porters, baggage handlers, bellhops, hotel servants, dining room stewards, and similar employees
 - b. Laundry, dry cleaning, and pressing of clothing
 - c. Room cleaning tips
 - d. All other incidental travel expenses as defined by Chapter 300, Part 300-3, in the Federal Travel Regulation (www.gsa.gov/fttr), under Per Diem Allowance.

Mexico field office staff are not permitted to charge a corporate card for meals covered by their per diem, for themselves or any other individual receiving a Partners Mexico's per diem. As all Partners Mexico travelers receive some form of per diem, their costs should be paid for separately with per diem or personal funds. However, if the meal for the group is charged on a corporate card, this meal must be deducted from the daily per diem rate, at the rate defined above (in [Section 14.6.2 M&IE Meal Breakdown](#)) for the specified meal.

If Mexico field office staff need to cover the cost for meal invitees (e.g. donors, etc.), they may use a corporate card to pay for the bill; however, they should deduct their meal and the meals of any other Partners Mexico's per diem recipients from the bill and pay the remaining balance on the corporate card, if possible. Alternatively, they may choose to deduct the meal from the daily per diem rate received, as per the rate defined above for the specified meal. Similarly, when paying with personal credit card or cash (intending to be reimbursed), the Mexico field office staff will only receive reimbursement for the portion of the bill that does not include meals for Partners Mexico's per diem recipients. If for some reason the bill cannot be split, and there is no other option than to pay on a corporate card, the Mexico field office staff member must split out the portion of the bill when coding their credit card statement between personal charges and actual business expenses. The Mexico field office staff member will be liable to pay Partners Mexico back for their part of the meal and for the meals of any other Partners Mexico per diem recipient charged to their Partners Mexico's corporate credit card if they received an advance for per diem;

otherwise, this should be deducted from the expense report when requesting travel per diem after the trip.

14.6.3.1 M&IE Weekend Travel

Should a traveler remain away from home on business over a weekend, the per diem will be allowed, assuming that the traveler is required to be away from home over the weekend for business purposes.

14.6.4 Per Diem M&IE – Mexico Field Office Staff

This portion of the per diem policy guidelines applies to all Mexico field office staff, local consultants and all other local travelers based outside of the US. This policy includes the FO Director, Chief of Party, etc.

For all full days on travel, the per diem rates will vary based on type of travel as outlined below:

- **Partners Mexico staff will receive 50% for all domestic travel and 90% for all international travel** (unless an exception is on file) of the government per diem rate for the particular city (or region for travel where not all specific cities are listed).*

On the first and last day of travel, in alignment with the USG guidelines, the maximum M&IE per diem will be based on the type of travel as outlined below:

- **Partners Mexico staff will receive 37.5% for all domestic travel and 67.5% for all international travel** (unless an exception is on file) of the government per diem rate for the particular city (or region for travel where not all specific cities are listed). See exceptions to this in [Section 14.5.2 M&IE Meal Breakdown](#) above.*

*If local field office staff are taking personal vacation time either before or after the Partners Mexico business travel, they will not receive Partners Mexico per diem those days. The local field office staff will receive the first and last travel day in accordance with the guidelines listed above, as these local field office staff would have had to travel to or from the office or place of residency whether or not they were on personal travel after or prior to the trip.

14.6.5 Payment of Per Diems

Regardless of the traveler, per diems will only be paid upon the Finance Office's receipt of an approved TA and per diem form. The approved TA and per diem form will be the supporting documentation and authorization for the issuance of the per diem. No receipts will be required for per diem payment, except as defined in this policy.

All per diem payments should be made within 30 days from the end date of travel. Partners Mexico will not accept per diem payment requests made after 60 days unless approved by Partners HQ. All travelers requesting an exception must make their requests for exceptions in writing (e.g. memorandum addressed to the FO Finance Office) with a valid reason for the delay.

It is the traveler's responsibility to utilize their per diem to cover all their meals and incidentals. Unless approved by the CEO, no additional M&IE will be provided. The traveler does not need to reimburse the organization if they do not spend all their daily M&IE.

Since Per diems are established in USD, the currency converter will be OANDA, and the rate will be based on average for the official travel dates.

14.6.5.1 Per Diem Payment for Local Field Office Staff

Local field office staff including the FO Director and all other local travelers outside of the U.S. will be issued their per diem upon submission of the approved travel authorization via Replicon. The per diem request with the attached travel authorization as the supporting documentation will need to be submitted by each employee in Replicon, and then approved by the appropriate supervisor on Replicon. Once completed, this information will be submitted to the FO Finance Department for direct payment into the employee's bank account within 30 days.

14.7 Reimbursement Requests (Non-Per Diem Items)

Allowable expenses that may be submitted for reimbursement as described above (lodging, rental cars, personal vehicles, airfare, and trains) are all reasonable costs which are essential and directly related to the objectives of the grant and/or the main purpose of the trip.

14.7.1 Expense Reports for Reimbursement – Mexico Field Office Staff

No later than 30 days following the final day of a trip as necessary (in which purchases are not made on behalf of the traveler in advance), a reimbursement request should be prepared in Replicon and submitted to the FO Finance Department. The method for requesting expense reimbursement will be done via the Replicon application. This report should include the following:

- A fully executed Travel Authorization
- Expense Report which includes all proper documentation and copies of receipts attached for all items over USD \$25 or the local MXN equivalent.
 - Please note that a bank or credit card statement is not sufficient documentation for a receipt. Where sufficient documentation has not been obtained, an affidavit will need to be filled out confirming the expenses were for business purposes and that the expenses did not include any alcohol. A copy of an appropriate affidavit is found in [Annex O](#).
- Provide evidence of the exchange rate during the period of travel (a hotel or bank receipt showing a conversion of currency may be a convenient way of satisfying this requirement.)
 - The following site is also recommended to utilize for obtaining the exchange rate:
 - Oanda: <https://www.oanda.com/fx-for-business/historical-rates>

14.8 Personal Travel During Business Trips

If, for personal reasons, the traveler wishes to go to places other than those on the authorized Partners Mexico itinerary, he/she may book and must pay for those reservations and additional costs. The traveler should also notify Partners HQ in writing that they are booking personal travel/personal portion of the trip. If the personal travel is booked on the same ticket as the Partners Mexico authorized trip, the traveler will be responsible for covering their personal travel within 30 days of the booking. If the flight cost is a cheaper ticket price including personal days on the beginning or end of the trip, the traveler does not need to reimburse any money. Traveler must evidence the difference in fare from the same site that the official itineraries are been purchased and the comparison should be made the same day the itinerary has been purchased (different dates will not be accepted). Travelers are only responsible for paying the difference of the ticket price. For example, travel dates for business ticket cost equals \$500, travel dates including a personal

portion of the trip equals \$600, the staff must reimburse Partners Mexico the \$100 difference between business ticket cost and personal portion of the trip. Appropriate documentation showing the additional costs must be kept on file for audit purposes.

14.9 Use of Partners Mexico's Vehicles

It should be noted that only authorized employees of Partners Mexico and Partners HQ are eligible to drive company vehicles. "Vehicles" are defined as cars, trucks, motorcycles, or any other motorized vehicle owned by Partners Mexico. Partners Mexico provides vehicles for business use to allow employees to drive on designated business assignments. All employees using company vehicles must following the below requirements:

- Any driver of Partners Mexico vehicles must ensure that the equipment does not experience any deterioration either by his/her direct negligence or by the fault of a third party. Therefore, the employee will personally ensure the proper physical maintenance of the vehicle he/she is responsible for by checking the daily cleanliness and routine parameters, which the employee will note before each use.
- Only authorized employees of Partners Mexico are eligible to drive company vehicles.
- All authorized drivers must be 25 years or older.
- The keys should be held by authorized employees of Partners Mexico who are eligible to drive company vehicles. When the vehicle is not in use or on business assignment, the keys should be returned to the FO Director.
- All individuals driving Partners Mexico's vehicles, must always have a valid driver license on them while utilizing the company vehicle.
- Company vehicles are **only** to be used for business travel.
- On occasion supervisors must check the employee's driving record to ensure that the employee's record is clean and without motorized vehicle violations.
- Employees approved to drive on company business are required to inform their supervisor of any changes that may affect either their legal or physical ability to drive.

- Employees holding jobs requiring regular driving for business as an essential job function must, as a condition of employment, be able to meet the driver approval standards of this policy at all times.
- Employees should maintain the security of the vehicle and its contents, including not leaving personal items (including those of any passengers) in the vehicle at any time while unattended.
- Drivers must always drive safely and responsibly and follow all traffic regulations, including the speed limit and pay special attention to pedestrians and cyclists.
- Drivers must be mindful of the weather, and avoid driving during severe weather conditions, when feasible.
- Use of handheld cell phones (including texting) while behind the wheel of a moving vehicle being used on company business is strictly prohibited.
- Employees are responsible for any driving infractions or fines as a result of their driving.
- Nonemployees and nonbusiness passengers (i.e., family and friends) are prohibited from riding in company vehicles.
- Current registration and proof of insurance must be present in vehicle.
- Vehicle doors must be locked when in motion.
- Company vehicles shall always be secured when not in transit by being locked, keys removed, and alarms activated if so equipped.
- Employees must report any accident, theft or malicious damage involving a company vehicle to the FO Director and Partners HQ, regardless of the extent of damage or lack of injuries. Such reports must be made as soon as possible but no later than 6 hours after the incident unless employee is medically incapable of reporting.
- Employees are expected to cooperate fully with authorities in the event of an accident. However, employees should make no voluntary statement other than in reply to questions of investigating officers.
- Smoking is prohibited in all company vehicles.
- Seatbelts must always be worn by all passengers in the vehicle.

- Employees are not permitted, under any circumstances, to operate a company vehicle with any physical or mental impairment that causes the employee to be unable to drive safely. Furthermore, employees shall not operate any company vehicle while using or consuming alcohol, illegal drugs or prescription medications that may affect their ability to drive.
- The company driver is responsible for ensuring all necessary precautions are always taken to prevent damage and theft of the company vehicle and/or its contents. Whenever an employee leaves a company vehicle, the following must be done:
 - Roll up all windows
 - Lock all doors
 - Do not leave merchandise and equipment in open view inside a car, which may tempt a break-in. Remove all valuable items or lock them inside the trunk and out of sight when the vehicle is left unattended.
- Employees must take precautions to safeguard the vehicle and its contents. To the extent possible, employees must select off street parking, secure parking garages, or a lighted area close to a business or hotel entrance where normal police surveillance or security protection exists. If an employee is keeping a vehicle overnight in Mexico City and a secure location is not possible, then the employee must return the vehicle to Partners Mexico's office location.

Any violation of the above requirements will result in disciplinary action, up to and including termination.

14.9.1 Vehicle Driving Restrictions

Any employee who has a "major violation" in the last five years will not be eligible to drive company vehicles unless special authorization is given by Partners HQ. Major violations include but are not limited to:

- Driving under the influence of drugs/alcohol;
- Failure to report an accident;
- Reckless driving;
- Making a false accident report;

- Driving while license is suspended or revoked; or
- Attempting to evade a police officer.

14.9.2 Vehicle Travel Restrictions

Vehicles within cities must take into account the current insecurity situation in the country. It is recommended to check with the FO Finance Manager for the restrictions in place and adhered to U.S. Embassy restrictions for travel. For trips, the maximum time of departure is: 5:00am and the maximum time of return is 7:00pm. Exceptions may be requested by writing to Partners HQ, in consultation with Embassy Security and depending on the geographic area for travel.

A seat belt is required at all times and the speed must not exceed 100 km/h or 60 miles on national roads and 40-50 km/h on dirt roads, depending on the state, or less based on the road signs and Mexican traffic laws.

14.9.3 Vehicle Logs

Before each use, employees must complete a basic vehicle check before and update the log. Drivers must confirm that the following parts and components are in good working order: brakes, steering mechanism, horn, windshield wipers/washers, rear-vision mirrors, lights, and tires. Vehicles found to be in an unsafe condition may not be operated for until properly repaired.

After the basic check is completed, employees will need to report any damages and/or issues with the vehicle on the approved tracking sheet. A mileage log must be maintained for each vehicle, identifying the date and purpose of each trip and the beginning, and ending odometer readings. Upon finalizing the use of the vehicle at the end of each day, the employee will need to update the log and report any damages and/or issues with the vehicle. If an employee fails to update the mileage log and perform the vehicle check, they may face disciplinary action.

14.9.4 Reporting Vehicle Accidents

In case of an accident, the employee should take the following steps:

- If anyone is hurt, call for medical assistance;
- Contact the FO Director and Partners HQ immediately;
- Report the incident immediately to the local police and obtain a copy of the police report;
- Get the below information if possible:

- Nature and extent of the damage to vehicles and other property;
- Name and address of the legal owner of the other vehicle or vehicles, if any.
- Name, address, driver's license number, and date of birth of the driver of the other vehicle or vehicles, if any;
- License number, make and model of the other vehicle or vehicles, if any;
- Name of the insurance company of any other driver or drivers, policy number and expiration date, and policy holder's name and address;
- Time, place, and date of the accident;
- Names and addresses of anyone injured and description of injuries; and
- Names and addresses of any passengers and other witnesses.
- Exchange vehicle identification, insurance company name and policy numbers with the other driver (if applicable);
- Do not admit negligence or liability. Give no information except as required by law enforcement officers;
- Do not attempt settlement, regardless of how minor;
- Take a photograph of the scene of accident;
- Complete the employee accident report found in [Annex G](#).

After the accident, the employee should follow legal guidelines for exchanging information with other drivers and report the accident to local police. Employees cannot guarantee payment to other parties without Partners Mexico's authorization.

The employee will be responsible for completing the Employee Accident Report Form found in [Annex G](#). Such reports must be made as soon as possible but no later than 6 hours after the incident unless employee is medically incapable of reporting. All photos, police reports, employee accident reports, and other information relating to the incident must be retained and a copy sent to Partners HQ. The FO Director will work with Partners HQ to contact the insurance provider and file claim, as necessary.

14.9.5 Vehicle Repairs

For all vehicle repairs, employees must review the warranty on the vehicle when applicable. The warranty must be reviewed to ensure that the repairs are not covered under the existing warranty and/or that the repairs are done at the necessary shop which are authorized outlets for service. Additionally, the driver must check that the original parts of the vehicle are not replaced used parts, a dishonest practice quite common for radiators, batteries, lamps etc. in some places.

14.9.5.1 Normal Vehicle Maintenance

The driver will respect the normal maintenance schedule of the vehicle, usually based on the mileage of the car or the number of months of use if it occurs before. The objective is to maintain company vehicles in a safe and operating condition by using the most economical, reliable, and up-to-date procedures and technologies available, all-in accordance with the original manufacturer's recommendations. Employees who are having vehicles serviced for normal maintenance, should follow all necessary procurement standards and recommended maintenance timelines.

14.9.5.2 Major Vehicle Repairs

Major vehicle repairs are those valued at USD \$500 and above. For all major repairs, the employee will be required to obtain three (3) quotes from a pool of qualified service providers. The FO Director in coordinator with Partners HQ will review the quotes and select the best provider. The overall process and selection of the provider will be documented in accordance with the normal procurement standards in [Section 13](#). If the major repair pertains to an accident report and an insurance claim is filed, then Partners HQ in coordination with the FO Director will work with the insurance agent to cover the cost less any deductible.

14.9.6 Vehicle Insurance and Registration

Under Partners HQ's vehicle insurance policy, it provides protection to authorized drivers of company vehicles while on official business. The insurance policy covers collision, fire, theft, and liability and includes a deductible. If the accident is due to driver negligence, the insurance claim may be denied, and Partners Mexico will be responsible for all costs associated with the incident. All Partners Mexico's vehicle must be registered in Mexico with the appropriate authorities. Any vehicle that is not properly registered cannot be used for business, until the registration is updated.

Copies of current vehicle registration information must always be retained in the glovebox of the vehicle, and a second copy filed with the FO Finance Manager.

Annex A

Master Equipment & Supply Listing

Master Equipment & Supplies Report														
#	Photo	Description of Inventory & Equipment	Condition	Brand	Model	Serial #	Acquisition/ Purchase Date	Purchase Price	Current Price	Grant	City	Physical Location	Responsible Person	Notes
Equipment (over \$5,000 USD)														
1										USAID800				
2														
3														
4														
5														
6														
7														
8														
9														
10														
Inventory & Supplies (under \$5,000 USD)														
1														
2														
3														
4														
5														
6														
7														
8														
9														
10														

Submitted by: _____ Date: _____

Signature: _____

Annex B

Petty Cash Count

Partners of the Americas - DOL423 Mexico Field Office - Petty Cash Count			
Petty Cash Count on		10-Jul-22	
Bank Notes	100,000 Pesos		MXN 0.00
	50,000 Pesos		MXN 0.00
	20,000 Pesos		MXN 0.00
	10,000 Pesos		MXN 0.00
	5,000 Pesos		MXN 0.00
	2,000 Pesos		MXN 0.00
Coins	Coins Total		MXN 0.00
	Total Cash On Hand		MXN 0.00
<i>By signing below I certify that I have conducted a cash count and verified Petty Cash Float in the presence of the petty cash float holder on:</i>			7/10/2022
Prepared by:		Signature:	
Title of Preparer:	Director of Finance & Administration	Date:	7/10/2022
Certified by:		Signature:	
Title of Certifier:	Project Director	Date:	7/10/2022
Remarks:			

Annex C

Field Expenditure Report and Certification

Partners of the Americas - DOL423 Mexico Awareness													
			Month ending		3/1/2021								
			Country		Mexico								
* Choose from drop down list													
Date	Ref or CK#	Payee	Budget Description	Activity Code	Amount Mexican Pesos	Exchange Rate	Amount (USD)	Object Code	Description of Expense	Country	Office	Subcent. ID	Session Description
			T1: Post-award Meeting with IIR - Airfare - Mexico/MX.T1.A		MXN 0.00	20.00	\$ -	7510		MX	MX	0	Reporte Financiero Mexico SO:423 - Marzo 2021

Partners of the Americas	
General Information & Certifications	
Name of the Country office	Mexico Field Office
Project Code:	DOL423
Project Name:	Mexico Awareness Raising Project
Project Start Date:	01-Jan-21
Project End Date:	30-Jun-25
Report Date:	01-Mar-21
Total Months for the Project:	55 Months
Remaining Months for the Project:	53 Months
Remaining Months for the Project:	96.40%
Certification of Expenses:	
1. The undersigned hereby certifies (1) the fiscal report & attachments have been prepared from the books & records of the field office in accordance with the terms of the grant award, and to the best of my knowledge and belief, that they are correct, that the sum claimed under this award is proper and that all the costs of the field office performance (except as herewith reported in writing has been accrued or paid or will be paid currently to the award when due in the ordinary course of business.) 2. That the work reflected by the costs above have been performed, that the quantities and amounts involved are consistent with the requirements of the award. 3. That all required approvals have been obtained and appropriate refund to Partners of the Americas will be made upon request in the event of disallowance of costs not reimbursable under the term of this award. 4. By signing this report, I certify that the expenses contained in the present report for month of <u>XXXXXX</u> equivalent to US dollars <u>XXXXXX</u> were incurred by the field office, and are related to activities carried out by the project. I certify to the best of my knowledge and belief that the report is true, complete, and accurate, and that the expenditures and disbursements are for the purposes and objectives set forth in the terms and conditions of the Department of Labor (DOL) Award. I am aware that any false, fictitious, or fraudulent information, or the omission of any material fact, may subject me to criminal, civil or administrative penalties for fraud, false statements, false claims or otherwise. I understand that if the expenses contained herein are questioned or not approved by Partners CFO or by DOL, I will provide full cooperation to all the involved parties to complete such review, audit or investigation.	
Name of Certifier:	
Signature:	
Title:	

Bank Reconciliation



PARTNERS of the AMERICAS
Connect • Serve • Change Lives

DOL423 - Mexico Bank Reconciliation Bank Account: XXXXX

Month and Year:

Mar-21

Exchange Rate for the Month MXN to USD

20.00

According to the Bank

Balance as end of: March-21

MXN 0.00

Plus:

Deposits in Transit

MXN 0.00

Less:

Check in Transit

MXN 0.00

Number of Check	Details of Expense	Date	Amount
			MXN 0.00
			MXN 0.00
			MXN 0.00
			MXN 0.00
			MXN 0.00
			MXN 0.00

Balance According to the Bank:
Exchange Rate Applied MXN to USD

March-21

MXN 0.00

20.00

USD Balance According to the Bank end of: March-21

\$ -

According to the Books

Balance as Beginning of:

March-21

MXN 0.00

Plus:

Deposits for the Month

MXN 0.00

Less:

Check Written in Current Month

MXN 0.00

MXN Balance According to the Books end of: March-21
Exchange Rate Applied MXN to USD

MXN 0.00

20.00

USD Balance According to the Books end of: March-21

\$ -

Difference of Bank and Book Balance as end of: March-21

\$ -

By signing this report, I certify that the expenses contained in the present report for month of XXXXXX, equivalent to US dollars XXXXXX were incurred by the entity, and are related to activities carried out by the project. I certify to the best of my knowledge and belief that the report is true, complete, and accurate, and that the expenditures and disbursements are for the purposes and objectives set forth in the terms and conditions of the Department of Labor (DOL) Award. I am aware that any false, fictitious, or fraudulent information, or the omission of any material fact, may subject me to criminal, civil or administrative penalties for fraud, false statements, false claims or otherwise. I understand that if the expenses contained herein are questioned or not approved by Partners CFO or by DOL, I will provide full cooperation to all the involved parties to complete such review, audit or investigation.

Prepared By:

Finance-Administrative Director

Date

Approved By:

Project Director

Date

Annex D

Cash Flow Request



Partners of the Americas

CASH FLOW REQUEST for		Apr-21	
Office:	Mexico	Currency:	MXN
Date Requested:	3/1/2021		
Program/Grant #:	DOL423		
			Amount
Ending Bank Balance from Previous Month (MXN)			MXN -
Exchange Rate of MXN to USD			20.00
Ending Bank Balance in USD			\$ -
Last Cash Flow Request (if not in previous month bank statement, otherwise put 0)			\$ -
Total Projections for Current Month in USD		Mar-21	\$ -
Total Projections for Next Month in USD (Rounded Numbers)		Apr-21	
Direct Labor			\$ -
Travel			\$ -
Supplies and Office Expenses			\$ -
Outcome 1: Increase understanding by workers, employers, and union leaders on Mexico's new labor systems			\$ -
Outcome 2: Build the capacity of the federal and state level Secretariat of Labor and Social Welfare			\$ -
Monitoring, Evaluation, and Collection of Reliable Data			\$ -
Total			\$ -
Necessary Funding for Next Month			\$ -
Total Cash Flow Request			\$ -
Prepared by:		Date:	
Title of Preparer			
Certified By:		Date:	
Title of Certifier:			
Remarks:			

Annex E

Petty Cash Certification

Date

Name of Country Director/Chief of Party

Country Director/Chief of Party

Dear **Name of Country Director/Chief of Party**:

Re: CERTIFICATE OF PETTY CASH FLOAT HELD FOR PROJECT **NAME AND GRANT
NUMBER**

TOTAL OF PETTY CASH FLOAT: _____

LESS TOTAL PETTY CASH VOUCHERS: _____

EQUALS TOTAL CASH ON HAND: _____

I certify that I have conducted a cash count on _____ (date) and verified Petty Cash Float in the presence of the petty cash float holder.

PETTY CASH VERIFIER: _____ Name

_____ Signature

PETTY CASH FLOAT HOLDER: _____ Name

_____ Signature

Annex F

Harassment Complaint Form

The information you provide below is considered sensitive and will be shared only with those who are considered essential to the investigation and disposition of this complaint. Do not feel limited by the space provided in this form – you are encouraged to attach additional pages if you believe it will assist in the investigation.

If you are more comfortable with verbally relaying your report, your supervisor, or any member of management you've discussed your complaint with can complete the form on your behalf. However, you must sign the last page.

<i>Complainant Name:</i>	
<i>Position:</i>	
<i>Department:</i>	
<i>Supervisor:</i>	
<i>1. Describe the alleged harassment incident(s).</i>	
<i>2. Who was responsible for the alleged harassment incident(s)?</i>	

3. Identify any witnesses to the alleged harassment incident(s).	
4. Where did the alleged harassment incident(s) take place?	
5. List the date(s) and time(s) that the alleged harassment incident(s) occurred.	
6. Have you reported this incident to anyone else? If so, whom?	
Employee Signature	Date
Signature of Person Completing Form (if not employee):	Date
Name of Person Completing Form (if not employee):	

Partners Mexico is an equal opportunity employer. It is Partners Mexico's policy that all employees have a right to work in an environment free of discrimination and harassment based on race, color, sex, gender, religion, political opinion/affiliation, national ancestry, social origin, nationality, age, disability, migratory condition, health, sexual preferences, or any other basis protected by local law. Partners Mexico's policy prohibits retaliation against any employee for complaining about discrimination or harassment.

Annex G

Employee Incident Report

A. Injured Employee Data			
Employee Name:		Position:	Full Name of Witness (If applicable):
Work Location:			
Date of Accident	Time of Accident A.M. ☐ P.M. ☐	Claim Number (if known)	
Phone:	Other/Cell Number:	Email:	
Supervisor			Supervisor Telephone Number

Check all that Apply:

Type of Accident/Loss: () Injury () Vehicle Accident () Illness () Property Damage () Fire

() Other-Specify: _____

Location of Occurrence: () On Premises - Office () Off-Premises

Nature of Injury/Illness: (Strain, Laceration, Burn, Fracture, etc.) _____

Part(s) of Body: (Back, Finger, Hand, Foot, etc.) _____

Date of 1st Medical Treatment: _____ Time _____ AM/PM

Employee Sent: () Back to Work () To Doctor () Home () To Hospital

If applicable: Estimated Time of Disability: _____ Days

For Vehicle Accidents Only

Owner: () Partners Mexico () Other (Name/Address) _____

License Plate Number: _____ Year: _____

Make/Model: _____

Brief Damage Description:

Repair Hours (Estimated) _____

Estimated Material Costs \$ _____

B. Accident Description

Instructions: Obtain written and/or recorded statements from injured employee. What happened? What caused the accident? What were the contributing factors? Reconstruct the sequence of events that led to the injury. Attach additional sheets if necessary. This document becomes an official accounting of the facts surrounding the accident. When documenting the facts, include answers to the following questions:

Where did the accident happen and who was involved? Provide a full description of the surroundings of the location and the individuals involved.

What was happening at the time of the accident and why was it taking place?

What were the events leading up to the accident? Describe the sequence in order and when they took place.

What exactly caused the injury and how did it happen? What were the mechanics, equipment or tools involved?
Describe the injury or injuries incurred. What body part and what kind of injury? (Indicate if no injury occurred.)
If a physical injury was avoided, what could have happened to cause an injury?
7. If damage occurred to employer vehicle, please describe the damage:
8. If damage occurred to employer equipment, please describe the damage:
C. Accident Findings
After review of all facts, what was the hazardous condition, unsafe work practice, or other causal factors (procedure, equipment, people, and environment) that contributed to the accident / injury?

Employee

Signature:

Date: _____

Witness

Signature

(If

Applicable): _____

Date: _____

Supervisor

Signature:

Date: _____

Employee Accident Investigation Report

To Be Conducted by FO Director

For all question below please write one of the following: (Y for Yes; N for No; NA for Not Applicable)

I. Environmental Data

Temperature____
Humidity____
Weather____
Wind____
Visibility____
Lighting____
Surface (road, steps, floor, etc.).

Condition (smooth, wet, slippery, etc.)

Type Surface (wood, asphalt, grass, etc.)____

Describe Roadway (Curve, uphill,
intersection, etc.) _____
Traffic Control Devices (Y/N):
(1) Present____
(2) Visible____
For ramps, stairs, steps (Y/N):
(1) Present____
(2) Obstructions_____

II. Operator/Vehicle (If applicable)

A. Driver Injured_____
B. Passengers Injured _____
C. Others Injured_____
D. Vehicle Damaged_____
F. Other Vehicle Damaged_____

G. Other Property
Damaged_____
H. Driver Licensed for
Vehicle_____
I. Seat Belts
Worn_____
J. Alcohol/Drugs Involved _____
H. Alcohol/Drugs a Factor_____
I. Adequate Rest for Use_____

III. Equipment/Training Data

A. Safety Equipment Required_____
B. Safety Equipment Available_____
C. Safety Equipment Used_____
D. Experience a Factor_____
E. Instructions Available_____

F. Instructions Written_____
G. Instructions Adequate_____

What is recommended to prevent this type of accident from occurring again?

List possible factors based on descriptive narrative and information in preceding data fields:
List causes:
Corrective Action Taken/Planned, with dates:

Use Additional Forms and Paper if Required

Investigated _____ by:

Investigator _____ Signature:

Date: _____

Reviewed by: _____

Reviewer _____ Signature:

Date: _____

Annex H

Application for Employment

EEO Statement: Partners of the Americas is an equal opportunity employer and will not discriminate against any application for employment on the basis of actual or perceived race, color, religion, national origin, religion, sex (including pregnancy, childbirth, and other pregnancy-related conditions), age (18 and over), marital status (including parenthood), personal appearance, sexual orientation, gender identity or expression, family responsibilities, genetic information, disability, veteran status, matriculation, political affiliation or any other basis prohibited by law.

General Information:

Date: _____

Full Name: _____

Current Email Address: _____

Current Address: _____

Day Phone Number: _____ Evening Phone Number: _____

_____ ☐ Full-Time

Position Desired

Salary Desired Earliest Start Date

☐ Part-Time

☐ Intern

Have you ever applied to Partners of the Americas before? _____

If yes, when: _____

How did you find out about Partners of the Americas? _____

Are you legally permitted to work in this country? ☐ Yes ☐ No

Have you ever been convicted of a crime other than a minor traffic violation? ☐ Yes ☐ No

If yes, give details on a separate page and attach to the application.

Note: A criminal conviction is not an absolute bar to employment but will be considered in relation to specific job requirements.

Education / Training:

High School	City & State	Degree
-------------	--------------	--------

Did you graduate: ☐ No ☐ Yes

College	City & State	Degree
---------	--------------	--------

Did you graduate: ☐ No ☐ Yes

Graduate/Trade School	City & State	Degree
-----------------------	--------------	--------

Did you graduate: ☐ No ☐ Yes

Previous Experience (Start with current or most recent employer):

Firm Name	From (Month/Year)	To (Month/Year)	Salary
-----------	-------------------	-----------------	--------

Address (Street, City, State, Zip)

Job Title	Supervisor's Name	Phone #
-----------	-------------------	---------

Responsibilities: _____

Reason for Leaving: _____

May we contact the above employer? ☐ Yes ☐ No If no, please provide explanation.

Firm Name	From (Month/Year)	To (Month/Year)	Salary
-----------	-------------------	-----------------	--------

Address (Street, City, State, Zip)

Job Title

Supervisor's Name

Phone #

Responsibilities: _____

Reason for Leaving: _____

May we contact the above employer? [] Yes [] No If no, please provide explanation.

Firm Name

From (Month/Year)

To (Month/Year)

Salary

Address (Street, City, State, Zip)

Job Title

Supervisor's Name

Phone #

Responsibilities: _____

Reason for Leaving: _____

May we contact the above employer? [] Yes [] No If no, please provide explanation.

Additional Qualifications:

Please identify any additional knowledge, skills, qualifications, or awards that will be helpful to us in considering your application for employment.

References:

Please provide the names of three professional references, not related to you, who can best provide pertinent information as to your character and capabilities for the position you are applying or being considered for. These individuals are generally your previous supervisors.

Name/Title:

Organization:

Relationship:

Email

Telephone #:

Applicant's Certification:

Applicant's Certification of Truthfulness, Agreement to Background Checks and Understanding of "AT WILL" Employment

I hereby certify that all statements made in this application and in the pre-employment, process are true and correct to the best of my knowledge and belief. I understand and agree that any misrepresentation or omission of facts in my application or in the pre-employment process may result in rejection of my application or termination of my employment.

I understand an employee of Partners of the Americas may make an investigation as to my character and general reputation. I authorize all current and past employers, schools, persons, and organizations having relevant information or knowledge to provide it to Partners of the Americas for the use in deciding whether or not to offer me employment. I hereby release Partners of the Americas its representatives and all such employers, schools, persons, and organizations from all liability in making or responding to inquiries in connection with my application.

I understand that if an employment relationship is established my employment can be terminated at any time, with or without cause or notice, at the option of either Partners of the Americas or myself. I further understand that nothing contained in this application or in any other oral communication or representation from Partners of the Americas or any Partners of the Americas representative made at any time constitutes a contract, guarantee, promise or any other binding obligation on Partners of the Americas.

Further, if granted a position with Partners of the Americas, I will comply with all of Partners of the America's policies and procedures, a copy of which will be provided on or before my first week of employment.

In signing this form, I certify that I understand all the questions and statements in this application.

Acknowledged:

Signature of Applicant

Date

Annex I

Reference Check

Greetings from Partners of the Americas **Reference Name**,

We are currently considering **Name of candidate** for the position of **Position Name** at *Partners of the Americas*.

They provided your name as a professional reference. We have a few questions about their demonstrated performance and aptitude for the position. We thank you in advance for responding to these questions.

If you would rather go over these questions via virtual call, please provide a time and phone number where I can contact you.

Please note that we are trying to move quickly, therefore, we appreciate your attention to this matter.

Thank you for your time.

- Name of Previous Employer:
- Position Title :
- Relationship to Candidate:
- Dates employed: From: _____ To: _____
- How would you describe the job performance of the above candidate in one word? Why
- Tell me of a time when the candidate was in a stressful situation at work, how did he manage?
- What is the most important attribute of the person? Why?
- What value did the person add to the company?
- Is the applicant eligible for rehire/promotion?
- How well did the applicant get along with coworkers and others?
- Tell me about a situation that involved the applicant and a team. What part did the applicant play? What were the outcomes? (Leader, communicator, worker, Idea person, creator etc.).
- Do you consider this person capable of assuming the duties for the role that we are hiring for?
- Describe an instance where you have seen how this candidate handled and corrected a mistake in the past.
- Other input as to this person's skills?

Annex J

Offer Letter

[DATE]

[CANDIDATE NAME]

[ADDRESS]

Dear [CANDIDATE Name]

Partners of the Americas is pleased to offer you the full-time, with the annual gross salary for this position is **(MXN SALARY AMOUNT)** position of **(POSITION NAME)**, for our **(UNIT NAME)**, beginning **(DATE)**, in our office at **(OFFICE ADDRESS)**. You will be reporting to **(SUPERVISOR NAME, TITLE UNIT, PROJECT NAME)**.

POA offers the following benefits working conditions:

- Your responsibilities are those outlined in the Position Description and as described to you during your interviews.
- This position is based on a 40-hour worked per week. Your first paycheck will be issued on **(DATE)**, corresponding to the pay period of **(DATE RANGE)**.
- Bonus equivalent to 15 days of salary per year or proportional to time worked in the year.
- Vacation bonus equivalent to 25% of the daily salary
- 10 days of vacation, which corresponds to 0.833 days per month. After three years of service vacation increases to 15 day of salary per year.
- Contributions that as an employer correspond to the company before the Mexican Institute of Social
- Health Insurance policy for medical expenses based on POA's global contracted policy.
- Sick leave of up to 10 days per calendar year, accruing at 0.83 days per month.
- Your performance will be evaluated after a # day provisional period.

Please note that this salary offer is contingent on Donor **USDOL** approval. In addition, all benefits and allowances listed are subject to change at the discretion and request of the Donor **USDOL** and POA Headquarters in Washington, D.C., USA.

If you accept this offer as outlined above, please sign below and return this letter to (Name and email from whom send). We are confident your employment with *Partners of the Americas* will prove mutually beneficial, and we look forward to working with you.

Sincerely,

Julio << día >>, 2021

<< Nombre de la persona >>

<< Domicilio >>

Estimado << nombre de la persona >>:

Partners of the Americas (POA) se complace en presentarle una oferta de trabajo a tiempo completo, con un salario anual de **MXN 000,000.00** en bruto para la posición de << **nombre de la posición** >> en el proyecto **XXXXX** financiado por el Departamento del Trabajo de los Estados Unidos (USDOL). Reportando a << **Nombre y cargo de supervisor** >>

POA ofrece las siguientes condiciones laborales:

- Sus responsabilidades son las descritas en la descripción del puesto adjunta y las que se le describieron durante sus entrevistas.
- Esta posición se basa en 40 horas trabajadas por semana. Su primer pago salarial se emitirá el << **FECHA** >>, correspondiente al período de pago de << **RANGO DE FECHAS** >>.
- Aguinaldo equivalente a 15 días de salario por año o proporcional al tiempo trabajado en el año,
- Prima vacacional equivalente al 25% del salario diario
- 10 días de vacaciones, que corresponde a 0.833 día por mes. Después de tres años de servicio, las vacaciones aumentan a 15 días de salario por año.
- Aportaciones que como empleador le corresponden a la empresa ante el Instituto Mexicano del Seguro Social
- Póliza de seguro para de gastos médicos en términos de póliza global contratada por POA.
- Ausencia por enfermedad de hasta 10 días por año calendario, que corresponde a 0.83 día por mes
- Su desempeño será evaluado después de un período de prueba de # días.

Favor tener en cuenta que esta oferta salarial depende de la aprobación de **USDOL**. Además, todos los beneficios y prestaciones mencionadas están sujetas a cambios a discreción y solicitud de **USDOL** y la sede de POA en Washington, D.C., EE.UU.

Si acepta esta oferta como se describe anteriormente, firme a continuación y devuelva esta carta a << Nombre y correo de la persona que envía >> Estamos seguros de que su empleo con *Partners of the Americas* será de beneficio mutuo y esperamos trabajar con usted.

Atentamente,

Annex K

Performance Evaluation Template

EMPLOYEE PERFORMANCE EVALUATION

EMPLOYEE NAME		REVIEWER NAME	
EMPLOYEE TITLE		REVIEWER TITLE	
DATES OF REVIEW	January 1, 2019 - December 31, 2019	TODAY'S DATE	
CHARACTERISTICS			
QUALITY	RATING SCALE	COMMENTS	
Works to Full Potential (not distracted & able to complete quality work)			
Takes Initiative (doesn't wait to be asked to start doing his/her work)			
Time Management (consistently meets deadlines with quality & accuracy)			
Communication (responds promptly & accurately to requests)			
Accountability (follows policies & procedures)			
Financial Management (accurate & responsibly handling funds)			
Coworker Relations (interacting respectfully & in good behavior with staff)			
Attendance & Punctuality (is on time to work - in the field of office, and has excused absences)			
COUNTRY DIRECTOR TECHNICAL ROLE			
Designed well-written country project strategies			

Identifies local host organizations		
Onboards field staff - review Field Office Manual & POA policies		
Ensures project Scopes of Work meet the country's project strategy		
Oversees in-country travel & logistics for volunteers & staff		
Produces comprehensive & well-written content to POA for reports		
Establishes relationships with hosts, partners, & other stakeholders		
Follows POA's instructions and implements updates		
Successfully supervises field staff & keeps them accountable		
Monitors & evaluates the quality & impact of volunteer assignments		
OVERALL SCORE /80		
GOALS FOR NEXT PERIOD		
COMMENTS		
EMPLOYEE SIGNATURE		REVIEWER SIGNATURE

DEFINITION OF RATINGS

EXCEPTIONAL (5): Consistently exceeds all relevant performance standards. Provides leadership, fosters teamwork, is highly productive, innovative, responsive and generates top quality work. Active in industry-related professional and/or community groups.

EXCEEDS EXPECTATIONS (4): Consistently meets and often exceeds all relevant performance standards. Shows initiative and versatility, works collaboratively, has strong technical and interpersonal skills or has achieved significant improvement in these areas.

MEETS EXPECTATIONS (3): Meets all relevant performance standards. Seldom exceeds or falls short of desired results or objectives. Lacks appropriate level of skills or is inexperienced/still learning the scope of the job.

BELOW EXPECTATIONS (2): Sometimes meets the performance standards. Seldom exceeds and often falls short of desired results. Performance has declined significantly, or employee has not sustained adequate improvement, as required since the last performance review or performance improvement plan.

NEEDS IMPROVEMENT (1): Consistently falls short of performance standards.

Salary Increase Form



2020 Salary Increase Form

Salary increases are based on performance and available funds. The supervisor may suggest a salary increase for each employee based on the scale below. If deviating from this scale, an explanation must be included. Salary increases are ultimately at the President's discretion.

- Overall score of 4.5 and above **Exemplary** (4-5% increase)
 - Overall score of 3.5 and above **Solid Performance** (2-3% increase)
 - Overall score of 3.0 and above **Satisfactory** (1-2%)
 - Overall score of 3.0 and below* **Needs Improvement** (0-1% increase)
- *Supervisor must attach list of deficiencies and necessary corrective actions (performance improvement plan).

Employee Name:			
Effective Date of Change:	1/1/2020		
	<i>(Retroactive to this date, if applicable)</i>		
	Current Salary		
	2019 Annual Salary:	\$ -	
	Months Worked in 2019	0.00	#s needed for formula
	Salary Increase		
	*Percentage Increase:	0.00%	\$ -
	AND/OR		
	Flat Increase:	\$ -	
*Based on 2019 Employee Goals & Performance Evaluation			
Reasons for Change		Total Increase:	\$ -
Annual Increase		2020 Salary:	\$ -
Change in Job Description		Per Pay Period:	\$ -
Change in Grant or Unit			
Change in Position			
Other (Please specify)			
Notes <i>(Attach additional memos and/or documentation, if necessary)</i>			
Supervisor Signature	Date: 01/01/2020	Vice President <i>(if applicable)</i>	
Employee Signature	Date: 01/01/2020	President Signature	Date: 01/01/2020

Annex L

Risk Assessment Templates

Sub-recipient Monitoring Tool- First Time

FIRST TIME RISK ASSESSMENT

Subrecipient Monitoring & Evaluation Check List

Name of Project & Grant Number:			
Subrecipient Name:			
Fixed Obligation Grant/Contract:	Yes or No	Overall Score	
Cost Reimbursable Grant/Contract:	Yes or No	0	
Staff Name Completing Form:		High Risk	Medium Risk
Date Completed:		121-180	61-120
			Low Risk
			0-60

Grading Legend:

Not Applicable	Low Risk	Medium Risk	High Risk
0	1	2	3

Explanation of risk levels:

HIGH – The risk associated with engaging the sub-recipient could compromise the project’s goals, objectives, or compliance the prime sponsor’s terms and conditions.

MEDIUM – The risk associated with engaging the sub-recipient could result in Partners operating inefficiently and/or expending unplanned resources to meet the project’s goals and objectives.

LOW – The risk associated with engaging the sub-recipient has no anticipated measurable effect on the achievement of the project’s goals and objectives.

No.	Description	Review Areas/ Action Required	Answers to Questions	Rating Risk
1	Organization, Administration and Human Resources			
	1.1 Entity Details and Registration Compliance			
	Is the organization U.S. based or foreign?			
	Is the organization legally registered in country?	Ex. Registration documents		
	Does the organization have a DUNS number	DUNS number must be obtain prior to award		
	1.2 Business Structure			
	What type of organization is the subrecipient? Grassroots, NGO, LLC, Corporation, Sole-Proprietorship, etc.?			
	Who is ultimately responsible for business liabilities, debts and actions?			
	How long has the subrecipient been in business? Over 10 years?			
	1.3 Funding			
	In the preceding fiscal year, did the subrecipient received 50% or more of its annual gross revenues from US federal contracts?	If majority of funding from USG, shows experience managing USG funding.		
	1.4 Project Operations			
	Is there an organizational chart? Is it updated?			
	Are staff aware of reporting structures?			
	Are there sufficient internal controls in place to protect against waste, fraud and abuse of Federal funds? Is there segregation of duties?	Ex. Responsible person for financial reporting, cash management, procurement, invoices, payroll, general accounts, property management		
	Does the organization have an Operations Manual?			
	Are the key elements of an Operations Manual present? 1) Project definition and scope 2) Project objectives 3) Mgmt. standards & procedures 4) Organizational chart 5) Financial & HR procedures 6) Staffing requirements 7) Record Retention policy 9) Procurement procedures 10) Travel Policy 11) Capitalization/depreciation 12) Risk assessment policy (if second-tier subrecipients) 13) Protection from Sexual Exploitation and Abuse (PSEA) 14) Child Protection Policy (if working with children) 15) Suspension & Debarment	Review key sections to ensure compliance with 2 CFR 200 Uniform Guidance:		
	Do the organization's policies meet or exceed the Federal retention requirements?	Review record retention policy		
	1.5 Human Resources and Personnel			
	Are there Personnel Files? Do they have proper backup and filing systems?	Is there a CV or Bio-data, offer letter or employee contract? Is there a job description? Is signed copy of contract ? Test: Random check of each personnel file to verify documentation. How are salary distributions made? Are they properly documented?		
	Is there a written HR Policy? Is it being followed?	Review HR policy		
	Does the subrecipient have a written conflict of interest policy for their employees and contractors? How often is it signed?	Spot check and confirm conflict of interest policies are being signed by employees		
	Is there a clear delineation of roles and responsibilities?			
	Are employees benefit plans readily available (medical, insurances, allowances, bonus policies etc.)? Are fringe benefits paid in accordance with local laws and organizational policy?	Evidence (health plan, workplace insurance, overtime register, training policy, etc.)		
	Are personnel and consultants contracts available in hard or soft copy? Or both?	If only hard copy, what mitigation efforts are taken to ensure their safety		
				Organization, Administration, and Human Resources Scoring
				High Risk Medium Risk Low Risk
				39-57 20-38 0-19
	Total score for Organization, Administration and Human Resources			0
2	Risk Management			
	2.1 Anti-corruption / Sanctions Lists / Counter Terrorism			
	Has POA conducted a screening of the organization and people working for a project? Ex. Visual Compliance Check	Conduct Visual Compliance checks		
	2.2 Risk Management			
	Is there a Project Filing System?	Filing list, hard and soft copy files, compliance with SharePoint filing system		
	Does the subrecipient have a procedures to identify and account for federal property and equipment purchased with grant funds?			
	Does the subrecipient have adequate safeguards for preventing loss, damage, or theft of property held (inventory control, etc.)?			
	2.3 Safety and Security Plan			
	Is there a Safety and Security Plan on file with up-to-date emergency contact information?			
				Risk Management Scoring
				High Risk Medium Risk Low Risk
				11-15 6-10 0-5
	Total score for Risk Management			0

3 Finance and Procurement						
	3.1 Financial Operations					
	Are there financial management procedures?	Spot check; Review key sections to ensure compliance with 2 CFR 200 Uniform Guidance and GAAP				
	Are staff aware of the financial management procedures?	Are trainings done regularly?				
	Do records show correct signatures in line with delegated authority?	Spot check 10 items				
	Are invoices or vouchers approved in advance by authorized officials?					
	Are payment vouchers or supporting documents identified by grant number, date(s) and expense classification?	Spot check 10 items				
	Is there evidence of proper financial documentation?	Payment receipt, journal entry, petty chase, invoices, payroll slips, bank statements, bank reconciliations				
	Are financial records being kept in hard or soft copy? Or both?					
	Does the subrecipient have a cash forecasting process which will minimize the time elapsed between the drawing down of funds and the disbursement of those funds?					
	3.2 Payroll					
	Is payroll calculated each month?	By whom and how?				
	Are all applicable taxes being withheld?	Ex. Income tax, PAYE				
	Are individual timesheets or time and effort reports for each staff member available?	Spot check documentation and ensure duly signed				
	Does payroll documentation detail other benefits and percentage allocation?					
	3.3 Audit					
	Have Subrecipient's annual financial statements been audited by an independent audit firm? If yes, provide a copy of the statements for the last year.	Review audit report				
	Is the organizations currently subject to audit requirements set forth in section § 200.501 for spending \$750,000 in USG funding?	Review audit report				
	If the subrecipient had an external audit, where there any findings? If so, have the findings been resolved?					
	Has the subrecipient currently or previously been involved in any litigation concerning performance or financial management under United States Government federal award or subaward?					
	3.4 Procurements					
	Are formal procurement policies and procedures in place and being followed?	Test procurement documentation				
	3.5 Accounting System					
	What type of financial management/accounting system does the subrecipient utilize?					
	Is there adequate reporting and tracking of funds? Are sources of non-Federal funds identified and tracked separately in the accounting system?					
	Does Subrecipient's financial system provide for the effective control over and accountability for all funds, property, and other assets (including but not limited to: (1) comparison of expenditures with budget amounts for each award; and (2) recording of each grant/contract by the budget cost categories shown in the approved budget)?					
	Is there a chart of accounts?					
	Does the system provide for prompt and timely recording and reporting of all financial transactions?					
	Does the organization keep a separate bank account for POA/USG funds?					
	3.6 Cost Share					
	Has the organization worked with cost share requirements before? Does Subrecipient have a system in place to determine that it has met its cost sharing goals, if applicable?					
	3.7 Inventory Systems					
	Does the subrecipient periodically check its detailed property and equipment records against physical inventory?					
	3.8 Travel					
	Does the organization have its own travel policy and is the policy being followed?	Review travel policy				
						Organization and Administration Scoring
						Finance and Procurement Scoring
						High Risk Medium Risk Low Risk
	Total score for Finance and Procurement		0	51-75	26-50	0-25
4 Technical Capacities						
	4.1 Experience					
	Has the subrecipient worked on projects related to or with POA's in the past? If so, when?					
	Has the subrecipient worked with USG funding past? If so, when?					
	Are the activities of the subrecipient aligned with the mission and the values of the organization?					
	4.2 Leadership					
	Is the subrecipient well known because of its leadership in relevant topics related to the goals of the subaward?					
	Are the senior staff members of the company leaders that can facilitate project implementation?					
	During the last year has been a change in leadership?					
	4.3 Personnel and Consultants					
	Are the technical staff of the organization qualified and have the necessary experience?					
	What is the turnover of the technical staff?					
	Does the organization have the ability to hire a short-term consultant quickly?					
	4.4 Monitoring and Evaluation					
	Does the organization have mechanisms (monitoring and evaluations tools) to ensure good quality of the products?					
	Is there a database or other platform to accurately enter, store, and download M&E data?					
						Technical Capacities Scoring
						High Risk Medium Risk Low Risk
	Total score for Technical Capacities		0	23-33	12-22	0-11
	Total Score in All Categories		0			

Sub-recipient Monitoring Tool- Recurring Policy

REOCCURRING RISK ASSESSMENT

Subrecipient Monitoring & Evaluation Check List

Recurring Policy (Subrecipient Monitoring)

Name of Project & Grant Number:			
Subrecipient Name:			
Fixed Obligation Grant/Contract:	Yes or No	Overall Score	
Cost Reimbursable Grant/Contract:	Yes or No	0	
Staff Name Completing Form:		High Risk	Medium Risk
Date Completed:		129-192	65-128
			Low Risk
			0-64

Grading Legend:

Not Applicable	Low Risk	Medium Risk	High Risk
0	1	2	3

Explanation of risk levels:

HIGH – The risk associated with engaging the sub-recipient could compromise the project's goals, objectives, or compliance the prime sponsor's terms and conditions.

MEDIUM – The risk associated with engaging the sub-recipient could result in Partners operating inefficiently and/or expending unplanned resources to meet the project's goals and objectives.

LOW – The risk associated with engaging the sub-recipient has no anticipated measurable effect on the achievement of the project's goals and objectives.

No.	Description	Review Areas/ Action Required	Action Required	Rating Risk
1	Organization, Administration and Human Resources			
	1.1 Funding			
	<i>In the preceding fiscal year, did the subrecipient received 50% or more of its annual gross revenues from US federal contracts?</i>	If majority of funding from USG, shows experience managing USG funding.		
	1.2 Project Operations			
	<i>Is there an organizational chart? Is it updated?</i>			
	<i>Are staff aware of reporting structures?</i>			
	<i>Are there sufficient internal controls in place to protect against waste, fraud and abuse of Federal funds? Is there segregation of duties?</i>	Ex. Responsible person for financial reporting, cash management, procurement, invoices, payroll, general accounts, property management		
	<i>Has the Operations Manual been updated?</i>			
	<i>If there were policy changes in the past year, are the key elements of an Operations Manual still present? 1) Project definition and scope 2) Project objectives 3) Mgmt. standards & procedures 4) Organizational chart 5) Financial & HR procedures 6) Staffing requirements 7) Record Retention policy 9) Procurement procedures 10) Travel Policy 11) Capitalization/depreciation 12) Risk assessment policy (if second-tier subrecipients)</i>	Review key sections to ensure compliance with 2 CFR 200 Uniform Guidance:		
	<i>If there are project vehicles, is there a vehicle usage log? Is it maintained and reviewed on a regular basis? Is there an office policy on vehicle usage? If there is no vehicle, is mileage reimbursement done correctly in the past year?</i>			
	1.3 Human Resources and Personnel			
	<i>Are the Personnel Files up-to-date? Do they have proper backup and filing systems?</i>	Is there a CV or Bio-data, offer letter or employee contract? Is there a job description? Is signed copy of contract ? Test: Random check of each personnel file to verify documentation. How are salary distributions made? Are they properly documented?		
	<i>Has the written HR Policy been updated? If so, is it being followed?</i>	Review updated HR policy		
	<i>Is the conflict of interest policy being followed? How often is the certification signed by staff?</i>	Spot check and confirm conflict of interest policies are being signed by employees		
	<i>Is there an up-to-date list of project employees and consultants?</i>			
	<i>Are employee salary and consultant payments in accordance with the approved budget and authorized level of effort?</i>			
				Organization, Administration, and Human Resources Scoring
				High Risk Medium Risk Low Risk
	Total score for Organization, Administration and Human Resources			0 25-36 13-24 0-12
2	Risk Management			
	2.1 Anti-corruption / Sanctions Lists / Counter Terrorism			
	<i>Has POA conducted an updated screening of the organization and people working for a project? Ex. Visual Compliance Check</i>	Conduct Visual Compliance checks		
	<i>Has the subrecipient been conducting SAM checks prior to payments on their vendors?</i>			
	2.2 Risk Management			
	<i>Are local contract templates being checked regularly (at least every two years) to make sure they are in line with country workplace laws?</i>	Evidence of local legal advice		
	<i>Is the a Project Filing System being followed? Are files requested by Partners easily available?</i>			
	2.3 Safety and Security Plan			
	<i>Is the Safety and Security Plan being followed and updated regularly? Has there been any major security concerns in the past year?</i>			
				Risk Management Scoring
				High Risk Medium Risk Low Risk
	Total score for Risk Management			0 11-15 6-10 0-5

Annex M

Unallowable Costs

<https://www.govinfo.gov/app/details/CFR-2014-title2-vol1/CFR-2014-title2-vol1-sec200-410/summary>

Annex N

Examples for calculating per diem for HQ staff, note Field Staff have different percentages, however, the calculation is the same.

Notes:

- [General Services Administration](#) (GSA) establishes per diem rates for destinations within the lower 48 Continental United States (CONUS).
- The [Department of Defense](#) (DOD) establishes non-foreign rates which includes Alaska, Hawaii, and all U.S. Territories (Non-CONUS).
- The [State Department](#) establishes all foreign rates which are specific to major cities.
- Meal breakdown can be calculated in the following chart (note, for travel funded by USG programs, this table MUST be used): www.gsa.gov/travel/plan-book/per-diem-rates/mie-breakdown

i) Normal example with no exceptions

Traveler A, a staff from the HQ office, leaves for a trip to New York City on Monday morning in April. The flight is scheduled to leave at 9AM. The traveler returns back to home-of-record on Thursday by noon.

The M&IE rate is \$76, as per the GSA website.

The Partners' approved rate is 90% = \$68.4

The per diem received will be:

Monday = $\$68.4 \times 75\% = \51.80

Tuesday = \$68.40

Wednesday = \$68.40

Thursday = $\$68.4 \times 75\% = \51.80

Total per diem = $\$51.80 + \$68.40 + \$68.40 + \$51.80 = \$240.40$

ii) Departing from home early; arriving home late

Traveler B, a staff from the HQ office, leaves for a trip to Bogota, Mexico on Monday morning in April. The flight is scheduled to leave at 8:00AM. In order to catch the flight, Traveler B must leave the home-of-record at 5:30 AM in order to be at the airport two hours prior to departure. The traveler returns back to home-of-record on Thursday at 10PM.

The M&IE rate is \$105, as per the State Department website.

The Partners' approved rate is 90% = \$94.50

The per diem received will be:

Monday = \$94.50 (this is a travel day; however, since Traveler B is leaving the home-of-record before 6AM, as per [Section 14.5.2 M&IE Meal Breakdown](#), full per diem is applied)

Tuesday = \$94.50

Wednesday = \$94.50

Thursday = \$94.50 (this is a travel day; however, since Traveler B is arriving to the home-of-record after 7PM, as per [Section 14.5.2 M&IE Meal Breakdown](#), full per diem is applied)

Total per diem = \$94.50 + \$94.50 + \$94.50 + \$94.50 = \$378

iii) Some meals covered by other sources

Traveler C, a staff from HQ, attends a conference in Panama City, leaving on flight on Monday at 11AM, attending the conference on Tuesday – Thursday, and returning on Friday morning, arriving to home-of-record after 9PM. During the conference, meals are provided for breakfast and lunch.

The Panama City M&IE rate is \$99, as per the State Department website.

The Partners' approved rate is 90% = \$89.10

Meal breakdown is as follows, as per [Section 14.5.2](#):

Breakfast @ the \$89.10 = \$13; Lunch = \$22; Dinner = \$36; Incidentals = \$18 (numbers rounded to nearest dollar)

The per diem received will be:

Monday = \$89.10 * 75% = \$66.83 (Panama City is the destination city and the rate to utilize on this first travel day)

Tuesday = \$36 + \$18 = \$54 (Dinner plus incidentals)

Wednesday = \$36 + \$18 = \$54 (Dinner plus incidentals)

Thursday = \$36 + \$18 = \$54 (Dinner plus incidentals)

Friday = \$89.10 (this is a travel day; however, since Traveler C is arriving to the home-of-record after 7PM, as per [Section 14.5.2 M&IE Meal Breakdown](#), full per diem is applied; also, Panama City is the city of departure; hence, this rate is utilized)

Total per diem = \$66.83 + 54 + 54 + 54 + 89.10 = \$317.93

Annex O



PARTNERS *of the* **AMERICAS**
Connect • Serve • Change Lives

Affidavit in lieu of Receipt

I certify the following charges are true and correct and made for the business purpose outlined below.

Purpose/Event:

<u>Date</u>	<u>Description</u>	<u>Amount</u>	<u>Payment Method</u>
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Signed,

Name

Date

1424 K Street NW Suite 700 Washington DC 20005 202.628.3300 www.partners.net



PARTNERS *of the* AMERICAS

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Acknowledgment of Receipt and Compliance to Policies

I hereby acknowledge that I have received the Mexico Supplemental Manual for Personnel and Operations (herein referred to as “MANUAL”) for Partners Mexico. I understand that the purpose of the MANUAL is to acquaint employees with the policies and procedures of Partners Mexico, and to act as a reference for employees. I understand that the MANUAL reflects the policies and procedures in effect this date which may be changed by Partners Mexico.

I understand that I am bound by the provisions of this MANUAL and that it is my responsibility to read and adhere to the contents set forth in the MANUAL. Furthermore, I acknowledge these policies and procedures as conditions of employment with the Partners Mexico. I agree to comply with all policies contained within the MANUAL and to ask my supervisor any questions that I may have about it.

Print Name: _____

Employee Signature: _____

Date: _____